



STEP Advanced Certificate in Company Law and Practice

Appendices



These appendices are intended to support and enhance the learning experience provided in the STEP Advanced Certificate in Company Law & Practice course manual, twelfth edition (2025).

Published by:
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<https://www.cltint.com/>

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CLI16/16307

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Appendix 1 A:

Memorandum of Association

THE [COMPANIES LEGISLATION] COMPANY LIMITED BY SHARES

MEMORANDUM OF ASSOCIATION

1. Name

The name of the company is AB Limited (hereinafter referred to as 'the Company').

2. Registered Office [and Registered Agent]

The Registered Office of the Company is situated within [jurisdiction of incorporation].
[Alternatively, at [specified address within the jurisdiction] or such other location as the directors may from time to time determine].

The Registered Agent of the Company is [name and address within the jurisdiction].

3. Liability

The liability of the members of the Company is limited to the amount (if any) for the time being unpaid on the shares respectively held by them.

[Alternatively, for a company limited by guarantee: 'The liability of the members is limited by guarantee. Every member of the Company undertakes to contribute such amount as may be required, not exceeding \$100 to its assets in the event of the company being wound up whilst he is a member (or within a year after he ceases to be a member) for the payment of the debts and liabilities of the Company and for the costs and expenses of the winding up.']

4. Objects

The Company has capacity to engage in any act, activity, business or otherwise, which is not prohibited by the laws of [jurisdiction].

[Alternatively, for a restricted objects clause: 'The objects for which the Company is formed and incorporated are set out below [insert restricted objects].']

5. Share Capital

5.1 Authorised Capital

The share capital of the company is \$50,000 divided into 50,000 shares of \$1.00 each.

[Alternatively, for a no-par-value company: 'The Company may issue a maximum of 50,000 shares with no par value']

5.2 Currency

Shares in the Company shall be issued in [USD].

5.3 Issue of Shares

The directors have power by resolution to issue any class or series of shares that the Company is authorised to issue in its capital with or subject to any designations, powers, preferences, rights, limitations and/or restrictions.

5.4 Registered/Bearer Shares

Shares of the Company shall be registered shares.

[Alternatively, where permitted: 'The Company shall be permitted to issue bearer shares provided the requirements as to immobility of such bearer shares as set out in [companies legislation] are complied with.']

6. Miscellaneous

[The Company is an exempted company [IBC] as defined by the [applicable companies legislation] and does not have power to hold land situated in, or carry on business in or from, [jurisdiction].]

I/We, the subscriber(s) to this memorandum, wish to be formed into a company and agree to take the number of shares specified opposite my/our respective names.

Subscriber(s) name and address

Shares

Anil Bapcha, [nationality] of [address]

1 ordinary share

Signed by the sole subscriber)

in the presence of the witness)

attesting such signature:)

[witness name and address]

Appendix 1B:

Articles of Association, based upon Table A, 1948 Act with amendments

AB LIMITED

REGULATIONS FOR MANAGEMENT OF AB LIMITED, A COMPANY LIMITED BY SHARES

1. Definitions

In these articles, the words in the first column shall have the meanings set opposite to them.

Articles: the articles of the Company in their present form or as amended from time to time

Companies Legislation: every statute, Order in Council and regulation for the time being in force in [jurisdiction] affecting companies

Company: the company incorporated in [jurisdiction] under the name of [name].

Registered office: the registered office for the time being of the Company, situated at such place in [jurisdiction] as the directors shall determine.

Resolution: an 'ordinary resolution' being passed by a simple majority of votes of the shareholders entitled to vote; a 'special resolution' being passed by a super-majority of 75% of the votes of shareholders entitled to vote.¹

2. Issue of shares

- 2.1** Subject to the provisions, if any, in that behalf of the memorandum of association, and without prejudice to any special rights previously conferred on the holders of existing shares, any shares may be issued with such preferred, deferred or other special rights, or such restrictions whether in regard to dividend, voting, return of share capital or

1. **Alternatively**, for IBCs or companies that do not distinguish between an ordinary and a special resolution of shareholders: 'a resolution of the shareholders of the Company in general meeting passed by a simple majority of votes of the shareholders entitled to vote'.

otherwise as the Company may, from time to time, by special [or ordinary]² resolution determine.³

2.2 Subject to the provisions, if any, in that behalf of the memorandum of association, the directors [Company] may, by [special] resolution, issue preference shares on terms that they are to be redeemed

- a. on a given date or on the happening of a specified event
- b. at the option of the company, or, if authorised by the memorandum, at the option of the holder.⁴

2.3 Subject to the provisions of these articles, the un-issued shares of the Company shall be at the disposal of the board of directors who may offer, allot, issue or otherwise dispose of them to such persons, at such time, for such consideration, and upon such terms and conditions as the directors may determine.

2.4 The Company may exercise the powers of paying commission conferred by the Companies Legislation [provided that the amount thereof shall not exceed the rate of 10% of the price at which the shares are issued].

3. Share certificates

3.1 Every person whose name is entered as a shareholder in the register of members shall, without payment, be entitled to a certificate of the company specifying the share or shares held by him and the amount paid up thereon.

3.2 In respect of a share or shares held jointly by several persons the Company shall not be bound to issue more than one certificate, and delivery of a certificate for a share to one of several joint holders shall be sufficient delivery to all.

3.3 If a share certificate is defaced, lost or destroyed it may be renewed on payment of such fee, if any, not exceeding [\$10.00] and on such terms, if any, as to evidence and indemnity as the directors think fit.

2. Ordinary shares are usually issued at the discretion of the directors in accordance with Art 2.3 on the terms and for the consideration determined by board resolution. By Art 2.1, preference shares are issued at the discretion of the shareholders in general meeting of the company. Companies legislation in the offshore IBC jurisdictions (such as BVI, Bahamas and also Bermuda) provides that any motion proposed at a general meeting of a company shall be decided by a simple majority of votes or by such other super-majority as the articles prescribe. Accordingly, in these jurisdictions, unless the articles so prescribe, there is no distinction between an ordinary resolution of members and a special resolution – the company in general meeting merely has to pass ‘a resolution’. Other jurisdictions, such as Jersey (see Article 90 Companies (Jersey) Law 1991) and the Cayman Islands (section 60 Companies Law 2020Rev), follow the English tradition of distinguishing between the two types of resolution of shareholders.

3. Alternatively,

- ‘1. The capital of the Company is \$[amount], divided into [number] ordinary shares of \$[par] each, and [number] of preference shares of \$[par] each.
2. The preference shares in the capital carry a fixed [non] cumulative preferential dividend at the rate of [x]% per annum on the capital for the time being paid up on those shares, and on a winding-up or re-payment of capital shall entitle the holders to re-payments of capital paid up on those shares in priority to any payments to the holders of ordinary shares [but not to any further participation in the profits or assets of the Company].’

4. **Alternatively,** The preference shares in the present capital of the Company shall be liable to be redeemed in accordance with the following provisions:

1. The Company may at any time give not less than [x] months’ notice in writing (a ‘redemption notice’) to the holders of the preference shares of its intention to redeem all or any part of the preference shares which have been issued on a date which shall be specified in the redemption notice.
2. On the redemption date the Company shall redeem the preference shares specified in the redemption notice at par [plus a premium of \$[premium] per share] and to pay the dividends accrued to the redemption date upon delivery to the Company of the certificates for the shares to be redeemed’.

4. Modification of shareholder rights

If, at any time, the share capital is divided into different classes of shares, the rights attached to any class (unless otherwise provided by the terms of issue of the shares of that class) may be varied with the consent in writing of the holders of 75% of the issued shares of that class [or with the sanction of a [special] resolution passed at a separate general meeting of the holders of the shares of the class]. To every such separate general meeting the provisions of these regulations relating to general meetings shall, *mutatis mutandis*, apply, but so that the necessary quorum shall be two persons at least holding or representing by proxy one-third of the issued shares of the class and that any holder of shares of the class present in person or by proxy may demand a poll.

5. Lien

- 5.1 The Company shall have a lien on every share (not being a fully paid share) for all moneys (whether presently payable or not) called or payable at a fixed time in respect of that share, and the Company shall also have a lien on all shares (other than fully paid shares) standing registered in the name of a single person for all moneys presently payable by him or his estate to the Company. The Company's lien, if any, on a share shall extend to all dividends payable thereon.
- 5.2 The Company may sell, in such manner as the directors think fit, any shares in which the Company has a lien, but no sale shall be made unless some amount in respect of which the lien exists is presently payable nor until the expiration of 14 days after a notice in writing, demanding payment of such part of the amount in respect of which the lien exists as is presently payable, has been given to the registered holder for the time being of the share, or the persons entitled thereto by reason of his death or bankruptcy.
- 5.3 For giving effect to any such sale, the directors may authorise some person to transfer the shares sold to the purchaser thereof. The purchaser shall be registered as the holder of the shares comprised in any such transfer and he shall not be bound to see to the application of the purchase money, nor shall his title to the shares be affected by any irregularity or invalidity in the proceedings in reference to the sale.
- 5.4 The proceeds of the sale shall be received by the company and applied in payment of such part of the amount in respect of which the lien exists as is presently payable, and the residue shall (subject to a like lien for sums not presently payable as existed upon the shares prior to the sale) be paid to the person entitled to the shares at the date of the sale.

6. Calls on shares

- 6.1 The directors may, from time to time, make calls upon the shareholders in respect of any moneys unpaid on the shares; and each shareholder shall (subject to receiving at least 14 days' notice specifying the time or times of payment) pay to the Company at the time or times so specified the amount called on his shares.
- 6.2 The joint holders of a share shall be jointly and severally liable to pay calls in respect thereof.

- 6.3 If a sum called in respect of a share is not paid before or on the day appointed for payment thereof, the person from whom the sum is due shall pay interest upon the sum at the rate of 6% per annum from the day appointed for the payment thereof to the time of the actual payment, but the directors shall be at liberty to waive payment of that interest wholly or in part.
- 6.4 The provisions of these articles as to the liability of joint holders and as to payment of interest shall apply in the case of non-payment of any sum which, by the terms of issue of a share, becomes payable at a fixed time, whether on account of the amount of the share, or by way of premium, as if the same had become payable by virtue of a call duly made and notified.
- 6.5 The directors may make arrangements on the issue of shares for a difference between the holders in the amount of calls to be paid and in the times of payment.
- 6.6 The directors may, if they think fit, receive from any member willing to advance the same all or any part of the moneys uncalled and unpaid upon any shares held by him; and upon all or any of the moneys so advanced may (until the same would, but for such advance, become presently payable) pay interest at such rate (not exceeding, without the sanction of the Company in general meeting, 6%) as may be agreed upon between the member paying the sum in advance and the directors.

7. Forfeiture of shares (for unpaid calls)

- 7.1 If a member fails to pay any call or instalment of a call on the day appointed for payment thereof, the directors may, at any time thereafter during such time as any part of such call or instalment remains unpaid, serve a notice on him requiring payment of so much of the call or instalment as is unpaid, together with any interest that may have accrued.
- 7.2 The notice shall name a further day (not earlier than the expiration of fourteen days from the date of the notice) on or before which the payment required by the notice is to be made, and shall state that, in the event of non-payment at or before the time appointed, the shares in respect of which the call was made will be liable to be forfeited.
- 7.3 If the requirements of such notice are not complied with, any share in respect of which the notice has been given may, at any time thereafter, before the payment required by the notice has been made, be forfeited by a resolution of the directors to that effect.
- 7.4 A forfeited share may be sold or otherwise disposed of on such terms and in such manner as the directors think fit, and at any time before a sale or disposition the forfeiture may be cancelled on such terms as the directors think fit.
- 7.5 A person whose shares have been forfeited shall cease to be a member in respect of the forfeited shares, but shall, notwithstanding, remain liable to pay to the company all moneys that at the date of forfeiture were payable by him to the Company in respect of the shares, but his liability shall cease if and when the Company receives payment in full of the nominal amount of the shares.

- 7.6 A statutory declaration in writing by a director of the Company, declaring that a share in the Company has been duly forfeited on a date stated in the declaration, shall be conclusive evidence of the facts therein stated as against all persons claiming to be entitled to the share. The Company may receive the consideration, if any, given for the share on any sale or disposition thereof and may execute a transfer of the share in favour of the person to whom the share is sold or disposed of and he shall thereupon be registered as the holder of the share, and shall not be bound to see to the application of the purchase money, if any, nor shall his title to the share be affected by any irregularity or invalidity in the proceedings in reference to the forfeiture, sale or disposal of the share.
- 7.7 The provisions of these articles as to forfeiture shall apply in the case of non-payment of any sum which by the terms of issue of a share becomes payable at a fixed time, whether on account of the amount of the share, or by way of premium, as if the same had been payable by virtue of a call duly made and notified.

8. Transfer and transmission of shares

- 8.1 The instrument of transfer of any share shall be executed by or on behalf of the transferor and transferee, and the transferor shall be deemed to remain a holder of the share until the name of the transferee is entered in the register of members in respect thereof.

- 8.2 Shares shall be transferred in the following form, or in any usual or common form approved by the directors:

'I, [name of transferor], of [address] in consideration of the sum of \$[price] paid to me by [name of transferee], of [address] (hereinafter called "the said transferee") do hereby transfer to the said transferee the share (or shares) numbered in the undertaking called [name of the Company], to hold unto the said transferee, subject to the several conditions on which I hold the same: and I, the said transferee, do hereby agree to take the said share (or shares) subject to the conditions aforesaid.'

- 8.3 The directors may decline to register any transfer of shares to a person of whom they do not approve, and may also decline to register any transfer of shares on which the Company has a lien.

[Alternative Article with restrictions on transfer and transmission of shares conferring pre-emption rights upon existing shareholders]⁵

5. Alternatively,

- 8 A.1 'No share shall be sold, transferred or assigned to any person who is not a shareholder so long as any existing shareholder is willing to buy the same at a fair value.
- 8 A.2 Every shareholder who wishes to transfer any share ('the vendor') shall give notice in writing to the Company (the 'transfer notice') specifying the price at which he is prepared to sell the shares. A transfer notice shall constitute the Company as the vendor's agent for the sale of the shares specified in the transfer notice to any member at such price. If the vendor does not specify a price in the transfer notice, the shares shall be offered at a price to be agreed by the directors and the vendor, or, in default of agreement within one month of the receipt of the transfer notice, at a price ascertained by the method set out in paragraph 8A.3.
- 8 A.3 In default of agreement within one month of receipt of the transfer notice, then a fair value shall be determined by an accountant nominated by the President for the time being of the Law Society [Bar Council] of [jurisdiction] who shall act as an expert and whose determination of the fair value thereof shall be conclusive.
- 8 A.4 If an accountant is asked to determine the price, the Company shall as soon as it receives the accountant's opinion, furnish a copy thereof to the vendor and invite each shareholder to apply in writing to the company within 28 days to purchase such shares at the said price – etc. etc.'

- 8.4 The directors may decline to recognise any instrument of transfer unless:
- a. a fee not exceeding [\$1.00] is paid to the Company in respect thereof; and
 - b. the instrument of transfer is accompanied by the certificate of the shares to which it relates and such other evidence as the directors may reasonably require to show the right of the transferor to make the transfer.
- 8.5 If the directors refuse to register a transfer of any shares, they shall, within two months after the date on which the transfer was lodged with the Company, send to the transferee notice of the refusal.
- 8.6 The legal personal representative of a deceased sole holder of a share shall be the only person recognised by the company as having any title to the share. In the case of a share registered in the names of two or more holders, the survivors, survivor or the legal personal representatives of the deceased survivor, shall be the only person recognised by the company as having any title to the share.
- 8.7 Any person becoming entitled to a share in consequence of the death or bankruptcy of a member shall, upon such evidence being produced as may from time to time be properly required by the directors, have the right either to be registered as a member in respect of the share or, instead of being registered himself, to make such transfer of the share as the deceased or bankrupt person could have made; but the directors shall, in either case, have the same right to decline or suspend registration as they would have had in the case of a transfer of the share by the deceased or bankrupt person before the death or bankruptcy.
- 8.8 A person becoming entitled to a share by reason of the death or bankruptcy of the holder shall be entitled to the same dividends and other advantages to which he would be entitled if he were the registered holder of the share, except that he shall not, before being registered as a member in respect of the share, be entitled in respect of it to exercise any right conferred by membership in relation to meetings of the company.

9. Alteration of capital

- 9.1 The company may, from time to time by [special] resolution, increase the share capital by such sum, to be divided into shares of such amount, as the resolution shall prescribe.
- 9.2 Subject to any direction to the contrary that may be given by the company in general meeting, all new shares shall, before issue, be offered to such persons as at the date of the offer are entitled to receive notices from the company of general meetings in proportion, as nearly as the circumstances admit, to the amount of the existing shares to which they are entitled. The offer shall be made by notice specifying the number of shares offered, and limiting a time within which the offer, if not accepted, will be deemed to be declined, and after the expiration of that time, or on receipt of an intimation from the person to whom the offer is made that he declines to accept the shares offered, the directors may dispose of those shares in such manner as they think most beneficial to the company. The directors may likewise so dispose of any new shares which (by reason of the ratio which the new shares bear to shares held by persons entitled to an offer of new shares) cannot, in the opinion of the directors, be conveniently offered under this article.

- 9.3 The new shares shall be subject to the same provisions with reference to the payment of calls, lien, transfer, transmission, forfeiture and otherwise as the shares in the original share capital.
- 9.4 The Company may by [ordinary] resolution:
- a. consolidate and divide all or any of its share capital into shares of larger amount than its existing shares;
 - b. sub-divide its existing shares, or any of them, into shares of smaller amounts than is fixed by the memorandum of association, subject to the provisions of Companies Legislation; and
 - c. cancel any shares which, at the date of the passing of the resolution, have not been taken or agreed to be taken by any person.
- 9.5 The Company may, by [special] resolution, reduce its share capital and any capital redemption reserve fund in any manner and with, and subject to, any incident authorised and consent required by the Companies Legislation.

10. General meetings

- 10.1 The first general meeting of the Company shall be held within a period of not more than 18 months from the day that the Company has the right to commence business.
- 10.2 A general meeting ("the annual general meeting") shall be held once in every calendar year at such time (not being more than 15 months after the holding of the last preceding general meeting) and place as may be resolved by the company in general meeting. If the directors fail to convene an annual general meeting, it may be convened by any two members in the same manner as nearly as possible as that in which meetings are to be convened by the directors.
- 10.3 All general meetings other than annual general meetings shall be called extraordinary [special] general meetings.
- 10.4 The directors may, whenever they think fit, convene an extraordinary [special] general meeting. Alternatively any member(s) holding at least 10% of the issued share capital of the Company may convene an extraordinary [special] general meeting in the same manner as nearly as possible as that in which meetings may be convened by the directors.

11. Notice of general meetings

- 11.1 Subject to the requirements of the Companies Legislation relating to [special] resolutions, at least 14 clear days' notice in writing (exclusive of the day on which the notice is served or deemed to be served, and of the day for which notice is given) specifying the place, the day and hour of meeting and, in case of special business, the general nature of that business shall be given in the manner provided by para.27 of these articles, to such persons as are entitled to receive such notices from the company.
- 11.2 A general meeting may be convened by such shorter notice with the consent of all the members entitled to receive notice of the meeting, and in such manner as those members may think fit.

- 11.3 The accidental omission to give notice of a meeting to, or the non-receipt of a notice of a meeting by, any member shall not invalidate the proceedings at any meeting.

12. Proceedings at general meetings

- 12.1 All business shall be deemed special that is transacted at any extraordinary meeting, and also all that is transacted at an annual general meeting, with the exception of sanctioning a dividend, consideration of the accounts, balance sheets, the report of the directors (and auditors, if any) and the election of directors and other officers in the place of those retiring by rotation.
- 12.2 No business shall be transacted at any general meeting unless a quorum of members is present at the time when the meeting proceeds to business; save as herein otherwise provided, two shareholders personally present shall be a quorum.
- 12.3 If, within half an hour from the time appointed for the meeting, a quorum is not present, the meeting, if convened upon the requisition of members, shall be dissolved; in any other case, it shall stand adjourned to the same day in the next week, at the time and place, and if at the adjourned meeting a quorum is not present within half an hour from the time appointed for the meeting, the members present shall be a quorum.
- 12.4 The shareholders present in person or by proxy and entitled to vote shall elect by majority vote one of their number to act as chairman.
- 12.5 The chairman may with the consent of any meeting at which a quorum is present (and shall if so directed by the meeting), adjourn the meeting from time to time and from place to place, but no business shall be transacted at any adjourned meeting other than the business left unfinished at the meeting from which the adjournment took place. When a meeting is adjourned for 10 days or more, notice of the adjourned meeting shall be given as in the case of an original meeting. Save as aforesaid it shall not be necessary to give any notice of an adjournment or of the business to be transacted at an adjourned meeting.
- 12.6 At any general meeting, a resolution put to the vote of the meeting shall be decided on a show of hands, unless a poll is (before or on the declaration of the result of the show of hands) authorised by the chairman or demanded by at least three members present in person or by proxy entitled to vote or by one member or two members together holding not less than 15% of the paid up capital of the Company.
- 12.7 Unless a poll is so demanded, a declaration by the chairman that a resolution has, on a show of hands, been carried, carried unanimously, carried by a particular majority or lost, and an entry to that effect in the book of the proceedings of the Company, shall be conclusive evidence of the fact without proof of the number or proportion of the votes recorded in favour of, or against, that resolution.
- 12.8 If a poll is duly demanded, it shall be taken in such manner as the chairman directs, and the result of the poll shall be deemed to be the resolution of the meeting at which the poll was demanded.

- 12.9 In the case of an equality of votes, whether on a show of hands or on a poll, the chairman of the meeting at which the poll is demanded shall be entitled to a second or casting vote.
- 12.10 A poll demanded on the election of a chairman or on a question of adjournment shall be taken forthwith; a poll demanded on any other question shall be taken at such time as the chairman of the meeting directs.
- 12.11 A resolution in writing, signed by all the shareholders for the time being entitled to receive notice of a general meeting of the Company and vote thereat, shall be as valid and effective as if it had been passed at a general meeting of the Company duly convened and held, and may consist of several documents in like form signed by any one or more of the shareholders.

13. Votes of members

- 13.1 On a show of hands, every member present in person shall have one vote. On a poll, every member shall have one vote for each share of which he is the holder.
- 13.2 In the case of joint holders, the vote of the senior who tenders a vote, whether in person or by proxy, shall be accepted to the exclusion of the votes of the other joint holders, and for this purpose seniority shall be determined by the order in which the names stand in the register of members.
- 13.3 A member of unsound mind, or in respect of whom an order has been made by any court having jurisdiction in lunacy, may vote, whether on a show of hand or on a poll, by his committee or other person in the nature of a committee appointed by that court, and any such committee or other person, may, on a poll, vote by proxy.
- 13.4 No member shall be entitled to vote at any general meeting unless all calls or other sums presently payable by him in respect of shares in the company have been paid.
- 13.5 On a poll, votes may be given either personally or by proxy.
- 13.6 The instrument appointing a proxy shall be in writing under the hand of the appointor or his attorney duly authorised in writing or, if the appointor is a corporation, either under seal or under the hand of an officer or attorney duly authorised. A proxy need not be a member of the company.
- 13.7 The instrument appointing a proxy and the power of attorney or other authority, if any, under which it is signed, or a notarially certified copy of that power or authority shall be deposited at the registered office of the company not less than 48 hours before the time for holding the meeting or adjourned meeting at which the person named in the instrument proposes to vote, and in default the instrument of proxy shall not be treated as valid.

- 13.8 An instrument appointing a proxy may be in the following form or any other form approved by the directors:

'I, [name of shareholder], of [address], being a member of the [name of Company] hereby appoint [name of proxy] of [address] as my proxy, to vote for me and on my behalf at the ordinary [or extraordinary] general meeting of the Company to be held on the [date], and at any adjournment thereof.'

[Signed by shareholder and dated].

- 13.9 The instrument appointing a proxy shall be deemed to confer authority to demand, or join in demanding, a poll.
- 13.10 Except in the case of removal of auditors, anything that may be done by resolution of the company in general meeting may, without a meeting and without prior notice being required, be done by resolution in writing signed by all the shareholders of the company who are entitled to attend a meeting and vote on the resolution. A resolution in writing made in accordance with this article is valid as if it had been passed by the company in general meeting and the date thereof is the date when the resolution is signed by the last shareholder.

14. Corporations acting by representatives at general meetings

Any corporation which is a member of the Company may, by resolution of its directors or other governing body, authorise such persons as it thinks fit to act as its representative at any meeting of the company or of any class of members of the company, and the person so authorised shall be entitled to exercise the same powers on behalf of the corporation which he represents as that corporation could exercise if it were an individual member of the company.

15. Appointment of directors

- 15.1 The number of the directors and the names of the first directors shall be determined in writing by a majority of the subscribers of the memorandum of association.⁶
- 15.2 Unless otherwise determined by ordinary resolution, the number of directors shall be without limit and the minimum number shall be one [two⁷].
- 15.3 The qualification of a director shall be the holding of at least one share in the Company.⁸
- 15.4 The Company may, by an [ordinary] resolution, appoint a new director or another person in place of a director removed under the provisions of Art 17.1.

6. For BVI BCs, the registered agent must appoint the first director(s) within 30 days of incorporation. See section 113(1) BVI BCA, 2004 and section 42 IBCA, 2000, of the Bahamas.

7. A sole director is permitted, if authorised by the articles, under the provisions of companies legislation such as that enacted in the BVI, Bahamas, Cayman, Jersey, Guernsey and the Isle of Man. In Bermuda a private company must have at least two directors (section 91(1) Companies Act 1981), and there are residency requirements for directors of exempted companies (section 130).

8. A shareholder requirement for directors is not typical for offshore companies. What would be the point?

16. Rotation of Directors⁹

- 16.1 At the first annual general meeting of the company, the whole of the directors shall retire from office, and at the annual general meeting in every subsequent year one-third of the directors for the time being, or, if their number is not three or a multiple of three, then the number nearest one-third, shall retire from office.
- 16.2 The directors to retire in every year shall be those who have been longest in office since their last election but, as between persons who became directors on the same day, those to retire shall (unless they otherwise agree among themselves) be determined by lot.
- 16.3 A retiring director shall be eligible for re-election.
- 16.4 Any casual vacancy occurring in the board of directors may be filled by resolution of the directors, but the person so chosen shall hold office only until the next following annual general meeting. If not re-appointed, he shall vacate office at the conclusion thereof.

17. Removal, vacating office, retirement of directors

- 17.1 The Company may, by [ordinary] resolution, remove a director before the expiration of his period in office, notwithstanding anything in any agreement between the company and such director.
- 17.2 The office of director shall be vacated, if the director:
 - a. is prohibited by law from being a director
 - b. becomes bankrupt, or makes an arrangement or composition with his creditors
 - c. is found to be or becomes of unsound mind and mentally incapable of acting as a director
 - d. shall for more than six consecutive months be absent without permission from meetings of directors held in that period and the directors resolve that his office is vacated
 - e. is convicted of an indictable offence (or felony)
 - f. resigns his office.
- 17.3 The office of director shall be vacated if the director resigns in writing by notice to the company addressed to the secretary [registered agent] at the registered office.

18. Remuneration of directors and director's interests

- 18.1 The remuneration of the directors shall be determined from time to time by the Company in general meeting.
- 18.2 A director [or other officer of the Company] may enter into a contract or other arrangement with the Company (either as vendor, purchaser, lessor, lessee, manager, agent, broker or otherwise) provided that the director shall disclose, at the board meeting at which the contract or arrangement is determined, the nature of his interest, but the director shall not vote in respect of such contract or arrangement or on any matter arising in connection therewith.

9. A requirement for directors to retire by rotation in the manner set out in paragraphs 16.1 – 16.4 is unusual in offshore asset-holding companies.

- 18.3 A director may occupy any other office or position in the Company or act in any professional capacity to the Company in conjunction with his office of director, and on such terms as to remuneration or otherwise as the directors shall think fit.

19. Powers of directors

- 19.1 The business of the Company shall be managed by the directors, [who may pay all expenses incurred in setting up and registering the company, and] may exercise all such powers of the Company as are not, by the Companies Legislation or these articles, required to be exercised by the Company in general meeting.¹⁰
- 19.2 The directors may, by power of attorney or otherwise, appoint any person to be the agent of the Company, for such purposes and on such conditions, as the directors determine.
- 19.3 The directors may exercise all the powers of the Company to borrow money and to mortgage or charge its undertaking, property and uncalled capital, or any part thereof, and to issue securities whether outright or as security for any debt, liability or obligation of the Company.

[Optional alternative restricting borrowing powers of directors to an upper limit].¹¹

- 19.4 Without prejudice to the provisions of paragraph 29 of these articles, the directors shall have power to purchase and maintain insurance for any persons who are, or were at any time, directors, officers or employees of the company, including insurance against any liability incurred by such persons in respect of any act or omission in the actual or purported execution of their powers or otherwise in relation to their duties to the Company.

20. Proceedings of directors

- 20.1 The directors may meet together for the despatch of business, adjourn and otherwise regulate their meetings, as they think fit.
- 20.2 Questions arising at any meeting shall be decided by a majority of votes. In case of an equality of votes, the chairman shall have a second or casting vote.
- 20.3 A director may, and the secretary on the requisition of a director shall, at any time, summon a meeting of the directors.
- 20.4 The quorum necessary for the transaction of the business of the directors may be fixed by the directors, and unless so fixed shall be two [except that where the number of directors has been fixed at one pursuant to paragraph 15.2 of these articles, a sole director shall be deemed to form a quorum].
- 20.5 If and so far as there is a sole director, he may exercise all the powers conferred upon the directors by these articles by resolution in writing signed by him.

10. **Alternatively**, 'subject to the provisions of the Companies Legislation, the memorandum and these articles and to any directions given by special resolution, the business of the Company shall be managed by the directors who shall have all of the powers of the Company'.

11. **Alternatively**, '... provided the amount for the time being remaining undischarged of money borrowed by the directors, under bonds or other obligations shall not [without the previous sanction of an ordinary resolution of the Company] exceed \$[1 million] and shall not at any time exceed the issued share capital of the Company'.

- 20.6 A meeting of directors, or committee of directors, may be validly held notwithstanding that such directors may not be in the same place, provided that:
- a. they are in constant communication with each other throughout by telephone, television or some other form of communication, and
 - b. all directors entitled to attend such meeting agree.
- 20.7 A person participating in such meeting as provided for by paragraph 20.6 shall be deemed to be present in person and so shall be counted in the quorum and be entitled to vote. Such meeting shall be deemed to take place where the largest group of those participating is assembled, or, if there is no such group, where the chairman of the meeting is situated.
- 20.8 The continuing directors, [or sole director], may act notwithstanding any vacancy in their body, but, if and so long as their number is reduced below the number fixed by or pursuant to the articles of the company as the necessary quorum of directors, the continuing directors may act for the purpose of increasing the number of directors to that number, or of summoning a general meeting of the company, but for no other purpose.
- 20.9 The directors may elect a chairman of their meetings and determine the period for which he is to hold office; but if no such chairman is elected, or if at any meeting the chairman is not present within five minutes after the time appointed for holding the same, the directors present may choose one of their number to be chairman of the meeting.
- 20.10 The directors may delegate any of their powers to committees consisting of such member or members of their body as they think fit; any committee so formed shall, in the exercise of the powers so delegated, conform to any regulations that may be imposed on it by the directors.
- 20.11 A committee may elect a chairman of its meetings; if no such chairman is elected, or if at any meeting the chairman is not present within five minutes after the time appointed for holding the same, the members present may choose one of their number to be chairman of the meeting.
- 20.12 A committee may meet and adjourn as it thinks proper. Questions arising at any meeting shall be determined by a majority of votes of the members present and, in case of an equality of votes, the chairman shall have a second or casting vote.
- 20.13 All acts done by any meeting of the directors or of a committee of directors, or by any person acting as a director, shall, notwithstanding that it be afterwards discovered that there was some defect in the appointment of any such director or person acting as aforesaid, or that they or any of them were disqualified, be as valid as if every such person had been duly appointed and was qualified to be a director.
- 20.14 The directors shall cause minutes to be made in books provided for the purpose:
- a. of all appointments of officers made by the directors
 - b. of the names of the directors present at each meeting of the directors and of any committee of the directors, and

- c. of all resolutions and proceedings at all meetings of the company, and of the directors and of committees of directors;

and every director present at any meeting of directors, or committee thereof, [or the chairman] shall sign his name in a book to be kept for that purpose.

- 20.15 A resolution in writing, signed by all the directors for the time being entitled to receive notice of a meeting of directors, shall be as valid and effective as if it had been passed at a meeting of directors duly convened and held, and may consist of several documents in like form signed by any one or more of the directors.
- 20.16 A director may appoint any person as his alternate by depositing a notice of appointment, signed by the director, with the secretary at the registered office. Any alternate director may be removed by the company or by the board or by the director appointing him, but otherwise the office of alternative director shall continue until the next election of directors. The alternate director shall be entitled to receive notices of all meetings of directors, to attend and be counted in the quorum and vote at such meetings at which the director to whom he is the alternate is not personally present. Every person acting as an alternate director shall be subject in all respects to the provisions of these articles and shall be responsible to the company for his own acts and defaults and not deemed to be the agent of the director for whom he is the alternate.

21. Officers of the company¹²

- 21.1 The Secretary of the Company shall be appointed by the directors for such term at such remuneration and upon such conditions as they think fit; and any secretary so appointed may be removed by them.
- 21.2 No person shall be appointed as secretary who is:
 - a. the sole director of the Company
 - b. a corporation, the sole director of which is the sole Director of the Company
 - c. the sole director of a corporation, which is the sole Director of the Company.
- 21.3 A provision in these articles requiring a thing to be done by a director and the secretary shall not be satisfied by it being done by the same person acting as both Director and Secretary.
- 21.3 [Optional paragraph relating the appointment of a president and vice president].¹³

[If a resident representative is required under applicable Companies Legislation].¹⁴

12. Most jurisdictions make the appointment of a company secretary optional.

13. **Alternatively**, or in addition: 'The officers of the company shall include a president and a vice-president (or a chairman and deputy chairman) who shall be directors and shall be elected by the board at each annual general meeting, for such period and upon such terms as the directors shall determine.'

14. **Alternatively**, or in addition: 'The resident representative, if required, shall be appointed by the directors for such period, at such remuneration and upon such terms as they think fit.'

22. The seal

The seal of the Company shall not be affixed to any instrument except by the authority of a resolution of a board of directors, and in the presence of a director and of the secretary or such other person as the directors may appoint for the purpose; and that director and the secretary or other person as aforesaid shall sign every instrument to which any seal of the company is so affixed in their presence.

23. Dividends and reserve

- 23.1 The Company, by ordinary resolution in general meeting, may declare dividends to be paid to shareholders, but no dividend shall exceed the amount recommended by directors.¹⁵
- 23.2 The directors may, from time to time, pay to the shareholders such interim dividends as appear to the directors to be justified by the profits of the company.
- 23.3 No dividends shall be paid otherwise than out of profits.¹⁶
- 23.4 Subject to the rights of persons, if any, entitled to shares with special rights as to dividends, all dividends shall be declared and paid according to the amounts paid on the shares, but if and so long as nothing is paid up on any of the shares in the company, dividends may be declared and paid according to the amounts of the shares. No amount paid on a share in advance of calls shall, while carrying interest, be treated for the purposes of this article as paid on the share.
- 23.5 The directors may, before recommending any dividend, set aside out of the profits of the company such sums as they think proper as a reserve or reserves which shall, at the discretion of the directors, be applicable for meeting contingencies or for equalising dividends or for any other purpose to which the profits of the company may be properly applied and pending such application may, at the like discretion, either be employed in the business of the company or be invested in such investments (other than shares of the company) as the directors may, from time to time think fit.
- 23.6 If several persons are registered as joint holders of any share, any of them may give effectual receipts for any dividend or other moneys payable on or in respect of the share.
- 23.7 Any dividend may be paid by cheque, cashiers cheque or banker's draft sent through the post to the registered address of the shareholder or person entitled thereto or in the case of joint holders to any one of such joint holders at his registered address or to such person and such address as the shareholder or person entitled or such joint holders, as the case may be, may direct. Every such cheque or warrant shall be made payable to the order of the person to whom it is sent or to the order of such other person as the member or person entitled or such joint holders, as the case may be, may direct.

15. **Alternatively,** 'The board may from time to time declare dividends [distribution to shareholders] whenever the financial position of the company in the opinion of the board justifies such payment'.

16. This article is inappropriate for IBCs (as dividends may be paid out of surplus) or companies incorporated in jurisdictions with modern flexible distribution provisions. In such jurisdictions the following article is likely to replace 23.1 to 23.3: 'The board may from time to time declare dividends or distributions of contributed capital surplus whenever the position of the company, in the opinion of the board, justifies such payment.'

23.8 No dividend shall bear interest against the company.

24. Capitalisation of profits

The directors may [with the authority of an ordinary] resolution of the Company]

- a. resolve to capitalise any undistributed profits, namely any part of the Company's reserve accounts, or moneys standing to the credit of the Company's profit and loss account or otherwise available for distribution
- b. appropriate the sum resolved to be capitalised to the members who would be entitled to it if it were distributed by way of dividend and apply such sum on their behalf, either in paying up the amounts, if any, for the time being unpaid on any shares held by them, or in paying for un-issued shares of the Company and allot the shares credited as fully paid to those members.

25. Accounts

25.1 The directors shall cause proper books of account to be kept with respect to:

- a. all sums of money received and expended by the company, and the matters in respect of which the receipt and expenditure takes place and
- b. all sales and purchases of goods and services by the company and the assets and liabilities of the company.

25.2 The books of account shall be kept at the registered office of the Company, or at such other place or places as the directors think fit, and shall always be open to the inspection of the directors.

25.3 The directors shall, from time to time, determine whether and to what extent, at what times and places and under what conditions or regulations the accounts and books of the company or any of them shall be open to the inspection of members not being directors, and no member (not being a director) shall have any right of inspecting any account, book or document of the company except as conferred by law or authorised by the directors or by the company in general meeting.

25.4 At the annual general meeting in every year, the directors shall cause to be prepared and shall lay before the company a profit and loss account and a balance sheet for the period since the preceding account or, (in the case of the first annual general meeting) since the commencement of business by the company, made up to a date not more than six months before such meeting.¹⁷

25.5 [A copy of every balance sheet (including every document required by law to be annexed thereto) which is to be laid before the company in general meeting together with a copy of the auditor's report (if any) shall, not less than 10 days before the date of the meeting, be sent to all persons entitled to receive notices of general meetings of the company.]

17. A requirement to prepare formal financial statements as contained in paragraph 25.4 and to lay those accounts before the company at its AGM as contained in paragraph 25.5 is unusual in offshore companies.

26. Audit

The accounts relating to the company's affairs may be audited in such manner as the Company by [ordinary] [directors'] resolution determines from time to time or, failing any such determination, by the Company in general meeting.

27. Service of Notices

- 27.1 A notice may be given by the company to any member either (a) personally or (b) by sending it by post to him to his registered address, or (c) by facsimile to the facsimile number (the 'registered facsimile number') or (d) by email the email address (the 'registered email address') supplied to the Company for the giving of notices to him.
- 27.2 Where a notice is sent by post, service of the notice is deemed to be effected by properly addressing, prepaying, and posting a letter containing the notice, and to have been effected on the fourth day after the letter containing the same is posted; in the case of a notice sent by facsimile to the registered facsimile number, or by email to the registered email address, upon sending.
- 27.3 A notice may be given by the company to the joint holders of a share by giving the notice to the joint holder named first in the register of members in respect of the share.
- 27.4 A notice may be given by the company to the persons entitled to a share in consequence of the death or bankruptcy of a member by sending it through the post in a prepaid envelope addressed to them by name, or by the title of representatives of the deceased or trustee of the bankrupt or by any like description, at the address, if any, supplied for the purpose by the persons claiming to be so entitled, or (until such an address has been so supplied), by giving the notice in any manner in which the same might have been given if the death or bankruptcy had not occurred.
- 27.5 Notice of every general meeting shall be given in some manner herein before authorised to
- a. every member who has supplied to the Company an address or registered facsimile number for the giving of notices to him and
 - b. every person entitled to a share in consequence of the death or bankruptcy of a member, who, but for his death or bankruptcy, would be entitled to receive notice of the meeting
 - c. every director who is not also a shareholder.

No other person shall be entitled to receive notices of general meetings.

28. Winding-up

If the Company is wound up, the liquidator may, with the sanction of a [special¹⁸] resolution, divide amongst the shareholders in specie the whole or any part of the assets of the Company, and may for such purpose, set such value as he deems fair

18. In jurisdictions that, unless the articles so provide, do not require a company to distinguish between an ordinary and a special resolution, a voluntary winding up of a company may be initiated by a resolution requiring a simple majority vote of the shareholders in general meeting – see section 201 Companies Act, 1981 as amended enacted in Bermuda.

and may determine how such division shall be carried out between shareholders. The liquidator may, with like sanction, vest the whole or part of such assets in trustees upon such trusts as the liquidator thinks fit.

29. Exclusion of liability and indemnity

- 29.1 The directors, secretary, [registered agent] or other officers for the time being of the Company shall not, in the absence of bad faith, fraud or dishonesty, be liable for loss suffered by the Company arising from any error, oversight or mistake in their performance or purported performance of their duties, to the fullest extent permitted by the laws of [jurisdiction].¹⁹
- 29.2 The directors, secretary and other officers and servants or agents for the time being of the Company shall be indemnified out of the assets of the company from and against all actions, liabilities, damages and all reasonable costs and expenses (in respect of which they may lawfully be indemnified under the laws of [jurisdiction]) that they may incur by reason of an act, omission, contract entered into in or about the execution of their duties, except such liability they may incur through their own wilful default, bad faith or fraud and provided that such indemnity shall not extend to matters that would render it void under the Companies Legislation.
- 29.3 No director, secretary, officer, servant or agent of the Company shall be liable for the acts, neglect, receipt or default of the others or of any bankers, brokers or other persons with whom money or property belonging to the Company shall be lodged or deposited for safe custody or into whose hands money or assets of the Company may come, or for any loss or damage caused by an error of judgement or oversight, except in so far as the same shall be caused by their own wilful default.

19. Under the terms of the companies legislation of certain jurisdictions, this type of provision is void and of no effect; for example Article 77 Companies (Jersey) Law 1991. They are also void in Hong Kong, Guernsey, the Isle of Man, Singapore and Gibraltar. Whereas exculpatory provisions contained in the articles of companies that relieve directors and officers of liability and/or provide them with an indemnity are either expressly permitted or otherwise not expressly declared void in other jurisdictions such as BVI, Bahamas, the Cayman Islands and Bermuda.

Appendix 1C:

Articles of Association, based upon English 2008 Model Articles

AB LIMITED

ARTICLES OF ASSOCIATION INCORPORATED IN ACCORDANCE WITH THE COMPANIES LEGISLATION OF [JURISDICTION] DEFINITIONS AND INTERPRETATION

1. Defined terms

In the articles, unless the context requires otherwise:

"articles" means the company's articles of association;

"bankruptcy" includes individual insolvency proceedings in a jurisdiction other than [jurisdiction of incorporation] which have an effect similar to that of bankruptcy;

"chairman" has the meaning given in article 12;

"chairman of the meeting" has the meaning given in article 39;

"companies legislations" means the [companies legislation of state of incorporation], in so far as they apply to the company;

"director" means a director of the company, and includes any person occupying the position of director, by whatever name called;

"distribution recipient" has the meaning given in article 31;

"document" includes any document sent or supplied in hard copy or electronic form;

"fully paid" in relation to a share, means that the nominal value and any premium to be paid to the company in respect of that share have been paid to the company;

"holder" in relation to shares means the person whose name is entered in the register of members as the holder of the shares;

"instrument" means a document in hard copy form;

"ordinary resolution" has the meaning given in the companies legislation;

“paid” means paid or credited as paid;

“participate”, in relation to a directors’ meeting, has the meaning given in article 10;

“proxy notice” has the meaning given in article 45;

“shareholder” means a person who is the holder of a share;

“shares” means shares in the company;

“special resolution” has the meaning given in the companies legislation;

“transmittee” means a person entitled to a share by reason of the death or bankruptcy of a shareholder or otherwise by operation of law.

2. Interpretation

Unless the context otherwise requires, other words or expressions contained in these articles bear the same meaning as in the companies legislation as in force on the date when these articles become binding on the company.

DIRECTORS

Directors’ Powers and Responsibilities

3. Directors’ general authority

Subject to the articles, the directors are responsible for the management of the company’s business, for which purpose they may exercise all the powers of the company.

4. Shareholders’ reserve power

- (1) The shareholders may, by special resolution, direct the directors to take, or refrain from taking, specified action.
- (2) No such special resolution invalidates anything which the directors have done before the passing of the resolution.

5. Directors may delegate

- (1) Subject to the articles, the directors may delegate any of the powers which are conferred on them under the articles—
 - (a) to such person or committee;
 - (b) by such means (including by power of attorney);
 - (c) to such an extent;
 - (d) in relation to such matters or territories; and
 - (e) on such terms and conditions;

as they think fit.

- (2) If the directors so specify, any such delegation may authorise further delegation of the directors' powers by any person to whom they are delegated.
- (3) The directors may revoke any delegation in whole or part, or alter its terms and conditions.

6. Committees

- (1) Committees to which the directors delegate any of their powers must follow procedures which are based as far as they are applicable on those provisions of the articles which govern the taking of decisions by directors.
- (2) The directors may make rules of procedure for all or any committees, which prevail over rules derived from the articles if they are not consistent with them.

Decision-Making by Directors

7. Directors to take decisions collectively

- (1) The general rule about decision-making by directors is that any decision of the directors must be either a majority decision at a meeting or a decision taken in accordance with article 8.
- (2) If:
 - (a) the company only has one director, and
 - (b) no provision of the articles requires it to have more than one director,the general rule does not apply, and the director may take decisions without regard to any of the provisions of the articles relating to directors' decision-making.

8. Unanimous decisions

- (1) A decision of the directors is taken in accordance with this article when all eligible directors indicate to each other by any means that they share a common view on a matter.
- (2) Such a decision may take the form of a resolution in writing, copies of which have been signed by each eligible director or to which each eligible director has indicated agreement in writing.
- (3) References in this article to eligible directors are to directors who would have been entitled to vote on the matter had it been proposed as a resolution at a directors' meeting.
- (4) A decision may not be taken in accordance with this article if the eligible directors would not have formed a quorum at such a meeting.

9. Calling a directors' meeting

- (1) Any director may call a directors' meeting by giving notice of the meeting to the directors or by authorising the company secretary (if any) to give such notice.

- (2) Notice of any directors' meeting must indicate—
 - (a) its proposed date and time;
 - (b) where it is to take place; and
 - (c) if it is anticipated that directors participating in the meeting will not be in the same place, how it is proposed that they should communicate with each other during the meeting.
- (3) Notice of a directors' meeting must be given to each director, but need not be in writing.
- (4) Notice of a directors' meeting need not be given to directors who waive their entitlement to notice of that meeting, by giving notice to that effect to the company not more than 7 days after the date on which the meeting is held. Where such notice is given after the meeting has been held, that does not affect the validity of the meeting, or of any business conducted at it.

10. Participation in directors' meetings

- (1) Subject to the articles, directors participate in a directors' meeting, or part of a directors' meeting, when:
 - (a) the meeting has been called and takes place in accordance with the articles, and
 - (b) they can each communicate to the others any information or opinions they have on any particular item of the business of the meeting.
- (2) In determining whether directors are participating in a directors' meeting, it is irrelevant where any director is or how they communicate with each other.
- (3) If all the directors participating in a meeting are not in the same place, they may decide that the meeting is to be treated as taking place wherever any of them is.

11. Quorum for directors' meetings

- (1) At a directors' meeting, unless a quorum is participating, no proposal is to be voted on, except a proposal to call another meeting.
- (2) The quorum for directors' meetings may be fixed from time to time by a decision of the directors, but it must never be less than two, and unless otherwise fixed it is two.
- (3) If the total number of directors for the time being is less than the quorum required, the directors must not take any decision other than a decision:
 - (a) to appoint further directors, or
 - (b) to call a general meeting so as to enable the shareholders to appoint further directors.

12. Chairing of directors' meetings

- (1) The directors may appoint a director to chair their meetings.
- (2) The person so appointed for the time being is known as the chairman.
- (3) The directors may terminate the chairman's appointment at any time.
- (4) If the chairman is not participating in a directors' meeting within ten minutes of the time at which it was to start, the participating directors must appoint one of themselves to chair it.

13. Casting vote

- (1) If the numbers of votes for and against a proposal are equal, the chairman or other director chairing the meeting has a casting vote.
- (2) But this does not apply if, in accordance with the articles, the chairman or other director is not to be counted as participating in the decision-making process for quorum or voting purposes.

14. Conflicts of interest

- (1) If a proposed decision of the directors is concerned with an actual or proposed transaction or arrangement with the company in which a director is interested, that director is not to be counted as participating in the decision-making process for quorum or voting purposes.
- (2) But if paragraph (3) applies, a director who is interested in an actual or proposed transaction or arrangement with the company is to be counted as participating in the decision-making process for quorum and voting purposes.
- (3) This paragraph applies when:
 - (a) the company by ordinary resolution disapplies the provision of the articles which would otherwise prevent a director from being counted as participating in the decision-making process;
 - (b) the director's interest cannot reasonably be regarded as likely to give rise to a conflict of interest; or
 - (c) the director's conflict of interest arises from a permitted cause.
- (4) For the purposes of this article, the following are permitted causes:
 - (a) a guarantee given, or to be given, by or to a director in respect of an obligation incurred by or on behalf of the company or any of its subsidiaries;
 - (b) subscription, or an agreement to subscribe, for shares or other securities of the company or any of its subsidiaries, or to underwrite, sub-underwrite, or guarantee subscription for any such shares or securities; and
 - (c) arrangements pursuant to which benefits are made available to employees and directors or former employees and directors of the company or any of its subsidiaries which do not provide special benefits for directors or former directors.

- (5) For the purposes of this article, references to proposed decisions and decision-making processes include any directors' meeting or part of a directors' meeting.
- (6) Subject to paragraph (7), if a question arises at a meeting of directors or of a committee of directors as to the right of a director to participate in the meeting (or part of the meeting) for voting or quorum purposes, the question may, before the conclusion of the meeting, be referred to the chairman whose ruling in relation to any director other than the chairman is to be final and conclusive.
- (7) If any question as to the right to participate in the meeting (or part of the meeting) should arise in respect of the chairman, the question is to be decided by a decision of the directors at that meeting, for which purpose the chairman is not to be counted as participating in the meeting (or that part of the meeting) for voting or quorum purposes.

15. Records of decisions to be kept

The directors must ensure that the company keeps a record, in writing, for at least 10 years from the date of the decision recorded, of every unanimous or majority decision taken by the directors.

16. Alternate directors and discretion to make further rules

- (1) A director may appoint any person as his alternate by depositing a notice of appointment, signed by the director, with the secretary at the registered office. Any alternate director may be removed by the company or by the board or by the director appointing him, but otherwise the office of alternative director shall continue until the next election of directors. The alternate director shall be entitled to receive notices of all meetings of directors, to attend and be counted in the quorum and vote at such meetings at which the director to whom he is the alternate is not personally present. Every person acting as an alternate director shall be subject in all respects to the provisions of these articles and shall be responsible to the company for his own acts and defaults and not deemed to be the agent of the director for whom he is the alternate.
- (2) Subject to the articles, the directors may make any rule which they think fit about how they take decisions, and about how such rules are to be recorded or communicated to directors.

Appointment of Directors

17. Methods of appointing directors

- (1) Any person who is willing to act as a director, and is permitted by law to do so, may be appointed to be a director:
 - (a) by ordinary resolution, or
 - (b) by a decision of the directors.

- (2) In any case where, as a result of death, the company has no shareholders and no directors, the personal representatives of the last shareholder to have died have the right, by notice in writing, to appoint a person to be a director.
- (3) For the purposes of paragraph (2), where 2 or more shareholders die in circumstances rendering it uncertain who was the last to die, a younger shareholder is deemed to have survived an older shareholder.

18. Termination of director's appointment

A person ceases to be a director as soon as—

- (a) that person ceases to be a director by virtue of any provision of the companies legislation or is prohibited from being a director by law;
- (b) a bankruptcy order is made against that person;
- (c) a composition is made with that person's creditors generally in satisfaction of that person's debts;
- (d) a registered medical practitioner who is treating that person gives a written opinion to the company stating that that person has become physically or mentally incapable of acting as a director and may remain so for more than three months;
- (e) notification is received by the company from the director that the director is resigning from office, and such resignation has taken effect in accordance with its terms.

19. Directors' remuneration

- (1) Directors may undertake any services for the company that the directors decide.
- (2) Directors are entitled to such remuneration as the directors determine—
 - (a) for their services to the company as directors, and
 - (b) for any other service which they undertake for the company.
- (3) Subject to the articles, a director's remuneration may—
 - (a) take any form, and
 - (b) include any arrangements in connection with the payment of a pension, allowance or gratuity, or any death, sickness or disability benefits, to or in respect of that director.
- (4) Unless the directors decide otherwise, directors' remuneration accrues from day to day.
- (5) Unless the directors decide otherwise, directors are not accountable to the company for any remuneration which they receive as directors or other officers or employees of the company's subsidiaries or of any other body corporate in which the company is interested.

20. Directors' expenses

The company may pay any reasonable expenses which the directors properly incur in connection with their attendance at:

- (a) meetings of directors or committees of directors,
- (b) general meetings, or
- (c) separate meetings of the holders of any class of shares or of debentures of the company,

or otherwise in connection with the exercise of their powers and the discharge of their responsibilities in relation to the company.

SHARES AND DEBENTURES

Shares

21. All shares to be fully paid up

- (1) No share is to be issued for less than the aggregate of its nominal value and any premium to be paid to the company in consideration for its issue.
- (2) This does not apply to shares taken on the formation of the company by the subscribers to the company's memorandum.

22. Powers to issue different classes of share

- (1) Subject to the articles, but without prejudice to the rights attached to any existing share, the company may issue shares with such rights or restrictions as may be determined by ordinary resolution.
- (2) The company may issue shares which are to be redeemed, or are liable to be redeemed at the option of the company or the holder, and the directors may determine the terms, conditions and manner of redemption of any such shares.

23. Company not bound by less than absolute interests

Except as required by law, no person is to be recognised by the company as holding any share upon any trust, and except as otherwise required by law or the articles, the company is not in any way to be bound by or recognise any interest in a share other than the holder's absolute ownership of it and all the rights attaching to it.

24. Share certificates

- (1) The company must issue each shareholder, free of charge, with one or more certificates in respect of the shares which that shareholder holds.
- (2) Every certificate must specify:
 - (a) in respect of how many shares, of what class, it is issued;
 - (b) the nominal value of those shares;
 - (c) that the shares are fully paid; and
 - (d) any distinguishing numbers assigned to them.

- (3) No certificate may be issued in respect of shares of more than one class.
- (4) If more than one person holds a share, only one certificate may be issued in respect of it.
- (5) Certificates must have affixed to them the company's common seal, or be otherwise executed in accordance with the companies legislation.

25. Replacement share certificates

- (1) If a certificate issued in respect of a shareholder's shares is:
 - (a) damaged or defaced, or
 - (b) said to be lost, stolen or destroyed,that shareholder is entitled to be issued with a replacement certificate in respect of the same shares.
- (2) A shareholder exercising the right to be issued with such a replacement certificate—
 - (a) may at the same time exercise the right to be issued with a single certificate or separate certificates;
 - (b) must return the certificate which is to be replaced to the company if it is damaged or defaced; and
 - (c) must comply with such conditions as to evidence, indemnity and the payment of a reasonable fee as the directors decide.

26. Share transfers

- (1) Shares may be transferred by means of an instrument of transfer in any usual form or any other form approved by the directors, which is executed by or on behalf of the transferor.
- (2) No fee may be charged for registering any instrument of transfer or other document relating to or affecting the title to any share.
- (3) The company may retain any instrument of transfer which is registered.
- (4) The transferor remains the holder of a share until the transferee's name is entered in the register of members as holder of it.
- (5) The directors may refuse to register the transfer of a share, and if they do so, the instrument of transfer must be returned to the transferee with the notice of refusal unless they suspect that the proposed transfer may be fraudulent.

27. Transmission of shares

- (1) If title to a share passes to a transmittee, the company may only recognise the transmittee as having any title to that share.

- (2) A transmittee who produces such evidence of entitlement to shares as the directors may properly require—
 - (a) may, subject to the articles, choose either to become the holder of those shares or to have them transferred to another person, and
 - (b) subject to the articles, and pending any transfer of the shares to another person, has the same rights as the holder had.
- (3) But transmittees do not have the right to attend or vote at a general meeting, or agree to a proposed written resolution, in respect of shares to which they are entitled, by reason of the holder's death or bankruptcy or otherwise, unless they become the holders of those shares.

28. Exercise of transmittees' rights

- (1) Transmittees who wish to become the holders of shares to which they have become entitled must notify the company in writing of that wish.
- (2) If the transmittee wishes to have a share transferred to another person, the transmittee must execute an instrument of transfer in respect of it.
- (3) Any transfer made or executed under this article is to be treated as if it were made or executed by the person from whom the transmittee has derived rights in respect of the share, and as if the event which gave rise to the transmission had not occurred.

29. Transmittees bound by prior notices

If a notice is given to a shareholder in respect of shares and a transmittee is entitled to those shares, the transmittee is bound by the notice if it was given to the shareholder before the transmittee's name has been entered in the register of members.

Dividends and Other Distributions

30. Procedure for declaring dividends

- (1) The company may by ordinary resolution declare dividends, and the directors may decide to pay interim dividends.
- (2) A dividend must not be declared unless the directors have made a recommendation as to its amount. Such a dividend must not exceed the amount recommended by the directors.
- (3) No dividend may be declared or paid unless it is in accordance with shareholders' respective rights.
- (4) Unless the shareholders' resolution to declare or directors' decision to pay a dividend, or the terms on which shares are issued, specify otherwise, it must be paid by reference to each shareholder's holding of shares on the date of the resolution or decision to declare or pay it.
- (5) If the company's share capital is divided into different classes, no interim dividend may be paid on shares carrying deferred or non-preferred rights if, at the time of payment, any preferential dividend is in arrear.

- (6) The directors may pay at intervals any dividend payable at a fixed rate if it appears to them that the profits available for distribution justify the payment.
- (7) If the directors act in good faith, they do not incur any liability to the holders of shares conferring preferred rights for any loss they may suffer by the lawful payment of an interim dividend on shares with deferred or non-preferred rights.

31. Payment of dividends and other distributions

- (1) Where a dividend or other sum which is a distribution is payable in respect of a share, it must be paid by one or more of the following means:
 - (a) transfer to a bank or building society account specified by the distribution recipient either in writing or as the directors may otherwise decide;
 - (b) sending a cheque made payable to the distribution recipient by post to the distribution recipient at the distribution recipient's registered address (if the distribution recipient is a holder of the share), or (in any other case) to an address specified by the distribution recipient either in writing or as the directors may otherwise decide;
 - (c) sending a cheque made payable to such person by post to such person at such address as the distribution recipient has specified either in writing or as the directors may otherwise decide; or
 - (d) any other means of payment as the directors agree with the distribution recipient either in writing or by such other means as the directors decide.
- (2) In the articles, "the distribution recipient" means, in respect of a share in respect of which a dividend or other sum is payable—
 - (a) the holder of the share; or
 - (b) if the share has two or more joint holders, whichever of them is named first in the register of members; or
 - (c) if the holder is no longer entitled to the share by reason of death or bankruptcy, or otherwise by operation of law, the transmittee.

32. No interest on distributions

The company may not pay interest on any dividend or other sum payable in respect of a share unless otherwise provided by—

- (a) the terms on which the share was issued, or
- (b) the provisions of another agreement between the holder of that share and the company.

33. Unclaimed distributions

- (1) All dividends or other sums which are:
 - (a) payable in respect of shares, and
 - (b) unclaimed after having been declared or become payable,may be invested or otherwise made use of by the directors for the benefit of the company until claimed.

- (2) The payment of any such dividend or other sum into a separate account does not make the company a trustee in respect of it.
- (3) If:
 - (a) twelve years have passed from the date on which a dividend or other sum became due for payment, and
 - (b) the distribution recipient has not claimed it,the distribution recipient is no longer entitled to that dividend or other sum and it ceases to remain owing by the company.

34. Non-cash distributions

- (1) Subject to the terms of issue of the share in question, the company may, by ordinary resolution on the recommendation of the directors, decide to pay all or part of a dividend or other distribution payable in respect of a share by transferring non-cash assets of equivalent value (including, without limitation, shares or other securities in any company).
- (2) For the purposes of paying a non-cash distribution, the directors may make whatever arrangements they think fit, including, where any difficulty arises regarding the distribution—
 - (a) fixing the value of any assets;
 - (b) paying cash to any distribution recipient on the basis of that value in order to adjust the rights of recipients; and
 - (c) vesting any assets in trustees.

35. Waiver of distributions

Distribution recipients may waive their entitlement to a dividend or other distribution payable in respect of a share by giving the company notice in writing to that effect, but if:

- (a) the share has more than one holder, or
- (b) more than one person is entitled to the share, whether by reason of the death or bankruptcy of one or more joint holders, or otherwise,

the notice is not effective unless it is expressed to be given, and signed, by all the holders or persons otherwise entitled to the share.

Capitalisation of Profits

36. Authority to capitalise and appropriation of capitalised sums

- (1) Subject to the articles, the directors may, if they are so authorised by an ordinary resolution—
 - (a) decide to capitalise any profits of the company (whether or not they are available for distribution) which are not required for paying a preferential

- dividend, or any sum standing to the credit of the company's share premium account or capital redemption reserve; and
- (b) appropriate any sum which they so decide to capitalise (a "capitalised sum") to the persons who would have been entitled to it if it were distributed by way of dividend (the "persons entitled") and in the same proportions.
- (2) Capitalised sums must be applied—
- (a) on behalf of the persons entitled, and
 - (b) in the same proportions as a dividend would have been distributed to them.
- (3) Any capitalised sum may be applied in paying up new shares of a nominal amount equal to the capitalised sum which are then allotted credited as fully paid to the persons entitled or as they may direct.
- (4) A capitalised sum which was appropriated from profits available for distribution may be applied in paying up new debentures of the company which are then allotted credited as fully paid to the persons entitled or as they may direct.
- (5) Subject to the articles the directors may:
- (a) apply capitalised sums in accordance with paragraphs (3) and (4) partly in one way and partly in another;
 - (b) make such arrangements as they think fit to deal with shares or debentures becoming distributable in fractions under this article (including the issuing of fractional certificates or the making of cash payments); and
 - (c) authorise any person to enter into an agreement with the company on behalf of all the persons entitled which is binding on them in respect of the allotment of shares and debentures to them under this article.

DECISION MAKING BY SHAREHOLDERS

Organisation of General Meetings

37. Convening, attending and speaking at general meetings

- (1A) The directors may, whenever they think fit, convene an extraordinary [special] general meeting. Alternatively any member(s) holding at least 10% of the issued share capital of the Company may convene an extraordinary [special] general meeting in the same manner as nearly as possible as that in which meetings may be convened by the directors.
- (1) A person is able to exercise the right to speak at a general meeting when that person is in a position to communicate to all those attending the meeting, during the meeting, any information or opinions which that person has on the business of the meeting.

- (2) A person is able to exercise the right to vote at a general meeting when:
 - (a) that person is able to vote, during the meeting, on resolutions put to the vote at the meeting, and
 - (b) that person's vote can be taken into account in determining whether or not such resolutions are passed at the same time as the votes of all the other persons attending the meeting.
- (3) The directors may make whatever arrangements they consider appropriate to enable those attending a general meeting to exercise their rights to speak or vote at it.
- (4) In determining attendance at a general meeting, it is immaterial whether any two or more members attending it are in the same place as each other.
- (5) Two or more persons who are not in the same place as each other attend a general meeting if their circumstances are such that if they have (or were to have) rights to speak and vote at that meeting, they are (or would be) able to exercise them.

38. Quorum for general meetings

No business other than the appointment of the chairman of the meeting is to be transacted at a general meeting if the persons attending it do not constitute a quorum.

39. Chairing general meetings

- (1) If the directors have appointed a chairman, the chairman shall chair general meetings if present and willing to do so.
- (2) If the directors have not appointed a chairman, or if the chairman is unwilling to chair the meeting or is not present within ten minutes of the time at which a meeting was due to start—
 - (a) the directors present, or
 - (b) (if no directors are present), the meeting,

must appoint a director or shareholder to chair the meeting, and the appointment of the chairman of the meeting must be the first business of the meeting.

- (3) The person chairing a meeting in accordance with this article is referred to as "the chairman of the meeting".

40. Attendance and speaking by directors and non-shareholders

- (1) Directors may attend and speak at general meetings, whether or not they are shareholders.

- (2) The chairman of the meeting may permit other persons who are not:
 - (a) shareholders of the company, or
 - (b) otherwise entitled to exercise the rights of shareholders in relation to general meetings,to attend and speak at a general meeting.

41. Adjournment

- (1) If the persons attending a general meeting within half an hour of the time at which the meeting was due to start do not constitute a quorum, or if during a meeting a quorum ceases to be present, the chairman of the meeting must adjourn it.
- (2) The chairman of the meeting may adjourn a general meeting at which a quorum is present if:
 - (a) the meeting consents to an adjournment, or
 - (b) it appears to the chairman of the meeting that an adjournment is necessary to protect the safety of any person attending the meeting or ensure that the business of the meeting is conducted in an orderly manner.
- (3) The chairman of the meeting must adjourn a general meeting if directed to do so by the meeting.
- (4) When adjourning a general meeting, the chairman of the meeting must—
 - (a) either specify the time and place to which it is adjourned or state that it is to continue at a time and place to be fixed by the directors, and
 - (b) have regard to any directions as to the time and place of any adjournment which have been given by the meeting.
- (5) If the continuation of an adjourned meeting is to take place more than 14 days after it was adjourned, the company must give at least 7 clear days' notice of it (that is, excluding the day of the adjourned meeting and the day on which the notice is given):
 - (a) to the same persons to whom notice of the company's general meetings is required to be given, and
 - (b) containing the same information which such notice is required to contain.
- (6) No business may be transacted at an adjourned general meeting which could not properly have been transacted at the meeting if the adjournment had not taken place.

Voting at General Meetings

42. Voting: general

- (1) A resolution put to the vote of a general meeting must be decided on a show of hands unless a poll is duly demanded in accordance with the articles.
- (2) Except in the case of removal of auditors, anything that may be done by resolution of the company in general meeting may, without a meeting and without prior notice being required, be done by resolution in writing signed by all the shareholders of the company who are entitled to attend a meeting and vote on the resolution. A resolution in writing made in accordance with this article is valid as if it had been passed by the company in general meeting and the date thereof is the date when the resolution is signed by the last shareholder.

43. Errors and disputes

- (1) No objection may be raised to the qualification of any person voting at a general meeting except at the meeting or adjourned meeting at which the vote objected to is tendered, and every vote not disallowed at the meeting is valid.
- (2) Any such objection must be referred to the chairman of the meeting, whose decision is final.

44. Poll votes

- (1) A poll on a resolution may be demanded:
 - (a) in advance of the general meeting where it is to be put to the vote, or
 - (b) at a general meeting, either before a show of hands on that resolution or immediately after the result of a show of hands on that resolution is declared.
- (2) A poll may be demanded by:
 - (a) the chairman of the meeting;
 - (b) the directors;
 - (c) two or more persons having the right to vote on the resolution; or
 - (d) a person or persons representing not less than one tenth of the total voting rights of all the shareholders having the right to vote on the resolution.
- (3) A demand for a poll may be withdrawn if:
 - (a) the poll has not yet been taken, and
 - (b) the chairman of the meeting consents to the withdrawal.
- (4) Polls must be taken immediately and in such manner as the chairman of the meeting directs.

45. Content of proxy notices

- (1) Proxies may only validly be appointed by a notice in writing (a “proxy notice”) which:
 - (a) states the name and address of the shareholder appointing the proxy;
 - (b) identifies the person appointed to be that shareholder’s proxy and the general meeting in relation to which that person is appointed;
 - (c) is signed by or on behalf of the shareholder appointing the proxy, or is authenticated in such manner as the directors may determine; and
 - (d) is delivered to the company in accordance with the articles and any instructions contained in the notice of the general meeting to which they relate.
- (2) The company may require proxy notices to be delivered in a particular form, and may specify different forms for different purposes.
- (3) Proxy notices may specify how the proxy appointed under them is to vote (or that the proxy is to abstain from voting) on one or more resolutions.
- (4) Unless a proxy notice indicates otherwise, it must be treated as:
 - (a) allowing the person appointed under it as a proxy discretion as to how to vote on any ancillary or procedural resolutions put to the meeting, and
 - (b) appointing that person as a proxy in relation to any adjournment of the general meeting to which it relates as well as the meeting itself.

46. Delivery of proxy notices

- (1) A person who is entitled to attend, speak or vote (either on a show of hands or on a poll) at a general meeting remains so entitled in respect of that meeting or any adjournment of it, even though a valid proxy notice has been delivered to the company by or on behalf of that person.
- (2) An appointment under a proxy notice may be revoked by delivering to the company a notice in writing given by or on behalf of the person by whom or on whose behalf the proxy notice was given.
- (3) A notice revoking a proxy appointment only takes effect if it is delivered before the start of the meeting or adjourned meeting to which it relates.
- (4) If a proxy notice is not executed by the person appointing the proxy, it must be accompanied by written evidence of the authority of the person who executed it to execute it on the appointor’s behalf.

47. Amendments to resolutions

- (1) An ordinary resolution to be proposed at a general meeting may be amended by ordinary resolution if:
 - (a) notice of the proposed amendment is given to the company in writing by a person entitled to vote at the general meeting at which it is to be proposed not less than 48 hours before the meeting is to take place (or such later time as the chairman of the meeting may determine), and

- (b) the proposed amendment does not, in the reasonable opinion of the chairman of the meeting, materially alter the scope of the resolution.
- (2) A special resolution to be proposed at a general meeting may be amended by ordinary resolution, if:
 - (a) the chairman of the meeting proposes the amendment at the general meeting at which the resolution is to be proposed, and
 - (b) the amendment does not go beyond what is necessary to correct a grammatical or other non-substantive error in the resolution.
- (3) If the chairman of the meeting, acting in good faith, wrongly decides that an amendment to a resolution is out of order, the chairman's error does not invalidate the vote on that resolution.

ADMINISTRATIVE ARRANGEMENTS

48. Means of communication to be used

- (1) Subject to the articles, anything sent or supplied by or to the company under the articles may be sent or supplied in the following manner:
 - (a) Subject to the requirements of the companies legislation relating to [special] resolutions, a general meeting of the company may be convened by giving at least 14 clear days' notice in writing (exclusive of the day on which the notice is served or deemed to be served, and of the day for which notice is given) specifying the place, the day and hour of meeting and, in case of special business, the general nature of that business shall be given in the manner provided sub-clause (2) below, to such persons as are entitled to receive such notices from the company. A general meeting may be convened by such shorter notice with the consent of all the members entitled to receive notice of the meeting, and in such manner as those members may think fit.
 - (b) The accidental omission to give notice of a meeting to, or the non-receipt of a notice of a meeting by, any member shall not invalidate the proceedings at any meeting.
 - (c) A notice may be given by the company to any member either (a) personally or (b) by sending it by post to him to his registered address, or (c) by facsimile to the facsimile number (the 'registered facsimile number') or (d) by email the email address (the 'registered email address') supplied by him to the Company for the giving of notices to him.
 - (d) Where a notice is sent by post, service of the notice shall be deemed to be effected by properly addressing, prepaying, and posting a letter containing the notice, and to have been effected in the case of a notice of a meeting on the fourth day after the letter containing the same is posted; in the case of a notice sent by facsimile to the registered facsimile number, or by email to the registered email address, upon sending.

- (2) Subject to the articles, any notice or document to be sent or supplied to a director in connection with the taking of decisions by directors may be sent or supplied in the following manner:
 - (a) by the means by which that director has asked to be sent or supplied with such notices or documents for the time being.
 - (b) A director may agree with the company that notices or documents sent to that director in a particular way are to be deemed to have been received within a specified time of their being sent, and for the specified time to be less than 48 hours.

49. Company seals

- (1) Any common seal may only be used by the authority of the directors.
- (2) The directors may decide by what means and in what form any common seal is to be used.
- (3) Unless otherwise decided by the directors, if the company has a common seal and it is affixed to a document, the document must also be signed by at least one authorised person in the presence of a witness who attests the signature.
- (4) For the purposes of this article, an authorised person is:
 - (a) any director of the company;
 - (b) the company secretary (if any); or
 - (c) any person authorised by the directors for the purpose of signing documents to which the common seal is applied.

50. No right to inspect accounts and other records

Except as provided by law or authorised by the directors or an ordinary resolution of the company, no person is entitled to inspect any of the company's accounting or other records or documents merely by virtue of being a shareholder.

51. Provision for employees on cessation of business

The directors may decide to make provision for the benefit of persons employed or formerly employed by the company or any of its subsidiaries (other than a director or former director or shadow director) in connection with the cessation or transfer to any person of the whole or part of the undertaking of the company or that subsidiary.

Directors' Indemnity and Insurance

52. Indemnity

- (1) Subject to paragraph (2), a relevant director of the company or an associated company may be indemnified out of the company's assets against:
 - (a) any liability incurred by that director in connection with any negligence, default, breach of duty or breach of trust in relation to the company or an associated company,

- (b) any liability incurred by that director in connection with the activities of the company or an associated company in its capacity as a trustee of an occupational pension scheme,
 - (c) any other liability incurred by that director as an officer of the company or an associated company.
- (2) This article does not authorise any indemnity which would be prohibited or rendered void by any provision of the companies legislation or by any other provision of law.
- (3) In this article:
 - (a) companies are associated if one is a subsidiary of the other or both are subsidiaries of the same body corporate, and
 - (b) a “relevant director” means any director or former director of the company or an associated company.

53. Insurance

- (1) The directors may decide to purchase and maintain insurance, at the expense of the company, for the benefit of any relevant director in respect of any relevant loss.
- (2) In this article:
 - (a) a “relevant director” means any director or former director of the company or an associated company,
 - (b) a ‘relevant loss’ means any loss or liability which has been or may be incurred by a relevant director in connection with that director’s duties or powers in relation to the company, any associated company or any pension fund or employees’ share scheme of the company or associated company; and
 - (c) companies are associated if one is a subsidiary of the other or both are subsidiaries of the same body corporate.

Appendix 2:

Distinguishing features of a company and partnership, public and private companies

1. Company compared to a partnership

The essential differences between a company and a partnership are as follows.

- Unlike a company, a partnership is not a separate legal entity.
- A partnership is usually created by a private contract whereas a company has to be created by legal process (called incorporation) prescribed by statute.
- Partners share the profits generated by the partnership equally (unless the partnership agreement provides otherwise) and are jointly and severally liable for the partnership's debts. In a company the profits of the company may be retained and ploughed back into the business or distributed. If distributed the distributable profits are shared between the members according to the number and type of shares owned. The liability of shareholders for the debts of a company is limited; it only extends to the amount (if any) that they agree to pay for the shares they have received when issued. The company is liable in full for its own debts.
- A partnership is automatically dissolved following the death or retirement of one of the partners whereas a company has perpetual succession and its continuation is not affected by the death or retirement of a member or by the transfer of member's shares.
- Partnership property is vested in the names of the partners. In a company the property is vested in the name of the company (not in the name of the members or officers).
- The partners usually manage the business of the partnership as agents and generally have equal rights of management. In a company the management is exercised by the board of directors.
- A partnership often has limited borrowing powers whereas a company has unlimited powers to raise capital from the public to finance its business. A knock-on effect of this is that there are usually no restrictions on the withdrawal of capital from a partnership but in a company there are specific restrictions and requirements relating to the distribution of capital (the so-called capital maintenance doctrine, reviewed in detail in Module 6).
- Income tax is often imposed on the profits of the partners of a partnership and not on the partnership itself. Corporation tax on the profits of a company is usually imposed upon the entity itself and not on the members or officers of the company.

In this preliminary analysis we have distinguished companies and partnerships generally.

Before we leave the subject of partnerships, a brief word should be included about limited partnerships. In recent years a new form of partnership has developed, mainly

in offshore centres, which provides an element of limited liability. Limited partnerships are unincorporated partnerships that generally comprise two types of partners.

- General partners: the general partners manage the partnership business and their liability for the debts of the partnership is unlimited (in the usual way).
- Limited partners: the limited partners take a passive role in the management of the partnership. Their liability is limited to the amount set out in the partnership agreement.

A limited partnership is usually treated as a separate entity in the centre where it is created, although it retains an element of tax transparency that can create possible financial planning benefits.

Limited partnerships are used as collective investment vehicles and as a quasi trust, where the limited partners assume a role similar to that of beneficiaries and the general partners have powers and duties similar to those of a trustee.

A limited liability partnership ('LLP') is a further variation on the theme of a general partnership. The liability of the partners is limited to the assets of the partnership, which means that the individual partners are not liable for the debts of the LLP.

2. Public compared to a private company

The essential differences between a public company and a private company relate to ownership and management.

a. Ownership

In general terms a public company is one whose shares are offered for sale to the general public. There is no restriction on ownership. Public companies are often listed on a recognised stock exchange and their shares are freely traded. In view of this, certain regulatory and accounting requirements have to be fulfilled by public companies in order to provide an element of investor and shareholder protection.

Private companies, on the other hand, are companies that impose a restriction on share ownership and, in general terms, ownership is not made available to the general public. There is often a restriction upon a shareholder's freedom to transfer his shares. There is therefore no ready market for the shares of a private company.

As a result the regulations and requirements imposed on private companies are not as onerous as those imposed on public companies.

b. Management and control

A public company is often very large. It has a significant number of shareholders, but they do not run the business. This is undertaken by a full time board of executive directors and sometimes also part time non-executive directors).

In contrast, a private company is much smaller and the directors and shareholders are often the same persons.

The vast majority of companies incorporated in offshore financial centres are private companies. These provide considerable financial planning opportunities for international clients. Offshore public companies do exist but they are not widely used. Corporate issues relating to public companies are probably best handled by attorneys.

Appendix 3:

Lifting the veil of incorporation

The veil of incorporation

1. There are two well-established principles of company law enshrined in *Salomon v A Salomon and Co. Ltd.*²⁰ Firstly, a company is a completely separate entity from its shareholders who are said to exist on the other side of the veil of incorporation. Secondly, as a consequence, the liability of shareholders for the company's debts is limited to the amount they have paid, or agreed to pay, for their shares when they were issued. Accordingly, if shareholders have paid the full issue price when shares were acquired from the company, they cannot be held liable to pay any debts incurred by the company. The company is liable for its own debts; not the shareholders. The shareholders can lose their investment, but no more, in the event that the company becomes insolvent and unable to pay its own creditors. From a creditor's perspective, a creditor of a company can only enforce payment of the debts against the company and cannot go behind the corporate veil to enforce payment against its shareholders.

Lift the veil of incorporation

2. When and in what circumstances does the common law permit a creditor of a company to lift the veil of incorporation? In other words, are there circumstances where the courts are prepared to ignore the separate legal personality of a company? If there are such circumstances, it will have two consequences. Firstly, it will permit thereby a creditor to impose personal liability upon the company's shareholders. Secondly, it will permit the creditors of a shareholder to enforce payment against the assets of the company.
3. The leading case of *Adams v Cape Industries* and the more modern case of *VTB Capital plc v Nutritek International Corp* analysed the very limited circumstances when a court would be prepared to lift the veil of incorporation, distinguishing circumstances that involve fraud and circumstances where a parent can be held liable for the debts of a subsidiary.²¹

Fraud

4. A court may lift the corporate veil and disregard a company's separate personality when the company:
 - (a) is clearly a 'sham' or 'mere façade' and
 - (b) has been used fraudulently in order to avoid an existing legal obligation.

20. *Salomon v A Salomon and Co Ltd* [1897] AC 22.

21. *Adams v Cape Industries* [1990] Ch 433; *VTB Capital plc v Nutritek International Corp* [2013] UKSC 5.

- 4.1 Example 1: In *Jones v Lipman* a court ordered A to transfer certain property to B. Whereupon, in order to avoid such legal obligation, A transferred the property to a company of which A was sole shareholder. The court was prepared to lift the veil of incorporation and permit B to enforce the original obligation against the property of the company.²²
- 4.2 Example 2: In *Gencor ACP Ltd v Dalby* a director of a public company (Company A) dishonestly stole money from the company and transferred it to Company B, a private company owned and controlled by him. Company A obtained judgment against the director, but the court permitted it to enforce the judgment against the assets of Company B. It was held that Company B was a mere façade and had been formed by the director in order to avoid fraudulently his existing liability to Company A.²³
- 4.3 Example 3: In *Wallersteiner v Moir* a complex corporate structure was established by a single person in order to hold money that he had fraudulently obtained by deception. The court allowed the corporate veil to be lifted on the basis that the corporate entities were mere 'fronts' or a façade, and were designed deliberately to avoid to that person's legal obligations. The network of companies were dismantled so that the corporate assets were deemed to belong to the dishonest shareholder; the creditors of the shareholder could then attach the assets of the corporate entities.²⁴

When a parent can be held liable for the debts of a subsidiary

5. The starting point in the analysis of whether the corporate veil of a subsidiary can be lifted in order to render its parent liable for the debts of its subsidiary is this: each member within a group of companies is a separate legal entity in its own right, with completely separate rights and liabilities from other entities or members of the group.

Nevertheless, it was held in *Cape* that where the group is operated as a 'single economic unit', a court can ignore the separate legal entities and treat them as one. But, in reality, it is extremely difficult (some may say almost impossible) to prove that each member of the group of companies is a single economic unit when they have, for example: a different board, their own bank accounts, their own property and contractual rights, have their own accounting records and prepare their own financials, etc. For example, it was stated in *Atlas Maritime Co. SA. v Avalon Maritime Ltd, the Coral Rose* that:

'The creation or purchase of a subsidiary company with minimal liability, which will operate with the parent's funds and on the parent's directions but not expose the parent to liability may not seem to some the most honest way of trading. But it is extremely common in the international shipping industry and elsewhere [namely in the world of commerce at large]. To hold that it creates as agency relationship between subsidiary and parent [or forms a single economic unit] would be a revolutionary doctrine.'²⁵

22. *Jones v Lipman* [1962] 1 WLR 832.

23. *Gencor ACP Ltd v Dalby* [2000] 2 BCLG 734.

24. *Wallersteiner v Moir* [1974] 3 All ER 217.

25. *Atlas Maritime Co. SA. v Avalon Maritime Ltd, the Coral Rose* [1991] 4 All ER 769, [1991] 4 All ER 769.

United States' law

6. In these circumstances it is pretty exceptional indeed for an English court to be prepared to lift the veil of incorporation. This is in contrast to US law which has departed from English common law principles, particularly when a private company has been established and carries on business, incurring thereby debts and becoming insolvent principally because it has always been hopelessly under-capitalised by its owner. For example, the owner has financed the business by very little of his own money, but an enormous amount of debt. In these circumstances a court in the US would much more readily be prepared to lift the veil to permit creditors of the company to enforce payments of the debt from the company's shareholder personally.

England, and most of the common law financial centres have, in these circumstances, gone down a different path, permitting creditors to sue the company's board and shareholders for fraudulent or wrongful trading. These are remedies discussed further in Module 7.

Appendix 4:

Board resolution to adopt pre-incorporation contract

AB Limited (Company [number])

WRITTEN RESOLUTION OF THE SOLE DIRECTOR OF AB LIMITED (the 'Company')

Pursuant to art.[x] of the Company's Articles of Association, the undersigned sole director of the Company for the time being, HEREBY:

NOTES:

- (A) THAT the promoters of the company (namely [A and B] (the 'Promoters') purported to enter into a contract on behalf of the Company with [C Limited] on [date] for the respective purchase and sale of [96 bottles of wine] the terms of which are set out and described in Purchase Order (the 'Pre-Incorporation Contract'), and
- (B) THAT the Company was incorporated as a company limited by shares on [date] and now exists as a separate legal entity in accordance with [companies legislation].

RESOLVES that the Company adopts the Pre-Incorporation Contract and releases the Promoters of all liability thereunder.

DATE

SIGNED _____ ([For and on behalf of] Sole Director]

Appendix 5:

New Company Questionnaire

1. Name

Three proposed names in order of priority:

2. Type of company

Limited by shares/guarantee.

Resident/non-resident (if applicable)

IBC

3. Capital

Authorised capital \$_____, being _____ shares of \$_____ each.

Issued capital to be \$_____

If no par value, the maximum number of shares that can be issued _____.

4. Shareholders

Name, residential address, occupation, nationality, date and place of birth of beneficial owners of shares and number of shares to be issued.

Whether nominee services are to be provided Y/N.

5. Directors

Whether directorship(s) are to be provided Y/N.

Name, address, occupation, nationality, date and place of birth of all directors except when directorship(s) are to be provided.

6. Secretary/Registered Agent

Name, address, occupation, if required.

7. Objects

General objects clause required?

If objects are to be defined, list the main type of business to be undertaken.

8. Articles

Any special articles required, e.g. min/max directors, quorum etc.

9. Registered Office

Location, if different from office of managing agent.

10. Financial matters

Auditors
Investment Advisers/Managers
Tax Advisers
Financial Year End

11. Bank accounts

Bank
Account Type
Currency
Signatories/Mandate

12. Brokerage (or other) accounts

Firm
Type of account
Currency

13. Preliminary anti-money laundering checklist

Passport
National Identity No.
Other beneficial owner identification documentation
References (x2)
Source of funds
Proposed activities of company
Red flags that required enhanced CDD?

14. FATCA checklist

Beneficial owner a US citizen? Y/N
US indicia?

15. Tax status of beneficial owner for CRS

Beneficial owner's full name and residential address.
Residence for tax purposes.
Tax compliant?
Tax opinion sought/obtained?

Appendix 6A:

Types of company around the offshore world, generally

1. Resident companies

Resident companies (sometimes referred to as local or domestic ordinary companies, depending upon the jurisdiction and context in which the phrase is used) are usually the only type of corporate entity that is permitted to conduct business locally, within the local economy. They are required to meet local filing and regulatory requirements that are usually more onerous than those imposed on other types of company which conduct business overseas rather than locally.

2. Tax-exempt companies

Companies incorporated in certain low-tax Crown Dependencies were able to relinquish their local resident status and instead apply to become exempt from tax in the local centre. When a company receives its new tax status, it is generally referred to as a tax-exempt company. These tax-exempt companies were abolished when low-tax jurisdictions introduced a zero rate of corporate tax – see Appendix 4A in respect of Jersey, Guernsey, Isle of Man and Gibraltar.

3. International companies

These should not be confused with IBCs, despite the use of the name 'International' in the title. International companies were an extension of the principle of the tax-exempt company and were available in Alderney, Gibraltar, Guernsey, Jersey and the Isle of Man. They were similar in nature to tax-exempt companies in that a locally incorporated company was able to relinquish its resident status in favour of an alternative tax treatment. The requirements to be met in order for a company to obtain international status were similar to those that apply to exempt companies.

The essential difference between tax-exempt and international companies was in relation to the amount of tax that an international company could elect to pay. Instead of paying a nominal amount of duty, the extent of which usually equates to the amount of the exempt company tax, an international company may instead elect to pay tax locally at a fixed rate, usually somewhere between 0.5% and 35%.

Why would an offshore company voluntarily elect to pay tax? And, if it could choose the rate of tax, what rate should it choose?

The answer to these questions are found in the complex world of double tax treaties. Dividends paid by international companies are generally deemed to have been made after the deduction of the standard rate of corporate tax that applies in the centre concerned. In addition, international companies are not required to withhold tax from

distributions made to non-residents. An onshore taxpayer can, in these circumstances, take advantage of the tax credit under model double-taxation treaties.

These companies have been abolished following OECD and EU pressure – see Appendix 4A.

4. **Non-resident companies**

In recent years a few offshore centres have offered what have been termed **non resident companies**. These were companies incorporated locally but that, rather than take the residence of their place of incorporation, applied to be treated as non resident in the centre concerned.

In the offshore financial centres where this type of company was initially offered (the Isle of Man and Ireland are the most commonly quoted examples), non-resident companies were not assessed to tax on their income and profits, unless received from local sources (bank interest excepted). In return for this favourable treatment, a non-resident company was required to pay a nominal annual duty to the local revenue authorities, although the duty is usually at a rate higher than the duty payable by tax-exempt companies in the same centre. The key feature of a non-resident company was that management and control had to take place outside the offshore centre. This usually meant that local directors were not appointed and, instead, the client, or nominees of the client, would manage the company. The knock-on effect of this was that often the affairs of a non-resident company would not be known to the service provider and there would be no one locally who could be held accountable for the actions of the company.

This, of course, developed into a regulator's nightmare as, perhaps not unexpectedly, incidents began to materialise where a non-resident company was involved in fraudulent or criminal use. In the Isle of Man and Ireland non-resident companies threatened the reputation of those centres and steps were taken to reduce, and eventually outlaw, the use of this type of vehicle.

The Manx and Irish non-resident company should not be confused with the Caymanian variety. The Cayman ordinary non-resident company is a private limited company but one that cannot carry on business within the Cayman Islands and is therefore not subject to local shareholding requirements. It is nevertheless managed and controlled within the Cayman Islands.

5. **International Business Companies ('IBCs')**

The IBC is very common in offshore financial centres located in the Caribbean and other 'nil-tax' centres. Examples of the centres that offer IBCs include Antigua, Anguilla, the Bahamas, Barbados, Belize, British Virgin Islands (now called BVI BCs), Niue, St. Vincent and the Seychelles.

In some centres, such as the Cook Islands, Mauritius and Samoa, corporate vehicles that have characteristics similar to those of the IBCs are known as International Companies. In Bermuda, the Cayman Islands and Turks and Caicos Islands there is a similar vehicle known as an exempted company. In this context 'exempted' refers to the fact that they are exempt from the requirement to be majority owned by Caymanian citizens.

The following are features of these vehicles.

- Single and corporate directors are allowed.
- Single members are allowed, subscribers do not have to take up any shares, and shareholder resolutions are passed by majority vote.
- A company secretary is not required (but if one is voluntarily appointed it may be a corporate secretary).
- Directors need not be resident in the offshore centre of incorporation and there are no rules regarding frequency and location of director's meetings.
- Annual general meetings of shareholders are not required, nor are accounts required to be laid before the members at an AGM.
- An annual return is not required, but an annual duty is payable to the Registrar of Companies.
- A registered agent is required, that is, an agent who must reside in the jurisdiction of incorporation and who is responsible for ensuring that the local company law requirements are adhered to.
- Limited information is required by the Registrar of Companies (memorandum and articles upon incorporation together with the registered office and record of shareholding). Even less information is public.
- They are not permitted to trade in the offshore centre, although this prohibition is being relaxed under OECD pressure – see Module 3, section 3.2.4.
- IBCs enjoy modern flexible capital maintenance provisions that enable the company to distribute capital surplus (what the British call share premiums).

6. Limited Duration Companies ('LDCs')

This type of company had its origins in the company laws of the US. The Internal Revenue Service has issued favourable tax rulings stating that an LDC should be treated as a partnership for tax purposes. This provides tax planning opportunities for US citizens and corporations.

An LDC enjoys the usual characteristics of a registered company but has a limited duration, generally 30 years or until the completion of a specified task or activity set out in the company's articles of association.

It is usual for the members of an LDC to manage the affairs of the company, and any income or realised gains are assessed on the members, rather than on the company itself. This transparency for tax purposes can create a number of possible financial planning opportunities as, unlike a partnership, an LDC is a separate legal entity with limited liability for its members. However, as the gains and income are assessed on the individual members, their personal reliefs and allowances, which might otherwise have gone unused, are available to set off against the taxes payable.

7. Companies limited by guarantee

A guarantee company is one that does not have share capital. Instead, persons are elected to membership and are asked to contribute to the assets of the company in the event that the company is wound up. The members pay an entry subscription that comprises the initial capital of the company and may be asked to pay further subscriptions if required in the future. As indicated in Module 3, this type of company

is often used for undertakings that do not expect to distribute any profits. They are available in most offshore jurisdictions.

8. Hybrid companies

A hybrid company is an extension of the guarantee company, as it is one that is limited by both shares and guarantee.

The hybrid has a board of directors and members. However, the members are required to contribute to the capital of the company and, in return, they acquire rights that are pro rata to the contributions they have made. They are issued with shares but are required to contribute further funds should the company go into liquidation as a result of insolvency.

In recent years, hybrid companies have increased in popularity particularly as a form of a 'corporate trust' or quasi foundation. This particular use of a hybrid company appeals to clients from civil law countries, where the trust concept is not widely accepted but the use of companies is well known and understood.

The following is an outline of how a hybrid company may be structured so as to take on some of the features of a trust.

- First, the articles of association are drafted in such a way that the management and control of the company rests with the directors as well as those members who have voting shares. Neither the directors nor the shareholders have the right to receive distributions from the company, although the shareholders have wide voting powers.
- Secondly, the rights of the guarantee members are such that, under the articles, they are entitled to receive dividends and loan payments from the company (provided, of course, that dividends are declared or loans agreed). The guarantee members, however, have limited voting rights, if any at all.

By structuring the company in this manner, the directors and voting shareholders have roles that are similar in nature to those of trustees of a trust. Similarly, the guarantee members occupy a position similar to that of the beneficiaries of a discretionary trust, as they receive benefits whenever the directors exercise their dispositive powers in their favour. The similarity to a trust can be extended further if the articles provide for the appointment of a person whose role is to oversee the actions of the directors. This person acts in a similar way to a protector and the articles should specify whether he owes fiduciary duties or not.

Although this type of arrangement assumes many of the key features of a trust, it should be remembered that the hybrid is nevertheless a company and therefore enjoys the special characteristics of a company, such as perpetual succession, separate personality and, of course, limited liability.

9. Protected cell companies ('PCCs')

This type of company is a relatively new concept, having developed in Guernsey under the provisions of the Protected Cell Companies Ordinance 1997 in response to the

requirements of the local mutual fund industry and certain tax planning opportunities. They are now also available in other jurisdictions.²⁶

PCCs have many of the usual features and characteristics of a limited company but the main difference is that their capital is divided up into separate parts, or cells, which are designed to segregate and protect the assets of the company from attachment by creditors and other claimants.

The theory is that, if the assets held in one cell are attached by creditors of the company, the assets in the other cells are protected because of the segregation of the capital. This can create benefits for those who create offshore mutual funds or other types of collective investment schemes, as the capital may be divided into separate cells. Each cell can then be operated as a separate sub-fund within the collective investment fund, thus enabling parts of the fund to invest in high-risk assets while preserving the protection of the other parts of the fund where increased risk is not acceptable.

These companies can also be used to avoid onshore controlled foreign company anti tax avoidance legislation (but it is impossible, in practice, to obtain a definitive opinion upon their effectiveness).

10. Companies in high-tax centres

Some companies incorporated in certain high-tax centres may also provide financial planning opportunities for non-residents. The following is a summary of the features of certain types of corporate entity that may be incorporated in Luxembourg, Switzerland and Delaware.

10.1 Luxembourg 1929 Holding Companies

The two most common types of corporate entity in Luxembourg are the Société Anonyme ('SA') and the Société à Responsabilité Limitée ('SARL'). However, the most common type of company for non-residents is the 1929 Holding Company, which can either be an SA or a SARL (although most are SAs).

A 1929 Holding Company must fulfil certain requirements, including a minimum paid-up capital of FLUX 1,000,000 (or the Euro equivalent). In addition, the sole object of the company must be to hold participating interests in other undertakings. Provided these requirements are met, the company is not liable to taxes in Luxembourg, nor are distributions subject to withholding taxes.

This type of company can be used for a variety of purposes, including holding investment portfolios, patents and trademarks, gold and precious metals, foreign currencies or interests in companies that own real estate.

Holding companies can also be used to act as the central holding company in a financial planning structure and a finance company for a group of companies.

26. BVI – called 'Segregated Portfolio Companies' under Pt 7 of the BVI BCA, 2004; Bermuda – called 'Mutual (or Mutual Fund) Companies' under Pts 12 and 12A of the Companies Act; Cayman Islands – called 'Segregated Portfolio Companies' under Pt 14 of the Companies Law, 2013 Rev; Gibraltar – Protected Cell Companies Ord., 2001 amended 2003; Isle of Man – Protected Cell Companies Act, 2004; Jersey – called 'Cell Companies' under Pt 18D of the Companies (Jersey) Law 1991 as amended.

10.2 Swiss companies

There are three main types of Swiss company that may be formed for use as a tax-efficient asset-holding vehicle.

- A company that has a registered office in Switzerland but that does not conduct any commercial activities, nor have any permanent office staff in Switzerland, is classified as a **domiciliary company**. As such it is only liable to pay tax at the Federal level (and not at the Cantonal and Communal levels that apply to most other types of Swiss company).
- **Service companies** (companies with an administrative office in Switzerland that may provide a service to other companies within its group) are granted taxation benefits in so far as they are usually allocated a concessionary rate of tax payable upon 'service income'.
- **Auxiliary companies** are companies that have a presence in Switzerland but do not engage in commercial activities within the geographical jurisdiction of Switzerland. This type of company is also granted favourable tax benefits.

10.3 Delaware Limited Liability Company ('LLC')

In summary, a company is a separate legal entity, owned by its shareholders, managed by its directors, and which is liable to pay corporation tax in its state of incorporation. A US LLC is a statutory variation, first enacted in Wyoming in 1977 based upon the German GmbH. LLCs are available in a number of states in the US, but most are incorporated in the state of Delaware. An LLC is a separate legal entity offering its shareholders limited liability, but it is managed and taxed in a completely different way. There is no equivalent corporate structure in the UK or elsewhere in the offshore world. The closest comparable entity is the limited partnership.

Management

An LLC does not have a board of directors. The company is managed by its shareholders, called **members**, of which there are two types: the ordinary members and the managing member. The managing member is appointed by the members and is given all powers of management of the business of the company on a day-to-day basis. The LLC has Articles of Organisation but, in addition, it is typical for the members and managing member to enter into an Operating Agreement – this is an agreement that sets out internal rules governing such matters as membership rights, management powers and duties, operating procedures, matters relating to distribution of profits, etc.

Taxation

When formed the LLC can elect to be taxed for US tax purposes as a C Corporation (and become liable to US corporation tax upon its worldwide profits from every source) or an S Corporation (and be treated for US tax purposes as a partnership). Most holding structures elect to be taxed as an S Corporation. In these circumstances the company files a Tax Return that reports profits, but is treated as **pass-through**, i.e. the company is not subject to corporation tax in the US and all annual profits are attributed to the members.

Appendix 6B:

Types of company available in selected jurisdictions

1. The Bahamas

The Bahamas are a nil-tax jurisdiction insofar as they do not impose corporation or withholding taxes upon companies, nor income taxes etc. upon individuals.

The main corporate entity incorporated in the Bahamas and used for offshore asset holding purposes is the IBC, incorporated under the International Business Companies Act 2000 as last amended in 2014 ('IBCA'). This legislation is copied from the old BVI legislation of the same name, the IBCA 1984, itself sharing some of the features of the English model as well as US company legislation. The IBCA did not supersede the existing companies law when first introduced in 1989, but complemented it insofar as it exists alongside the traditional companies legislation, most recently restated in the Companies Act 1992. The Companies Act 1992 is based upon the English 1948 Act and permits the incorporation of companies to carry on business in the Bahamas – they can be public or private, unlimited, limited by shares or guarantee. The Bahamas have also passed additional companies legislation for the provision of special purpose corporate vehicles.

1.1 Domestic limited company

A domestic resident company limited by shares can be incorporated under the Companies Act 1992. This type of company is used for the purpose of carrying on business in the Bahamas. It must have at least two directors, and the company's annual return must include a list of shareholders which is kept on the public register. Financial statements do not have to be audited and are not filed.

1.2 Company limited by guarantee

For a general description of this type of company you are referred to sections 7 and 8 of Appendix 4. The memorandum of a company limited by guarantee must state the amount of the members' guarantee. The articles may state that members have differing 'shares' of assets and liabilities and, as such, can be structured as a 'hybrid'. Particulars of members are not filed.

1.3 Public company

Formed under the Companies Act 1992, it must be intended for the shares of a public company to be distributed to the public. A public company in the Bahamas must have at least three directors, it must produce annual accounts and have them audited. A list of all directors and officers must be filed with the company's annual return.

1.4 International Business Company

The IBC incorporated under the IBCA 1989, now 2000 as amended, is used for offshore asset holding purposes. The company only has IBC status on condition that it does not carry on business, nor hold real estate, in the Bahamas (although it may hold shares in other Bahamian companies). It may have one director and one shareholder (who may or may not be a resident in the Bahamas), and must also have a registered agent (who must reside in the Bahamas). There is no minimum share capital, shares must be registered, not bearer, denominated in any currency. Meetings may be held in the Bahamas, and it can be managed and operated from the Bahamas or elsewhere. The Bahamian government guarantees that an IBC will not attract taxes in the Bahamas for 20 years. The memorandum and articles are the only documents held on the public record. When the IBCA 1989 was passed there was no requirement to file particulars of directors, officers or shareholders. However, under the 2001 and 2004 amendments, IBCs are now required to file the names and addresses of directors, officers and 'beneficial owners'.

1.5 Limited duration companies

The limited duration company ('LDC') was introduced by the International Business Companies (Amendment) Act 1994, and the provisions are now found in Pt 10 of the IBCA 2000, as amended. This type of company is essentially an IBC, but (guess what?) it has a limited duration of up to 30 years. The LDC is a structure designed for US citizens as, under US tax legislation, it is treated as a US LLC so does not become liable to US corporation tax at the corporate level. Instead its annual profits flow through to the shareholders.

1.6 Bahamas foreign company

A foreign, non-Bahamian company can become registered under the Companies Act 1992 as a 'foreign' company. When granted a Certificate of Registration, the foreign company can operate a 'branch' or undertake business within the Bahamas, but must also obtain a business licence from the Investment Authority.

1.7 Segregated account company

Incorporated under the Segregated Account Companies Act 2004, this type of company is structured as a separate legal entity, but one that can segregate assets and liabilities of different accounts (or shares) from assets and liabilities of other accounts (or classes of shares). Each segregated account (or class) is insulated from the others. Assets of one account (or class) are not available to meet liabilities of another account (or class). In other words, creditors of portfolio no.1 cannot attach assets of the company that are held in, or constitute, portfolio no.2. The segregated account company is used by the investment funds industry when an asset management group structures its family of funds under a single 'umbrella'.

2. Bermuda

Bermuda is a nil-tax jurisdiction insofar as it does not impose direct income taxes, estate, wealth or capital taxes of any sort upon individuals (however, there is 'payroll' tax, payable by resident employees, which is a type of mandatory pension and

social security provision). Nor does it impose corporation or withholding taxes upon companies.

The principal companies legislation in Bermuda is the Companies Act 1981. It underwent significant amendments in 2006 and more minor changes in 2009. The Bermuda Monetary Authority is responsible for corporate registrations.

2.1 Local company limited by shares

A local company is a company incorporated under Part 9 of the Companies Act 1981 that must have at least 60% of its shares owned by Bermudian citizens. In these circumstances a local company is allowed to carry on business within Bermuda. It must have at least two directors, who may be corporate and need not be Bermudian. A sole shareholder is permitted. The company must keep accounts at its registered office but they do not have to be filed and they are not, therefore, open to inspection. The register of directors, register of shareholders, memorandum and articles are all held in the public domain and are available for inspection.

2.2 Mutual company

A mutual company incorporated under Pt 12 of the Companies Act 1981 is essentially a guarantee company, in respect of which you are referred to sections 7 and 8 of Appendix 4.

2.3 Bermuda 'permit' company

A foreign, non-Bermudian company can apply to the Ministry of Finance under the Companies Act 1981 to become registered as a 'permit' company. When granted an appropriate 'permit' under Pt 11 of the Act, the company can operate a 'branch' or undertake business within Bermuda.

2.4 Exempt company

The name 'exempt' under Pt 10 of the 1981 Act does not derive from the exemption from local corporation tax, as it did in the Channel Islands (because, as a nil-tax haven, Bermuda does not impose corporation taxes), but it derives from the fact that the company is exempt from the 60% local ownership requirement that applies to a company that wishes to carry on business from within Bermuda. Exempt companies must have at least two officers, who cannot be corporate, who reside in Bermuda — either two directors, or one director and a secretary or 'permanent representative'. The annual fee for a Bermudian exempt company is expensive!

2.5 Mutual fund company

A 'mutual fund company' (as opposed to a 'mutual company') incorporated under Part 12A of the Companies Act 1981 as amended is clearly designed for the Bermudian mutual funds industry. The mutual fund company has the essential characteristics of a segregated account company referred to in Appendix 4, Section 9 and 1(7) above. They are used as a holding structure for a particular type of investment fund.

3. British Virgin Islands (BVI)

The BVI are a nil-tax jurisdiction insofar as they do not impose direct income taxes, estate, wealth or capital taxes of any sort upon individuals. Nor do they impose corporation or withholding taxes upon companies.

Historically, the main corporate entity incorporated in the BVI and used for offshore asset holding purposes was the hugely successful IBC, incorporated under the International Business Companies Act 1984. This legislation shares some of the features of the UK model as well as US companies legislation. The IBCA did not supersede the existing companies law in 1984, but complemented it insofar as it existed alongside the traditional companies legislation, namely the Companies Act 1963 (Cap 285). The Companies Act 1963 was based upon the English 1948 Act and allowed for the incorporation of companies to carry on business in the BVI — they could be public or private, unlimited, limited by shares or guarantee, and became known colloquially as Cap 285 companies.

However, this regime was changed from 2006 by the enactment of the BVI Business Companies Act 2004 ('BVI BCA'). The BVI BCA became the only piece of legislation applicable to companies in the BVI, whether public or private, carrying on business in the BVI or elsewhere, for the purposes of commercial trading or asset-holding. Just one type of company is available, namely the BVI Business Company (BVI BC), but this can be:

- limited by shares — the most popular form of BVI BC
- limited by guarantee, whether prohibited from issuing shares (i.e. a standard type of guarantee company) or permitted to issue shares (i.e. a 'hybrid' guarantee company, reviewed in section 8 of Appendix 4)
- with unlimited liability
- with segregated portfolios or cells (pursuant to Pt 7 BVI BCA, an entity similar to the type overviewed in section 1(7) above).

The new BVI BC of whatever type or colour is not subject to local corporation tax, as there is none. It therefore complies with OECD notions of 'fair' taxation principles, and also satisfies the EU Savings Tax Directive and Code of Conduct on Business Taxation (as required by the UK for all its Overseas Territories) insofar as there is no discriminatory treatment between resident and truly 'offshore' companies.

The following types of company formerly available in the BVI have been superseded: the IBC (transitional provisions stated that all existing IBC's convert automatically to BVI BCs by 2008), the public company, the ordinary resident company, the ordinary non-resident company, the company limited by guarantee (both resident and non-resident), and finally the Cap 285 company.

4. The Cayman Islands

The Cayman Islands are a nil-tax jurisdiction insofar as they do not impose direct income taxes, estate, wealth or capital taxes of any sort upon individuals. Nor do they impose corporation or withholding taxes upon companies.

The principal companies legislation is the Companies Law 1961, which has been amended many times and was most recently revised in 2020. The Companies Law is largely based upon the English 1948 Act and provides for the incorporation of several types of company.

4.1 The ordinary resident company

The ordinary resident company is typically incorporated in order to carry on business in the local economy within the geographic territory of the Cayman Islands. It is also governed by the Local Companies (Control) Law 1995, which states that it must be at least 60% owned by Caymanian citizens or obtain a local license authorising it to trade notwithstanding that it does not have majority Caymanian ownership. Hence the colloquial name given to this type of company is a 'local company'. A list of shareholders must be filed with the Registrar of Companies with the annual return, which is available for inspection. Bearer shares are not permitted. An AGM must be held each year. Accounts must be maintained, although formal financial statements are not mandatory and do not have to be filed, nor is an audit necessary.

4.2 The ordinary non-resident company

The ordinary non-resident company is subject to much the same statutory requirements under the Companies Law 2020 Revision as the resident company, except that pursuant to the Local Companies (Control) Law it cannot carry on any business within the jurisdiction of the Cayman Islands. Meetings of directors and of shareholders can take place in the Cayman Islands or abroad, although the annual return contains an undertaking that local business is not being transacted. Registers of directors, officers and shareholders must be kept, but are not filed and they are not in the public domain. The company must keep accounts, but there is no audit or filing requirement. This type of company is used for foreign asset holding purposes as an alternative to the exempt company.

4.3 Exempt company

The name 'exempt' does not derive from the exemption from local corporation tax, as it did in the Channel Islands (as the Cayman Islands are a nil-tax haven, and do not impose corporation taxes), but it derives from the fact that the company is exempt from the 60% local ownership requirement that applies to a company that wishes to carry on business from within the Cayman Islands. The exempt company is basically the same as the non-resident company except that, under Pt 7 of the Companies Law, it:

- may issue bearer shares, subject to immobilisation provisions
- does not have to use the word 'Limited' in its name
- has a government guarantee that it will not be subject to corporation taxes for 20 years.

4.4 Exempted limited duration company ('LDC')

Under Pt 8 of the Companies Law, the LDC shares some of the characteristics of the Delaware LLC reviewed in Appendix 4, section 10.3 and in 1(5) above and, of course, has a limited duration.

4.5 Segregated portfolio company

Under Pt 14 of the Companies Law 2020 Revision, the segregated portfolio company is similar to the segregated account company reviewed in section 1(7) above. They are used as a holding structure for a particular type of investment fund.

4.6 Foreign company

A foreign, non-Caymanian company can apply to the Registrar under Pt 9 of the Companies Law 2020 to become registered as a 'foreign' company. When granted an appropriate certificate of registration under Pt 9 of the Law, the company can operate a 'branch' or undertake business within the Cayman Islands.

4.7 Guarantee company

For a description of guarantee companies generally you are referred to sections 7 and 8 of Appendix 4, and s.9 of the Companies Law, 2020 Revision.

4.8 Limited Liability Company (LLC)

The Cayman Islands LLC is based upon the Delaware template and governed by the Limited Liability Companies Law 2016. As in Delaware, a Caymanian LLC does not have a board of directors, but is managed by a managing member elected by the shareholders. The managing member is typically given all powers of management of the business of the company on a day-to-day basis. It has Articles but, in addition, it is typical for the members and managing member to enter into an LLC Agreement to set out the internal capital structure and rules governing management and administration. Because it enjoys greater flexibility than an ordinary company in terms of its management, organisation and allocation of profits and losses (in a manner similar to a partnership) it is typically used as a vehicle for investment funds, joint venture companies, private equity transactions, securitisations and other international financing structures.

5. Gibraltar

Gibraltar was classified by OECD as a 'tax haven'. It would be better described as a not so-low-tax haven. Ordinary companies are subject to Gibraltar corporation tax at a standard rate, which has been, until recently, 35% (with a small company rate of 20% where profits are less than £35,000 p.a.). What makes it a tax haven in the eyes of OECD is that the 'exempt' company is not subject to taxes in Gibraltar. The exempt company is essentially one that does not carry on business in the local economy and is not owned, beneficially or otherwise, by Gibraltarian citizens or residents. This has led to an interesting legal battle with Europe.

Having regard to OECD and EU criticism of the duplicity of the ordinary private company regime for 'locals' being subject to corporation tax of 35% and the exempt and qualifying company regime for 'foreigners' being essentially exempt from tax, the Gibraltar government proposed to abolish the exempt and qualifying company in 2003 and introduce a new form of corporation tax payable by all Gibraltarian companies. The new corporation tax would not be assessed upon the company's profits in the normal

(EU-recognised) way, but upon the size of its payroll and occupation of business premises.

It was observed that the typical Gibraltar asset holding company (with no more than a P.O. box in Gibraltar) would not become liable to pay any such tax. This was exactly why it was designed in this way, namely to protect Gibraltar's financial services industry. Accordingly the European Commission brought a lawsuit alleging, amongst other things, that the proposed tax reforms were unfair under 'regional selectivity' because they were advantageous to Gibraltar companies when compared to those incorporated elsewhere in Europe, and in the UK in particular.

Anticipating defeat, and after years of litigation, Gibraltar phased out the exempt and qualifying company by 2010.

In order to preserve Gibraltar's financial service industry some out-of-the-box thinking was required. It could become a nil-tax jurisdiction like, for instance, the Cayman Islands, or become a quasi-nil-corporate-tax jurisdiction and introduce a Zero/10 tax regime like the Channel Islands and the Isle of Man. But, for fiscal reasons specifically applicable to Gibraltar, its expected tax revenues would be insufficient to maintain its public expenditures. Alternatively, Gibraltar could follow the Cyprus model and move to a low rate of corporation tax of 10% that would apply to all Gibraltar companies across the board.

Negotiations with the EU continued alongside the lawsuits. Announcements of a 10% rate of corporation tax were made then renounced. Then in 2008 the European Court ruled in favour of Gibraltar stating that it could indeed introduce its own tax system, and did not have to adopt the UK model. Accordingly, since 2011 when the Income Tax Act 2010 came into force, a Gibraltar Ordinary Resident Company pays corporate income tax at the current rate of 10% per annum upon global earnings; whereas a Non-Resident Company (defined as a company incorporated in Gibraltar that does not trade or derive any earnings in or from Gibraltar) pays tax at a nil rate.

Gibraltar now offers the following types of corporate entity.

5.1 Private company limited by shares

Companies incorporated in Gibraltar were governed by the Companies Ordinance 1930 as amended, which was based upon the English Companies Acts of 1929 and 1948. The Companies Ordinance was modernised and amended by the introduction of the Companies Act 2014. A private company is one with a maximum of 50 shareholders, particulars of which are filed with the annual return and available for public inspection. A sole director is permitted who may be corporate. As indicated above, a private company incorporated in Gibraltar may be an Ordinary Resident company or Non-Resident.

- The Ordinary Resident Company is one that carries on business in Gibraltar or whose management and control is exercised in Gibraltar. In these circumstances it pays corporate income tax at the current rate of 10% per annum upon global earnings.
- The Non-Resident Company is a company incorporated in Gibraltar that does not trade or derive any earnings in or from Gibraltar and pays corporate income tax at a nil rate.

5.2 Public company limited by shares

A public company is one that is not a private company and must have 'plc' in its name.

5.3 Company limited by guarantee

The Gibraltar Companies Ordinance permits companies to be limited by guarantee in the normal way, and to be limited by guarantee but still issue shares as a 'hybrid'. The hybrids can be used as a holding vehicle instead of the discretionary trust – see section 8 of Appendix 4.

5.4 Exempt company (abolished)

An exempt company used to be a private company limited by shares that applied for and obtained tax-exempt status. In these circumstances it was exempt from Gibraltar corporation tax and dividends were not subject to withholding taxes. It is for these reasons that the exempt company had to be abolished.

5.5 Qualifying company (abolished)

This used to be a company incorporated in Gibraltar limited by shares that applied for and obtained 'Qualifying company' status. To qualify the company must not have conducted business in Gibraltar, and satisfied the same conditions that applied to the exempt company. In fact the qualifying company was merely an extension of the exempt company, because if it qualified as such, instead of paying nil tax, it could agree the rate of tax it paid with the Financial and Development Secretary. This was usually between 1% and 35% in order to ensure that the company paid just enough tax to avoid any tax-avoidance rules that apply in the state in which the company carries on its main business. The qualifying company has now been withdrawn under OECD and EU pressure.

5.6 Overseas company

A foreign company can obtain permission to carry on its business in or from Gibraltar by registering as an 'overseas' company.

6. Guernsey

Guernsey was classified by OECD as a 'tax haven', but ought to be described as a nil-corporate-tax haven. There is no corporation tax as such. Until 1 January 2008 both individuals and Guernsey companies paid income tax at the rate of 20%. However, Guernsey companies could apply for and obtain tax-exempt status in which case they paid no corporate income tax at all. Tax exemption was essentially conferred when the company did not carry on business in the local economy and was beneficially owned by foreigners, i.e. non-Guernsey citizens or residents.

The dichotomy of one tax regime for 'local, resident companies' and another for 'exempt' companies lead to much criticism by OECD. Clearly OECD wanted Guernsey to impose the same level of corporate income taxes upon both resident and otherwise exempt companies. Seeing the writing on the wall, Guernsey decided to abolish the concept of the exempt company (as well as the international company). The

government then surprised OECD by introducing a new 'Zero/10' tax regime from 2008 which applies to companies across the board, irrespective of whether they carry on business in Guernsey or elsewhere. 'Zero/10' refers to the fact that ordinary companies pay corporate income tax at a nil rate, whereas banks and financial service providers regulated by the Guernsey FSC pay tax at 10%.

To coincide with the new tax system, Guernsey enacted new companies legislation in the form of the Companies (Guernsey) Law 2008, which streamlined incorporation procedures and introduced a modern companies registry. So, for instance, it is now possible to incorporate a Guernsey company by application to the registrar, rather than involving the court.

Under the new Guernsey regime, the exempt company and the international company have been abolished. This leaves the following types of company still available.

6.1 Company limited by shares

In respect of Guernsey companies currently available, see Part 1, sections 1 through 9 of the Companies (Guernsey) Law 2008. There is no distinction between private and public companies. A company limited by shares is the bog-standard. A sole director is permitted and there must be a secretary. Corporate procedures are simplified and there are no requirements for the holding of meetings.

6.2 Company limited by guarantee

A company limited by guarantee in accordance with s.7 of the Companies (Guernsey) Law 2008 is no different to other guarantee companies, in respect of which see sections 7 and 8 of Appendix 4.

6.3 Unlimited liability company

Permitted under s.8 of the Companies (Guernsey) Law 2008. There is also a mixed liability 'hybrid' available under s.9.

6.4 Cell companies

Originally known as 'protected cell companies' under the Protected Cell Companies Ordinance 1997, these are now governed by Pt 27 of the Companies (Guernsey) Law 2008. A cell company has the essential features that are identical to the segregated portfolio company, in respect of which you are referred to section 1(7) above. They are used as a holding structure for a particular type of investment fund. There is also a variation called the Incorporated Cell Company under s.4.

6.5 Exempt company (abolished 2008)

Prior to 2008, a private company could apply for and obtain tax exempt status under the Income Tax (Exempt Bodies) (Guernsey) Ordinance on condition it did not trade within the local economy. The annual fee was £600. The exempt company has been phased out and any exempt companies became resident for tax purposes on 1 January 2008, so that their profits are liable to tax at the rate of nil% (or 10% if a bank, etc.).

6.6 International company (abolished 2008)

Prior to 2008, a private company could apply for and obtain 'international company' status under the Income Tax (International Bodies)(Guernsey) Law 1993. In order to qualify the company had to be resident for tax purposes in Guernsey but must not conduct business with Guernsey citizens or residents. Upon acquiring international company status the company could, instead of paying nil tax as an exempt company, agree the rate of tax it pays with the Guernsey tax authorities. This was usually between 1% and 30% in order to ensure that the company paid just enough tax to avoid any tax-avoidance rules that apply in the state in which it carries on its main business. The international company was abolished as of 1 January 2008.

7. Hong Kong

Hong Kong is a low-tax centre. There is no corporation tax as such. Instead, income tax is imposed upon profits made by 'persons' who carry on a trade or profession in or from Hong Kong. 'Persons' in this context includes individuals, and also companies that are incorporated or registered in Hong Kong. Accordingly, both Hong Kong-resident individuals and Hong Kong-resident companies pay income tax (historically, companies at the rate of 16% and individuals at 15%).

The type of corporate entity available in Hong Kong is fairly basic: public, private and registered branch of an overseas company. However, it is the tax treatment of these 'persons' that create tax planning opportunities. Tax is charged on a territorial basis. In other words, corporate income tax is only imposed upon profits made by a Hong Kong company that are actually earned in or derive from Hong Kong. All foreign earned profits, or earnings that derive from outside of Hong Kong, are free from corporate income tax. In these circumstances, a Hong Kong private company that holds and manages income producing assets outside Hong Kong can earn profits tax-free, without incurring any liability in Hong Kong to pay corporate income tax.

The old companies legislation in Hong Kong, namely the Companies Ordinance 1984, consolidated into a 1997 version was based upon the English Acts of 1948 and 1985. However, this was modernised and significantly changed by the introduction of amendments to the Companies Ordinance, Cap 622 in 2014. Hong Kong has never catered for the exempt company nor the BVI style IBC.

7.1 Private company limited by shares

A private company incorporated under the Hong Kong Companies Ordinance looks, feels and smells much like an English company incorporated under the 1948 Act. Having said that, the 2014 legislation is a modern equivalent and introduces one or two interesting concepts as well as a considerable amount of detail and additional complexity. The private company limited by shares, in accordance with section 8 Companies Ordinance, Cap 622, 2014, is the type of vehicle used by businessmen for trading purposes within Hong Kong and also by international investors, family offices and fiduciaries for asset holding purposes. There is also available a private company limited by guarantee in accordance with s.9 of the Companies Ordinance, Cap 622, 2014, and an unlimited company in accordance with s.10.

7.2 Public company limited by shares

A public company is any company other than a private company as defined in s.12 of the Companies Ordinance, Cap 622, 2014.

7.3 Branch of an overseas company

See Pt 16, Divisions 1 and 2, ss.774–795 of the Companies Ordinance, Cap 622, 2014.

8. The Isle of Man

Like the Channel Islands, the Isle of Man was classified by OECD as a 'tax haven'. But it ought to be described as a nil-corporate tax haven. There is no corporation tax as such. Until 1 January 2006 both individuals and Manx companies paid income tax (historically companies paid corporate income tax at the rate of 20% but, from 2003, the first £500,000 was taxed at 10% and, in the last year before the introduction of 'Zero/10' in 2006, the rate was 15% for trading companies and 18% for non-trading companies). However, prior to 2006, Manx companies could apply for and obtain tax-exempt status, in which case they paid no corporate income tax at all. Tax exemption was essentially conferred when the company did not carry on business in the local economy and was beneficially owned by foreigners, i.e. non-Manx citizens or residents.

The dichotomy of one tax regime for 'local, resident companies' and another for 'exempt' companies lead to much criticism by OECD. Clearly OECD wanted the Isle of Man to impose the same level of taxes upon both resident and otherwise exempt companies. The Isle of Man therefore decided to abolish the concept of the exempt company (and the non-resident and international company). The Manx government then surprised OECD by introducing a new 'Zero/10' tax regime from 2006 which applies to companies across the board, irrespective of whether they carry on business in the Isle of Man or elsewhere. 'Zero/10' refers to the fact that ordinary companies pay corporate income tax at a nil rate, whereas banks and financial service providers regulated by the Manx FSC pay corporate income tax of 10%.

To coincide with the new tax system, the Isle of Man enacted new companies legislation in the form of the Companies Act 2006. The 2006 Act operates alongside the old Companies Act 1931, as amended from time to time, and introduced a new company, called (rather appropriately) the 'New Manx Vehicle'.

Under the new Manx corporate and tax regime, the exempt company, non-resident company and the international company have been abolished. This leaves the following types of company still available in the Isle of Man.

8.1 Private company limited by shares

The Manx Companies Act 1931, as amended, distinguishes between a public and private company. A private company must state it is a private company in its memorandum; it may have a sole shareholder and particulars must be filed in the annual return and are then available for public inspection. A company limited by shares is the bog-standard company based upon the English 1948 Act.

8.2 Public company

A public company is one that is not a private company, as defined, and must have 'plc' in its name. It must have a minimum of two shareholders although it is anticipated that the shares will be made available to the investing public.

8.3 Company limited by guarantee (and 'hybrid')

A company limited by guarantee in the Isle of Man is no different to other guarantee companies and the company limited by guarantee with shares is the classic 'hybrid' company, in respect of which you are referred to sections 7 and 8 of Appendix 4.

8.4 Unlimited liability company

Permitted under Pt 4 s.61 of the Companies Act 2006.

8.5 Protected cell companies

Protected cell companies' under the Manx Protected Cell Companies Act 2004 have the essential features that are similar to the segregated portfolio company, in respect of which you are referred to 1(7) above. They are used as a holding structure for a particular type of investment fund.

8.6 Limited liability company ('LLC')

The LLC was introduced into Manx law by the Limited Liability Companies Act 1996. It does not have directors, but must have at least two members and a registered agent who is required to reside in the Isle of Man. The internal rules of governance of an LLC are set out in Articles of Organisation. It has a maximum duration of up to 30 years. One of the important features of an LLC is that it is not subject to corporate income tax (even at the new nil rate). Instead it is taxed as a partnership, so that corporate profits flow-through to the members and are taxed in the hands of the individual members. (For a detailed description of an LLC you are referred to Appendix 4, section 10.3).

8.7 New Manx Vehicle

The Companies Act 2006 created a new, stream-lined, cheap-and-cheerful, easy-to-manage company, which has become known as the 'New Manx Vehicle'. Each such company is given a company number in the normal way, but it contains the suffix 'V' to distinguish it from the ordinary company incorporated under the Companies Act 1931. The New Manx Vehicle is used for asset holding purposes and is therefore taxed at the zero rate of corporate income tax applicable in the Isle of Man. It is similar to the BVI BC.

8.8 Exempt company (abolished 2006)

Prior to 2006, a Manx private company could apply for and obtain tax exempt status under the Income Tax (Exempt Companies) Act 1984 on condition that it did not trade within the local economy and was not owned, beneficially or otherwise, by Manx citizens or residents and had no Manx income. The annual fee was £475. The exempt

company was phased out and any existing exempt companies became resident for tax purposes on 1 January 2007, so that their profits are now liable to tax at the nil rate (or 10% if a bank, etc.).

8.9 International company (abolished 2006)

Prior to 2006, a Manx private company could apply for and obtain 'international company' status under the International Business Act 1994. In order to qualify the company must have been resident for tax purposes in the Isle of Man, but not conduct business with Manx citizens or residents so that its income was derived from outside the Isle of Man. Upon acquiring international company status the company could, instead of paying nil tax as an exempt company, agree the rate of tax it paid to the Manx tax authorities. This was usually between 1% and 30% in order to ensure that the company paid just enough tax to avoid any tax-avoidance rules that apply in the state in which it carries on its main business. The international company was abolished as of 1 January 2006.

8.10 Non-resident company (abolished 2006)

A private Manx company could apply to become non-resident by submitting a Declaration of Non-Residency, upon condition that its central management and control was exercised overseas, namely outside the geographical territory of the Isle of Man. In these circumstances it was not liable to pay Manx corporate income tax. For the reasons explained in Appendix 4, section 3, they have been phased out and ultimately abolished in 2006.

9. Jersey

Jersey, like Guernsey, was classified by OECD as a 'tax haven'. However, like Guernsey and the Isle of Man, it ought to be described as a nil-corporate-tax centre. There is no corporation tax as such. Until 2008 both Jersey-resident individuals and Jersey-resident companies paid income tax at the rate of 20%. However, Jersey companies could apply for and obtain tax-exempt status in which case they paid no corporate income tax at all. Tax exemption was essentially conferred when the company did not carry on business in the local economy and was beneficially owned by foreigners, i.e. non-Jersey citizens or residents.

The dichotomy of one tax regime for 'local, resident companies' and another for 'exempt' companies lead to much criticism by OECD. Clearly OECD wanted Jersey to impose the same level of corporate income taxes upon both resident and otherwise exempt companies. Accordingly, Jersey (like Guernsey and the Isle of Man, which had similar regimes) decided to abolish the concept of the exempt company (as well as the international business company). The government then introduced a new 'Zero/10' tax regime by the Income Tax (Amendment No.28)(Jersey) Law 2007 which, from 1 January 2009, applies to companies across the board, irrespective of whether they carry on business in Jersey or elsewhere. 'Zero/10' refers to the fact that ordinary companies pay corporate income tax at a nil rate, whereas banks and financial service providers regulated by the Jersey FSC pay tax at 10%. This clearly resulted in lost tax revenues so, in order to bridge the gap, Jersey introduced a 'goods and sales tax' ('GST').

Under the new Jersey corporate income tax regime, the exempt company and the international business company have been abolished. This leaves the following types of company still available.

9.1 Private company limited by shares

In respect of Jersey companies currently available, see Pt 2, arts 3A–3I of the Companies (Jersey) Law 1991, as amended from time to time and consolidated in 2019. There remains a distinction between private companies (art.3A) and public companies (art.3B). A company limited by shares is the bog-standard and is used for asset holding purposes. A sole director is permitted and there must be a secretary. Corporate procedures are simplified and there are no requirements for the holding of meetings.

9.2 Public companies limited by shares

See the above and art.3B of the Companies (Jersey) Law 1991, as amended and consolidated 2019.

9.3 Company limited by guarantee

A company limited by guarantee in Jersey under art.3G of the Companies (Jersey) Law 1991 as amended, is no different to other guarantee companies, in respect of which see sections 7 and 8 of Appendix 4.

9.4 Unlimited liability company

Permitted under art.3D of the Companies (Jersey) Law 1991 as amended and revised 2019.

9.5 Par value and no-par value companies

See arts 3E and 3F of the Companies (Jersey) Law 1991, as amended.

9.6 Limited Life companies

See art.3H of the Companies (Jersey) Law 1991, as amended.

9.7 Cell companies

Sometimes known as ‘protected cell companies’, these are now available under art.3I, and are governed by Pt 18D of the Companies (Jersey) Law 1991, as amended. The Jersey cell company has all of the essential features that apply to the segregated portfolio company, in respect of which see section 1(7) above. They are used as a holding structure for a particular type of investment fund.

9.8 Exempt company (abolished 2009)

Prior to June 2008, a Jersey private company could apply to the Comptroller of Income Tax and obtain tax exempt status under the Income Tax (Jersey) Law 1961 on condition it did not trade within the local economy. The annual fee was £600. The exempt company has been phased out and any existing exempt companies on 3 June 2009

became resident for tax purposes, so that their profits are liable to tax at the nil rate (or 10% if a bank, etc.).

9.9 International business company (abolished 2011)

Prior to January 2006, a Jersey private company could apply for and obtain 'international business company' status (not to be confused with the BVI company of the same name). In order to qualify the company must have been resident in Jersey for tax purposes but not conduct business with Jersey citizens or residents. Upon acquiring international business company status the company could, instead of paying nil tax as an exempt company, agree the rate of tax it pays with the Jersey tax authority. This was usually between 1% and 30% in order to ensure that the company paid just enough tax to avoid any tax-avoidance rules that apply in the state in which it carries on its main business. The Jersey version of the international business company was completely abolished in 2011.

10. Singapore

Singapore is a not-so-low-tax centre. Corporation tax at the rate of 17% (as of 2017) is imposed upon profits made by companies that are resident in Singapore (essentially incorporated in Singapore or that are managed and controlled from Singapore). The type of corporate entity available in Singapore is fairly basic: public, private and registered branch of an overseas company. However, it is the tax treatment of these companies that create tax planning opportunities. Corporation tax is charged on a territorial basis. In other words, corporation tax is only imposed upon earnings made by a Singaporean company that are actually earned in, or derive from, or are received in, Singapore. All foreign earned profits, or earnings that derive from sources outside Singapore, are free from corporation tax. In these circumstances, a Singaporean private company that holds and manages income producing assets outside Singapore can earn profits tax-free, without incurring any liability in Singapore to pay corporation tax. Singapore is also an attractive jurisdiction to establish a group holding company.

The companies legislation in Singapore, namely the Companies Act, Cap 50 consolidated 2017, is based upon the English 1948 and 1985 Acts, although a number of amendments were introduced in 2016 prior to the publication of a consolidated version of Cap 50 in 2017. Singapore has never catered for the exempt company nor BVI style IBC.

10.1 Private company limited by shares

A private company incorporated under the Singapore Companies Act Cap 50 is very similar to a private company incorporated under the English 1948 Act. This is the type of vehicle used by businessmen for trading purposes within Singapore, and also by international investors, family offices and fiduciaries for asset holding purposes. It is also used as a group holding structure.

The Exempt Private Company (EPC) must have less than 20 shareholders and enjoys certain exemptions, such as no audit requirement and accounts do not need to be filed with the Accounting and Corporate Regulatory Authority (ACRA).

10.2 Public company limited by shares

A public company is any company other than a private company, as defined in s.18 of the Companies Act, Cap 50.

10.3 Company limited by guarantee

Usually carry out not-for-profit activities; must register with ACRA, have its accounts audited and filed.

10.4 Branch of an overseas company

See Pt 11, Division 2, ss.365–386 of the Companies Act, Cap 50.

Appendix 7A:

Register of members

AB LIMITED: REGISTER OF MEMBERS

Name	SP (Nominees) Ltd
Address	2, Main St
Date issue/transfer	[date]
Number	
Certificate	one
Class	one
Denomination	Ordinary
Transfer	USD1.00
Remarks	Subscriber

Appendix 7B:

Register of directors and officers

AB LIMITED: REGISTER OF DIRECTORS, OFFICERS AND REGISTERED AGENTS

Name	SP (Directors) Ltd	SP (Secretaries) Ltd	SP (Agents) Ltd
Address	2, Main Street	2, Main Street	2, Main Street
Position	Director	Secretary	Registered Agent
Nationality	Swiss	Virgin Islander	Caymanian
Appointed	[date]	[date]	[date]
Resignation/Removal			

Appendix 7C:

Register of charges

AB LIMITED: REGISTER OF MEMBERS

Lender	XYZ Bank	HOPE Cap
Address	3, High Street	[address]
Type of Charge	First Legal Charge	Floating Charge
Property Charged	Real estate known as 'Blackacre'	Movable assets owned from time to time
Date	[date]	[date]
Date recorded	[date]	[date]

Appendix 7D:

Register of beneficial owners

AB LIMITED: REGISTER OF BENEFICIAL OWNERSHIP

Name

Date of birth

Nationality

Residential address

Service address, if different

Date became beneficial owner

Which condition(s) the beneficial owner meets²⁷

27. The definition of beneficial owner (what British call 'persons with significant control' 'PSC') is set out in applicable local companies legislation and must satisfy OECD recommendations. In England the statutory provisions are found in a new Pt 21A of the Companies Act 2006 (inserted by SBEEA) which states that a PSC meets one or more of the following conditions: (a) directly or indirectly holds more than 25% of the shares; (b) directly or indirectly holds more than 25% of the voting rights; (c) directly or indirectly holds the right to appoint and remove directors; (d) has the right to exercise, or actually exercises, significant influence or control. It is the final condition that is the killer. Control means that the PSC can direct the company's activities; influence means that the PSC can ensure, in fact, if not in law, that the company adopts the activities the PSC desires.

Appendix 8:

Declaration of compliance

IN THE MATTER of an application for the incorporation of a private [exempt][international business] company limited by shares pursuant to Part [x] of [companies legislation].

STATEMENT [DECLARATION] OF COMPLIANCE

We, [name and address], being a registered agent/regulated corporate services provider in accordance with Part [x] of [applicable regulations] have been engaged to incorporate a private [exempt][international business] company limited by shares by the proposed name of [AB Limited], whose registered office upon incorporation shall be located at [address]. By signing this Statement [Declaration] of Compliance on behalf of the proposed company we confirm that the requirements of Parts [x, y and z] of the [companies legislation] as to the formation, incorporation and corporate existence of a private [exempt][international business] company limited by shares have and will, upon incorporation, be complied with.

DATED

SIGNED

Appendix 9:

Written resolution of sole director upon incorporation

AB LIMITED

Written Resolutions of the Director(s) of AB LIMITED (‘the Company’)

Pursuant to the provisions of Article _____ of the Company’s Articles of Association, we the undersigned sole director of the Company for the time being, hereby note and resolve as follows:

IT IS NOTED:

(A) Incorporation

THAT the Company’s memorandum and articles of association have been registered with the Registrar of Companies and that a Certificate of Incorporation has been issued dated [date].

(B) Subscriber shares

THAT the shares which the subscriber has agreed in the memorandum to take up shall be issued to Service Provider (Nominees) Limited.

(C) Directors

THAT the subscribers to the memorandum have appointed [name and address] as the first and sole director of the Company.

THAT the said appointee has consented to act.

THAT it is anticipated that the Company and the appointee will enter into a directors service agreement in the form attached hereto marked ‘AB1’ (the ‘Director’s Service Agreement’)

THAT the following interests have been declared and are hereby noted: [there is a common owner of the shares in the corporate subscriber, the registered shareholder holder, the registered agent and the sole corporate director of the Company].

(D) Registered agent

THAT a copy of the written consent signed by Service Provider (Registered Agent) Ltd has been produced, confirming its consent to act as registered agent of the Company.

IT IS HEREBY RESOLVED:

1. Director's Service Agreement

THAT the Director's Service Agreement be and is hereby approved and that the secretary [registered agent] is hereby authorised to execute it on behalf of the Company.

2. Secretary (and other officers)

THAT [name], having consented to act, be and is hereby appointed as the first Secretary of the Company [and THAT the powers be conferred, and duties imposed upon, the Secretary that are set out in the attached document entitled Role and Responsibilities of the Secretary.²⁸]

3. Registered agent

THAT [name] be and is hereby appointed as the registered agent of the Company.

4. Common Seal

THAT the seal, an impression of which is affixed in the margin of these written minutes, be and is hereby adopted as the common seal of the Company [which seal shall be affixed to any document, deed or instrument in the presence of the sole director [and registered agent] who should testify by their signatures on the sealed document that the seal has been properly affixed].

5. Bank account

THAT a US dollar current/checking account be opened with [name] bank and that the authorised signatures thereto be [name] and [name].

THAT the resolutions contained in the Bank's printed forms of resolutions, a copy of which is attached to and deemed part of these resolutions marked 'AB2', be and are hereby adopted in full.

6. Brokerage account

THAT a brokerage and custody account be opened with [name of broker] and that the authorised signatures thereto be [name] and [name].

THAT the resolutions contained in the broker's printed forms of resolutions, a copy of which is attached to and deemed part of these resolutions marked 'AB3', be and are hereby adopted in full.

7. Appointment of Agents

THAT [name] be and is hereby appointed as investment advisor or attorney] at fees and remuneration to be fixed by the board.

28. The Role and Responsibilities document is illustrated in Appendix 24C and is discussed further in Module 9.

8. Financial year

THAT the financial year end of the Company be fixed at [date].

9. Subscriber shares

THAT Share Certificates numbered 1 and 2 be issued in respect of the shares taken by the subscribers of the Company and that the Share Certificates be signed, [sealed] and issued.

10. Share allotment

THAT upon an application for ordinary shares being received from [name], the following shares be and are hereby issued and allotted as fully paid:

[Allottee:	No. of shares (and class):	]
------------	----------------------------	---

THAT that the Secretary (registered agent/service provider] of the Company be and is hereby authorised and instructed to prepare and issue the appropriate Share Certificates numbered 3 and 4 [and affix the common seal thereto].

DATE

SIGNED

Appendix 10A:

Resolution of board to migrate company by way of continuance process

AB Limited (Company [number])

WRITTEN RESOLUTIONS OF THE SOLE DIRECTOR OF AB LIMITED (the 'Company')

Pursuant to art.[x] of the Company's Articles of Association, the undersigned sole director of the Company for the time being, HEREBY:

1. NOTES THAT the Company is a private company limited by shares, having been incorporated in [jurisdiction] on [date] pursuant to [companies legislation] and has been allocated company number [number].
2. RESOLVES that it is desirable and in the interests of the Company to (a) de-register and migrate from the register of companies pursuant to Part [x] of the [companies legislation] of the laws of [old jurisdiction] and (b) re-domicile in [new jurisdiction] by way of continuation process pursuant to Part [x] of [companies legislation] the laws of [new jurisdiction].
3. [RESOLVES that it is appropriate in the circumstances to comply with the laws of [new jurisdiction] to adopt new Articles in the form attached and marked 'AB1'.]
4. RESOLVES that the written resolution procedure pursuant to art.[x] be used to pass, if the members think fit, the special resolution required to authorise the migration described in resolution 2 above, as set out in the written resolution attached marked 'AB2'.
5. RESOLVES that, subject to the passing of the special resolution referred to above, the secretary/registered agent/corporate administrator be and is hereby authorised to complete all necessary and desirable actions and procedures to enable the Company to migrate as aforesaid.

DATE

SIGNED _____ ([For and on behalf of] Sole Director)

Appendix 10B:

Resolution of members to migrate

AB Limited (Company [number])

WRITTEN [SPECIAL] RESOLUTIONS OF THE SOLE SHAREHOLDER OF AB LIMITED (the 'Company')

Pursuant to art.[x] of the Company's Articles of Association, the undersigned sole shareholder of the Company for the time being, HEREBY:

1. NOTES THAT the Company is a private company limited by shares, having been incorporated in [jurisdiction] on [date] pursuant to [companies legislation] and has been allocated company number [number].
2. RESOLVES as a Special Resolution of the Company to:
 - 2.1 de-register the Company to permit it to migrate from the register of companies pursuant to Part [x] of the [companies legislation] of the laws of [old jurisdiction], and
 - 2.2 re-domicile the Company in [new jurisdiction] by way of continuation process pursuant to Part [x] of [companies legislation] the laws of [new jurisdiction].

DATED

SIGNED _____ ([For and on behalf of] Sole Shareholder)

Appendix 10C:

Affidavit in support of application to migrate

IN THE MATTER of an application by AB Limited to migrate by way of continuation process from [jurisdiction] and become re-domiciled in [new jurisdiction pursuant to section [number, companies legislation].

AFFIDAVIT

I, [name] of [address] **MAKE OATH AND SAY** [DO SOLEMNLY DECLARE] as follows:

1. I am the sole director of AB Limited (the 'Company').
2. This Affidavit is made in support of an application by the Company to migrate by way of continuation process from [jurisdiction] and become re-domiciled in [new jurisdiction pursuant to section [number, companies legislation].
3. The facts and matters set out in this Affidavit are within my own knowledge, save where the contrary appears and are true. Where the facts and matters are not within my own personal knowledge, they are true to the best of my information and belief and derive from the sources stated.
4. Exhibited to this Affidavit are a bundle of documents marked 'AB1' and reference in this Affidavit to page numbers are to page numbers in Exhibit AB1.

Corporate documentation

5. There is produced to me in Exhibit 'AB1' true copies of the Company's:
 - 5.1 certificate of incorporation issued by the relevant authority, namely the registrar of companies in [jurisdiction] (page x);
 - 5.2 memorandum of association (pages x) and articles of association (pages x) filed with the registrar of companies of [jurisdiction];
 - 5.3 register of directors and officers, which are required by the laws of [jurisdiction] to be held at its registered office; and
 - 5.4 certificate of good standing issued by the registrar of [jurisdiction], confirming the Company's good standing.

Company's solvency

6. The Company is solvent. The value of its assets exceed its liabilities and it is in a financial position to pay its debts as they fall due. There is produced to me true copies of the Company's financial statements for the last three years (pages x). Furthermore:
 - 6.1 no petition or other similar proceeding has been filed and remains outstanding or order made or resolution adopted to wind up or liquidate the Company in any jurisdiction;
 - 6.2 no receiver, trustee, administrator or other similar person has been appointed in any jurisdiction and is acting in respect of the Company, its affairs or its property or any part thereof;
 - 6.3 no scheme, order, compromise or other similar arrangement has been entered into or made in any jurisdiction whereby the rights of creditors of the Company are and continue to be suspended or restricted;
 - 6.4 the application for registration is *bona fide* and not intended to defraud existing creditors of the Company;
 - 6.5 any consent or approval to the transfer required by any contract or undertaking entered into or given by the Company has been obtained, released or waived, as the case may be;
7. I am advised by the Company's attorney-at-law in [jurisdiction], namely [name and address] that:
 - 7.1 the migration contemplated by this application is permitted by and has been approved in accordance with the constitutive documents of the Company; and
 - 7.2 the laws of [jurisdiction] with respect to the migration have been or will be complied with; and
 - 7.3 the Company will, upon registration hereunder, cease to be incorporated, registered or exist under the laws of [jurisdiction].
8. I am advised by the Company's attorney-at-law in [jurisdiction], namely [name and address] that the Company is constituted in a form or substantially a form which could have been incorporated as a private [exempted] company limited by shares under [companies legislation].

Sworn by [name])

at [location])

before me,) _____ [For and on behalf of] Sole Director

Appendix 11:

Special resolution of members to change company name

MINUTES OF AN [EXTRAORDINARY] GENERAL MEETING OF AB LIMITED held on [date] at [place].

PRESENT: Service Provider (Nominees) Ltd, represented by [name].
 Provider Service (Nominees) Ltd, represented by [name].

CHAIRMAN: [name] acted as chairman of the meeting, confirmed the meeting was convened correctly and quorate.

A PROPOSAL to change the name of the company was considered.

IT WAS RESOLVED [as a special resolution] that the name of the company be changed to ABC Inc. and that the secretary [registered agent] be and is hereby authorized to notify the registrar of companies [and any other relevant third parties] of such change.

THERE being no further business, the meeting terminated.

Signed [Chairman/Secretary]

Appendix 12:

Board resolution to change location of registered office

AB Limited (Company [number])

WRITTEN RESOLUTIONS OF THE SOLE DIRECTOR OF AB LIMITED (the 'Company')

Pursuant to art.[x] of the Company's Articles of Association, the undersigned sole director of the Company for the time being, HEREBY:

1. RESOLVES that the location of the registered office of the Company be changed to [new address].
2. RESOLVES that the secretary/registered agent/corporate administrator be and is hereby authorised immediately to notify the registrar of the new address, together with all other interested parties.

DATE

SIGNED _____ ([For and on behalf of] Sole Director)

Appendix 13A:

Board resolutions to re-register as a private company

AB Limited (Company [number])

WRITTEN RESOLUTIONS OF THE BOARD OF DIRECTORS OF AB LIMITED (the 'Company')

Pursuant to art.[x] of the Company's Articles of Association, the undersigned directors of the Company for the time being, HEREBY:

1. NOTE THAT the Company is a public company limited by shares, having been incorporated in [jurisdiction] on [date] pursuant to [companies legislation] and has been allocated company number [number].
2. RESOLVE that it is desirable and in the interests of the Company for it to seek re-registration as a private company.
3. RESOLVE that it is appropriate in the circumstances to adopt new Articles in the form attached and marked 'AB1'.
4. RESOLVE that a general meeting of the Company be convened to consider and, if thought fit passing, a special resolution to re-register as a private company and adopt new articles. The secretary/corporate services provider be and is hereby instructed to convene such meeting.
5. RESOLVE that, subject to the passing of the special resolution referred to above, the secretary/registered agent/corporate administrator be and is hereby authorised to complete all necessary and desirable actions and procedures to enable the Company to be re-registered as a private company as aforesaid.

DATE

SIGNED _____ ([For and on behalf of] the Director(s))

Appendix 13B:

Member's resolution to re-register as a private company

AB Limited (Company [number])

MINUTES OF A MEETING OF THE SHAREHOLDERS OF AB LIMITED (the 'Company') held at [location] on [date]

PRESENT: [Names]

CHAIRMAN: [name] acted as chairman of the meeting, confirmed the meeting was convened correctly and quorate.

A PROPOSAL to re-register the Company as a private company and make consequential changes to the articles was considered.

IT WAS RESOLVED [as a special resolution]

1. THAT the Company, being a public limited company, be re-registered under [section of companies legislation] as a private company limited by shares.
2. THAT the articles set out in the document produced to the meeting marked 'AB1' be approved and adopted as the articles of the Company, with effect from the date of re-registration.
- [3. THAT the seal, an impression of which is placed below, be adopted as the new seal of the Company upon re-registration as a private company.]

DATED

SIGNED _____ ([For and on behalf of] Chairman/Secretary)

Appendix 14:

Member's resolution to amend objects clause

AB Limited (Company [number])

WRITTEN [SPECIAL] RESOLUTIONS OF THE SOLE SHAREHOLDER OF AB LIMITED (the 'Company')

Pursuant to art.[x] of the Company's Articles of Association, the undersigned sole shareholder of the Company for the time being HEREBY RESOLVES, as a Special Resolution of the Company:

1. THAT the provisions set forth in clause 4 of the Memorandum of Association for the purposes of identification attached hereto marked 'AB1' be approved and adopted, in substitution for, and to the exclusion of, all the existing provisions in clause 4 of the Company's Memorandum and the Company's Memorandum of Association be altered accordingly.
2. THAT the board/secretary/registered agent/regulator service provider be and is hereby instructed to notify immediately the registrar of companies of such amendment.

DATED

SIGNED _____ ([For and on behalf of] Sole Shareholder)

Appendix 15A:

Board resolution to recommend an amendment or restatement of the articles

AB Limited (Company [number])

WRITTEN RESOLUTIONS OF THE BOARD OF DIRECTORS OF AB LIMITED (the 'Company')

Pursuant to art.[x] of the Company's Articles of Association, the undersigned sole director of the Company for the time being, HEREBY:

1. RESOLVE to recommend to the members that the articles be amended in the following manner:
 - 1.1 By the deletion of Articles [w] and [x] and the re-numbering of subsequent articles.
 - 1.2 By the addition of the following new articles to be numbered [y] and [z].
[RESOLVE to recommend to the members to adopt the new articles attached hereto marked 'AB1' in place of the current articles of association of the Company.]
2. RESOLVE to circulate the attached written [special] resolution to amend the Company's articles in accordance with the above resolution, marked for identification 'AB1', to the members.

[RESOLVE to convene a general meeting of the Company to consider the aforesaid amendment to the articles and the secretary/registered agent/service provider be and is hereby instructed to convene such meeting forthwith.]
3. RESOLVE that, if such resolution is passed, to notify immediately the registrar of companies of such amendment.

DATE

SIGNED _____ ([For and on behalf of] Sole Director)

Appendix 15B:

Member's special resolution to amend articles

AB Limited (Company [number])

WRITTEN RESOLUTION OF THE MEMBERS OF AB LIMITED (the 'Company')

Pursuant to art.[x] of the Company's Articles of Association, the undersigned sole shareholder of the Company for the time being, HEREBY RESOLVES as a special resolution to amend the articles in the following manner:

1. By the deletion of Articles [w] and [x] and the re-numbering of subsequent articles.
2. By the addition of the following new articles to be numbered [y] and [z].

DATE

SIGNED _____ ([For and on behalf of] Sole Shareholder]

Appendix 15C:

Member's special resolution to adopt new (or re-state the) articles

AB Limited (Company [number])

WRITTEN RESOLUTION OF THE MEMBERS OF AB LIMITED (the 'Company')

Pursuant to art.[x] of the Company's Articles of Association, the undersigned sole shareholder of the Company for the time being, HEREBY RESOLVES as a special resolution to approve and adopt the new articles produced and attached hereto marked 'AB1' in substitution for, and to the exclusion of, the existing articles of the Company.

DATE

SIGNED _____ ([For and on behalf of] Sole Shareholder]

Appendix 16A:

Member's resolution to authorise the board to allot and issue shares

AB Limited (Company [number])

WRITTEN RESOLUTION OF THE MEMBERS OF AB LIMITED (the 'Company')

Pursuant to Article [x] of the Company's Articles of Association, we the undersigned sole member of the Company for the time being, HEREBY RESOLVE that approval be and is hereby given for the directors to exercise any power of the Company to issue shares and to make or grant offers, agreements, or options which might require shares to be issued after the expiration of this approval.

DATE

SIGNED _____ ([For and on behalf of] Sole Shareholder)

Appendix 16B:

Application to subscribe for new shares

To: The Board of Directors, AB Limited (the 'Company')

I, [name and address], apply to subscribe to the issue of [number] ordinary shares of \$1.00 each in the capital of the Company, subject to the Company's memorandum and Articles, for a total issue price of \$[amount] per share.

DATE

SIGNED

Appendix 16C:

Director's resolution to allot and issue new shares

AB Limited (Company [number])

WRITTEN RESOLUTIONS OF THE BOARD OF DIRECTORS OF AB LIMITED (the 'Company')

Pursuant to art.[x] of the Company's Articles of Association, the undersigned sole director of the Company for the time being, HEREBY:

NOTE:

- (A) THAT an application for the allotment of shares having been received from the person listed below.
- (B) THAT Article 2.3 of the Company's articles of association provides that 'The un-issued shares of the Company shall be at the disposal of the board of directors who may offer, allot, issue or otherwise dispose of them to such persons, at such time, and for such consideration and upon such terms and conditions as the directors may determine'.

RESOLVE:

- 1. THAT pursuant to Article 2.3 of the Company's articles of association that the following shares in the Company be allotted and issued as fully paid ordinary shares:

Allottee: [name and address]	No. of shares: [number]
------------------------------	-------------------------
- 2. THAT that upon payment of the consideration being received from the allottee, the secretary/registered agent/service provider be and is hereby authorized to:
 - 2.1 prepare the relevant share certificate and for such certificate to be executed and delivered to the allottee, and
 - 2.2 enter the name of the allottee and other required information in the register of members of the Company [and register of beneficial ownership, and file required particulars with the competent authority].

DATE

SIGNED _____ ([For and on behalf of] Sole Director)

Appendix 16D:

Share certificate

SHARE CERTIFICATE

Certificate Number	Number of Shares
1	1

Company Name: AB Limited

Company Number: 123456

THIS IS TO CERTIFY THAT [name and address] is the registered holder of one share of \$1.00 fully paid in the above-named company, subject to the Memorandum and Articles of Association.

This share certificate is hereby executed by the Company [The common seal of the Company was affixed in the presence of:

DATE: [date]

EXECUTED:

Sole Director: [signature]

[Secretary/registered agent: (signature)]

Appendix 16E:

Indemnity for lost share certificate

INDEMNITY FOR LOST SHARE CERTIFICATE

To: AB Limited (the 'Company')

The original certificate of title relating to the securities set out below issued by the above-named Company has been lost or destroyed.

Neither the securities nor the certificate of title have been transferred, charged, lent or deposited or dealt with in any manner affecting the title thereto and the person named in the certificate is the person entitled to be on the register of members of the Company in respect to such securities.

I request the Company to issue a duplicate certificate of title for such securities and in consideration for doing so, undertake to indemnify the Company against all claims and demands which may be made against the Company and/or its directors and officers in consequence of compliance with this request and of the Company allowing at any time hereafter a transfer of the said securities, or any part thereof, without the production of the original certificate.

I undertake to deliver to the Company for cancellation the original certificate should it ever be recovered.

Particulars of certificates lost or destroyed

Number of certificate	Type, class and amount of securities	In favour of
[Number]	[Ordinary shares of \$1.00]	[Name of shareholder]

DATE

SIGNED

Appendix 17A:

Class rights

Although there are variations upon each theme, there are basically two classes of share: ordinary shares (called **common stock** in the US), and preference shares (called **preferred stock** in the US).

1. Ordinary shares

An owner of ordinary shares generally has the following rights.

i. Voting

An owner of ordinary shares (of common stock) may attend meetings of members of the company, propose and discuss motions and vote on them. Generally, an ordinary shareholder has one vote per share (on a poll). The ordinary shareholders control the company in general meeting and influence management by appointing the directors.

ii. Dividends

An owner of ordinary shares (of common stock) may be paid a dividend when:

- a. the company makes a profit and
- b. when declared by the company.

But ordinary shareholders only receive the surplus of the declared dividend after a dividend has been paid to the preference shareholders according to their express rights thereto, in respect of which see section 2 below.

iii. Return of capital

Ordinary shareholders have the right to the return of capital when the company is wound up either alongside (or equal with) other shareholders or, if the preference shareholders are expressly given priority, after the return of capital to the preference shareholders.

2. Preference shares

‘Preference share’ is a generic name given to various classes of share in order to distinguish them from ordinary shares. Their distinguishing features depend upon the rights conferred upon holders of them as set out in the memorandum, in the articles or in the terms of their issue. In a nutshell, they often have priority over ordinary shares in relation to the payment of a dividend and the return of capital when the company is wound up.

An owner of preference shares will typically have the following rights.

i. Voting

A preference shareholder generally has limited voting rights. The right of a preference shareholder to attend meetings of members and, moreover, to vote on proposed resolutions is usually limited to such matters as the winding-up of the company, restrictions to vary their class rights or to vote in connection with their dividends that are in arrears. Other than the above they have no rights to vote and thereby influence the constitution of, or the direction of the business of the company, for instance by hiring and firing directors, etc.

ii. Dividends

A preference shareholder generally has the right to a first claim upon any dividend declared by the company. The right to a dividend is presumed to be non-participating, unless the articles or terms of issue expressly state otherwise. This means that they are not entitled to participate (share) in the surplus dividend with the ordinary shareholders.

Example 1

A company, XYZ Ltd, has issued 1,000 ordinary shares. It declares a dividend of \$5,000. Each share receives a dividend of \$5.

Example 2

XYZ Ltd issues 1,000 ordinary shares and 500 preference shares which carry the right to a \$2 dividend preference. It declares a dividend of \$5,000. The preference shareholders receive a dividend of \$1,000 (or \$2 per share), and the ordinary shareholders share a dividend of \$4,000 (or \$4 per share).

Example 3

If the preference shareholders have the express right to participate in the profits, on the facts of Example 2 they would receive a first dividend of \$1,000, as above, and the balance of \$4,000 would be divided equally between the ordinary and the preference shareholders (\$2.66 per share).

The terms of the dividend preference is usually expressed as a percentage of the par (or nominal) value of the shares.

Example 4

On the facts of Example 2, assume that XYZ Ltd issues 500 10% preference shares with a par value of \$20. If the shares are non-participating, the preference shareholders receive \$1,000 (500 × 20 × 10%).

A preference shareholder's right to a dividend may be **cumulative**. This means that if the company does not declare a dividend in any one year, the right is

carried forward to subsequent years and paid before ordinary shareholders as soon as a sufficient dividend is declared.

Example 5

XYZ Ltd does not declare a dividend in year one, but in year two it declares a dividend of \$5,000. If the shares are cumulative and non-participating the preference shareholders receive \$2,000 (\$1,000 plus \$1,000 carried forward from year one), and the ordinary shareholders share \$3,000 or \$3 per share.

The right to a cumulative dividend is presumed unless it is specifically displaced by express words in the articles or terms of issue.

Example 6

On the facts of Example 5, assume that the articles of XYZ Ltd state that the preference shareholders have the right to a \$2 dividend preference 'payable out of the yearly profits only'. In these circumstances they would not receive a dividend in year one, and would receive only \$1,000 in year two, as no carry forward is permitted.

iii. Return of capital

When a company ceases to trade and its life ends upon the company being formally wound up, the articles should state whether preference shareholders are entitled to the return of their capital in priority to, or alongside (with equal rights to), the ordinary shareholders. As a rule, however, they do not have any right to share the surplus assets after the return of capital to the shareholders.

Example 7

Assume that XYZ Ltd issues 1,000 ordinary shares with a par value of \$10 each, and 500 preference shares also with a \$10 par value. The company is wound up with net assets (after paying all debts) of \$20,000. The ordinary and preference shareholders may be entitled to the return of their capital equally, *pari passu*. So the ordinary shareholders receive a return of their capital of \$10,000, and the preference shareholders receive \$5,000. The surplus of \$5,000 is paid over to the ordinary shareholders.

By contrast, the articles of XYZ Ltd or the terms of issue may give preference shareholders priority over ordinary shareholders, so that the ordinary shareholders are repaid their capital contributions only after preference shareholders have received theirs.

Example 8

Assume that the facts are as in Example 7, save that the net assets of XYZ Ltd only amount to \$10,000. The articles give preference shareholders priority rights to the return of their capital. The preference shareholders here receive \$5,000, the return of their capital in full. The remaining \$5,000 is shared *pari passu* between the ordinary shareholders – each share receiving a return of capital of \$5 only.

Appendix 17B:

Balance sheet

BALANCE SHEET OF AB LIMITED as at [date]

ASSETS

Current assets

Cash	12,000
Accounts receivable	5,000
Inventory	10,000
	27,000

Fixed (non-current) assets

Buildings, plant and machinery	40,000

TOTAL ASSETS	67,000
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LIABILITIES AND SHAREHOLDERS' EQUITY

Current Liabilities

Debts payable	500
---------------	-----

Long-term Liabilities

Long-term loans and bonds	2,000
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Shareholders' equity (or Capital and Reserves)

Share Capital (or just Capital)	15,000
Share Premium (or Capital Surplus)	45,000
Retained Earnings	4,500

TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	67,000
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Appendix 18A:

Share transfer form

AB LIMITED

SHARE TRANSFER FORM

'Company': [Name and number]

'Transferor': [Name and address of registered holder(s)]

'Transferee': [Name and address]

'Shares': [Number, type and denomination, e.g. One [or 100] Ordinary Share of \$1.00 each represented by Share Certificate Number One]

'Consideration': [Price or 'Nil']

BY THIS INSTRUMENT OF TRANSFER, the Transferor HEREBY TRANSFERS the Shares of the Company to the Transferee for the Consideration stated above subject to the conditions upon which the Transferor holds the same and the Transferee agrees to take the Shares subject to such conditions.

The Transferee requests that such entries be made in the register of members of the Company as are necessary to give effect to this transfer.

DATED

SIGNED _____ Transferor

SIGNED _____ Transferee

Appendix 18B:

Director's resolution authorising share transfer

AB Limited (Company [number])

WRITTEN RESOLUTIONS OF THE SOLE DIRECTOR OF AB LIMITED (the 'Company')

Pursuant to art.[x] of the Company's Articles of Association, the undersigned sole director of the Company for the time being:

HEREBY NOTES:

- (A) THAT a share transfer form executed by the Transferor and Transferee in respect of the shares in the Company identified below has been submitted to the Company together with a request to register the Transferee as a member of the Company.
- (B) THAT by Article 8.3 of the Company's articles such registration must be approved by the board.

HEREBY RESOLVES:

- 1. THAT the following transfer be approved in accordance with Article 8.3:

Transferor	No. of shares	Numbered (from/to)	Transferee
[name]	[100]	[From 101 to 200]	[name]

- 2. THAT the Transferee be entered in the register of members, and
- 3. THAT the old share certificate be cancelled and a new share certificate be prepared, executed and delivered to the Transferee.

DATE

SIGNED _____ ([For and on behalf of] Sole Director]

Appendix 18C:

Director's resolution refusing to register share transfer

AB Limited (Company [number])

WRITTEN RESOLUTIONS OF THE SOLE DIRECTOR OF AB LIMITED (the 'Company')

Pursuant to Article [x] of the Company's Articles of Association, the undersigned sole director of the Company for the time being:

HEREBY NOTES:

- (A) THAT a share transfer form executed by the Transferor and Transferee in respect of the shares in the Company identified below has been submitted to the Company together with a request to register the Transferee as a member of the Company:

Transferor	No. of shares	Numbered (from/to)	Transferee
[name]	[100]	[From 101 to 200]	[name]

- (B) THAT by Article 8.2 of the Company's articles such registration must be approved by the board.

HEREBY RESOLVES to decline to register the said transfer [for the following reasons: state reasons for refusal, which must be based upon accurate facts, not be unreasonable nor frivolous].

DATE

SIGNED _____ ([For and on behalf of] Sole Director]

Appendix 18D:

Notice of refusal to register share transfer

AB Limited (Company [number])

NOTICE TO PROPOSED TRANSFEREE NOTIFYING OF REFUSAL TO REGISTER TRANSFER

To: [Name and address of proposed transferee]

In exercise of the powers conferred by Article 8.2 of the Company's articles of association, the board of directors have resolved to refuse registration of the transfer of the shares identified below:

Transferor	No. of shares	Numbered (from/to)	Transferee
[name]	[100]	[From 101 to 200]	[name]

The reasons for the refusal are: [state reasons for refusal].

The share transfer form and corresponding share certificate lodged by you are returned herewith.

DATED

SIGNED _____ Director/Secretary

Appendix 18E:

Request of personal representative to be registered as shareholder

REQUEST BY PERSONAL REPRESENTATIVE(S) OF A DECEASED HOLDER TO BE PLACED ON THE REGISTER OF MEMBERS

To: The directors of AB LIMITED of [Address of registered office]

In this notice:

The 'Company' is: AB Limited

The 'Deceased' is: [Name of deceased shareholder]

The 'Shares' are: [100 Ordinary shares in the Company of \$1.00 each numbered from 101 to 200 registered in the name of the Deceased]

The 'Personal Representative(s)': are: [Name and address]

The Personal Representative(s) of the Deceased, HEREBY REQUEST you to register them in the register of members of the Company as the holder(s) of the Shares now registered in the name of the Deceased.

The share certificate in respect of the Shares and the grant of probate of the estate of the Deceased appointing the Personal Representative(s) are attached.

DATED

SIGNED _____

_____ Personal Representatives of the estate of the Deceased

Appendix 19A:

Director's resolution to recommend payment of a dividend

AB Limited (Company [number])

WRITTEN RESOLUTIONS OF THE SOLE DIRECTOR OF AB LIMITED (the 'Company')

Pursuant to art.[x] of the Company's Articles of Association, the undersigned sole director of the Company for the time being:

HEREBY NOTES from a review of the Company's financial statements that there are distributable funds held in the Company that justify the payment of a dividend.

HEREBY RESOLVES THAT a dividend of [amount] per ordinary share in respect of the financial year ended [date] be recommended to the shareholders of the Company [to the annual general meeting of the Company to be held on [date]] payable on [date] to the ordinary shareholders registered at close of business on [date].

DATE

SIGNED _____ ([For and on behalf of] Sole Director]

Appendix 19B:

Member's resolution to declare and pay a dividend recommended by board

AB Limited (Company [number])

WRITTEN RESOLUTION OF THE MEMBERS OF AB LIMITED (the 'Company')

Pursuant to art.[x] of the Company's Articles of Association, we the undersigned sole member of the Company for the time being:

NOTE THAT by a written resolution [dated] the sole director of the Company recommended that a dividend in respect of the year ended [date] be declared at the rate of [amount] per ordinary share to shareholders registered at the close of business on [date].

HEREBY RESOLVE THAT, in accordance with the said recommendation, a dividend in respect of the year ended [date] be declared, payable at the rate of [amount] per ordinary share to shareholders registered at the close of business on [date].

DATE

SIGNED _____ ([For and on behalf of] Sole Shareholder)

Appendix 19C:

Director's resolution to declare and pay dividend

AB Limited (Company [number])

WRITTEN RESOLUTIONS OF THE SOLE DIRECTOR OF AB LIMITED (the 'Company')

Pursuant to art.[x] of the Company's Articles of Association, the undersigned sole director of the Company for the time being:

HEREBY NOTE from a review of the Company's financial statements that there are distributable funds held in the Company that justify the payment of a dividend.

HEREBY RESOLVE THAT a dividend in respect of the year ended [date] be declared, payable at the rate of [amount] per ordinary share to shareholders registered at the close of business on [date].

DATE

SIGNED _____

Appendix 20A:

Promissory note in favour of beneficial owner

AB LIMITED

PROMISSORY NOTE

The company, AB Limited of [registered office] hereby acknowledge receipt of \$1 million from [name of beneficial owner] and PROMISE to repay the same upon demand without interest.

DATE

SIGNED _____ (Sole director)

Appendix 20B:

Demand for partial repayment of beneficial owner loan

DEMAND FOR RE-PAYMENT IN PART of BENEFICIAL OWNER LOAN

To: The directors of AB LIMITED of [Address of registered office]

I refer to the Promissory Note made by the Company in my favour dated [date].

Please accept this notice as a demand for re-payment of the sum of \$ [amount] payable on [date] by wire transfer to my account at [account details].

DATED

SIGNED

Appendix 20C:

Director's resolution to borrow from beneficial owner and execute pro note

AB Limited (Company [number])

WRITTEN RESOLUTIONS OF THE SOLE DIRECTOR OF AB LIMITED (the 'Company')

Pursuant to art.[x] of the Company's Articles of Association, the undersigned sole director of the Company for the time being:

HEREBY NOTES:

- (A) THAT [name of beneficial owner] has agreed to lend the Company of the sum of \$[1 million] on an unsecured basis, repayable on demand without interest.
- (B) THAT the borrowing would promote the success of the Company and be in its best interests
- (C) THAT a copy of a promissory note has been produced and is attached marked 'AB1' (the 'Promissory Note')

HEREBY RESOLVES:

- 1. THAT that the terms and conditions of the borrowing by the Company from [name of beneficial owner] be and are hereby approved.
- 2. THAT the sole director be and is hereby authorised to execute the Promissory Note on behalf of the Company in the presence of a witness.

DATE

SIGNED

Appendix 20D:

Director's resolution to repay, in part, beneficial owner loan

AB Limited (Company [number])

WRITTEN RESOLUTIONS OF THE SOLE DIRECTOR OF AB LIMITED (the 'Company')

Pursuant to art.[x] of the Company's Articles of Association, the undersigned sole director of the Company for the time being:

HEREBY NOTES:

- (A) THAT [name of beneficial owner] (the 'Creditor') lent the sum of \$[1 million] to the Company on an unsecured basis, repayable on demand without interest, evidenced by a Promissory Note by the Company dated [date] (the 'Promissory Note').
- (B) THAT [name of beneficial owner] has made a written demand for re-payment in part of the indebtedness dated [date] and sought the sum of \$[amount] be transferred to his account on [date] (the 'Demand').

HEREBY RESOLVES:

- 1. THAT a payment to the Creditor in order to comply with the Demand according to the terms of the Promissory Note be and is hereby approved.
- 2. THAT the sum of \$[amount] be repaid and transferred to the Creditor on [date] by wire transfer to the Creditor's account referred to in the Demand.
- 3. THAT the Creditor's running account with the Company be updated accordingly to reflect such re-payment.

DATE

SIGNED

Appendix 20E:

Director's resolution to distribute from IBC, with statement of solvency

AB Limited (Company [number])

WRITTEN RESOLUTIONS OF THE SOLE DIRECTOR OF AB LIMITED (the 'Company')

Pursuant to art.[x] of the Company's Articles of Association, the undersigned sole director of the Company for the time being:

HEREBY NOTES:

- (A) THAT the director has carried out a careful review of the Company's financial statements and established that there are distributable funds held in the Company that justify a distribution.

HEREBY DECLARES:

- (B) THAT the director is satisfied that the Company will, immediately after the proposed distribution [and for the 12 months thereafter],²⁹ satisfy the statutory solvency test by:
- (i) having assets that exceed its liabilities, and
 - (ii) being able to pay its debts as they fall due for payment.

HEREBY RESOLVES

1. THAT a distribution [dividend] in respect of the year ended [date] be paid [declared], payable forthwith at the rate of [amount] per ordinary share to shareholders registered at the close of business on [date].
2. THAT the corporate services provider be and is hereby instructed to wire transfer the sum of \$[amount] from the Company's account at [bank] to the account of [account] as in compliance with the sole shareholder's distribution [dividend payment] mandate.

DATE

SIGNED

29. Some jurisdiction require the solvency test to be satisfied at a point in time immediately after the proposed distribution; other jurisdiction require the directors to certify that the company will remain solvent for a stated period thereafter, such as 12 months. When drafting the resolution care should be taken to ensure the correct solvency test applicable in the jurisdiction of incorporation is reproduced.

Appendix 21 A:

Director's consent to be appointed as director

AB LIMITED (the 'Company')

CONSENT TO BE APPOINTED AS SOLE DIRECTOR UPON INCORPORATION

IT IS NOTED:

- (A) THAT [name of subscriber(s)] (the 'Subscriber') having subscribed to the Company and delivered the signed memorandum of association of the Company and other prescribed particulars to the registrar.
- (B) The registrar issuing a certificate of incorporation of the Company on [date].
- (C) The Subscriber proposes to appoint the undersigned person or entity as sole director of the Company.

CONSENT TO ACT

The undersigned proposed appointee to the board:

1. HEREBY CONSENTS to his or its appointment as sole director of the Company [such consent being conditional upon the Company entering into a director's service agreement in terms that the undersigned has agreed to].
2. CONFIRMS that he or it is eligible to be appointed as director in accordance with the [relevant companies legislation].

DATE

SIGNED

Appendix 21 B:

Subscribers' resolution appointing first director(s)

AB LIMITED (the 'Company')

SUBSCRIBER'S WRITTEN RESOLUTION APPOINTING SOLE DIRECTOR

IT IS NOTED:

- (A) THAT having subscribed to the Company and delivered the signed memorandum of association of the Company and other prescribed particulars to the registrar, the registrar issued a certificate of incorporation of the Company on [date].
- (B) THAT the person or entity identified below has consented to being appointed as sole director of the Company and is eligible to be so appointed.

IT IS HEREBY RESOLVED that [name and address] be and is hereby appointed to the board as sole director of the Company.

DATE

SIGNED

Appendix 21C:

Director's service agreement (DSA)

THIS DIRECTOR SERVICES AGREEMENT

BETWEEN

- (1) **[Name of new company]**, having its registered office at [address] (the 'Company'), and
- (2) [Name of director], its registered office located at [address] (the 'Director')

WHEREAS

- A. [The Service Provider] introduced the Director to the Company.
- B. The Company wishes to appoint the Director as sole director of the Company.
- C. The business of the Company is that of an asset-holding company.

NOW IT IS AGREED THAT:

The terms and conditions upon which the Director is engaged as sole director of the Company are as follows:

1. Definitions

- 1.1 In this Agreement, the following words shall bear the following meanings, save where otherwise provided or where the context otherwise requires or admits:
 - 1.1.1 'Articles' means the memorandum and articles of association of the Company for the time being in force.
 - 1.1.2 'Board' means the board of directors for the time being of the Company.
 - 1.1.3 ['Company Documents' means any of the following documents to which the Company is a party or which otherwise relate to the Company: limited partnership agreement; investment management agreement; investment advisory agreement; directors' services agreement; offering document or other agreement with other service providers including (without limitation) the administrator and the custodian; and Articles of Association]. **[This will vary by entity type.]**
- 1.2 Unless the context otherwise requires, words importing the singular number shall include the plural, words importing any gender shall include all genders, and words importing persons only shall include companies and associations or bodies of persons, whether incorporated or not, and vice versa.

2. Appointment and Term

- 2.1 The Company agrees to appoint the Director as sole director of the Company, and the Director agrees to act as sole director of the Company in accordance with the provisions of this Agreement.
- 2.2 This Agreement shall have effect from the date hereof and shall remain in force and effect until terminated in accordance with its terms.

3. Remuneration

- 3.1 The Company shall pay the following fees to the Director (the 'Directorship Fees'):
 - 3.1.1 An Annual Fee specified in Schedule 1 for each year or part year that the Director serves as sole director of the Company. The Annual Fee is for the provision of services to the Company in respect of certain statutory functions and one annual in person meeting, payable annually in advance.
 - 3.1.2 Additional fees will be charged on a time spent basis for all matters which require effort and time on the part of the Director at the Hourly Rate specified in Schedule 1 and billed at a frequency to be determined by the Director.
- 3.2 The Director may vary the fees and provisions for expenses payable to it under this Agreement, provided that notice shall be given to the Company prior to the effective date of such variation.

4. Expenses

- 4.1 The Company shall, upon being provided with reasonable proof of expenditure, reimburse all reasonable expenses incurred by the Director in the course of carrying out his or its duties under this Agreement, including but not limited to:
 - 4.1.1 all reasonable travelling and other expenses incurred by the Director in attending meetings of the Board or equivalent or any committee of the Board, or general or extraordinary meetings of the Company; and
 - 4.1.2 telephone, fax, printing, copying charges, which shall be charged at [number]% of the value of invoices for the Annual Fee and/or time costs; and
 - 4.1.3 courier charges (together, the 'Expenses').

5. Time and attention

- 5.1 The Director shall accept and hold office as sole director of the Company subject to and in accordance with this Agreement, the Articles, applicable law and subject to and with the benefit of the indemnification and other provisions contained in the Articles and this Agreement.
- 5.2 The Director shall discharge his or its duties and obligations as director of the Company in accordance with the Company Documents and laws of [jurisdiction].
- 5.3 Company shall ensure that appropriate service providers as reasonably determined by the Director, shall be engaged, to assist the Director with his or its duties. During the continuance of this Agreement the Director shall not be

required to devote his or its whole time and attention to the business of the Company and the Director may provide services of a like nature to any other person, firm or company.

6. Delegation

- 6.1 Subject to the Articles, the Director may delegate the whole or any part of his or its functions, powers, discretions, duties and obligations hereunder to any person, firm or corporation, and any such delegation may be on such terms and conditions as the Director thinks fit. The Director shall not incur any liability whatsoever arising from the negligence, wilful default or fraud of any delegate or agent so appointed or employed.

7. Confidentiality

- 7.1. The Director shall not (except in the proper course of the Director's duties) during or after the period of his or its engagement under this Agreement divulge to any person whatever or otherwise make use of (and shall use best endeavours to prevent the publication or disclosure of) any trade secret or any confidential information concerning the business or finances of the Company.
- 7.2. Nothing in this clause 7 shall prevent the Director from making filings and disclosures as required by the laws of [jurisdiction] or any other applicable law.

8. Termination

- 8.1 In the event of termination by the Company, which must be upon three months' notice, the Director will resign as sole director as of the expiration of the notice period or such other earlier date as may be agreed, provided that the Directorship Fees due have been paid.
- 8.2 In the event of termination by the Director, which must be upon three months' notice, the Director shall continue to provide services under this Agreement until the expiry of the notice period or until such other date as may be agreed.
- 8.3 This Agreement may be terminated forthwith by and the Director on giving notice in writing to the Company if at any time the Company shall go into liquidation or receivership or shall have an examiner appointed (except for a voluntary liquidation for the purposes of reconstruction or amalgamation upon terms previously approved in writing by the notifying party) or the party notified shall be unable to pay its debts as they fall due;
- 8.4 The termination of this Agreement shall be without prejudice to any rights that may have accrued hereunder to any party hereto prior to such termination, including any right of indemnity and accrued but unpaid fees or expenses.

9. Exoneration and Indemnities

- 9.1. [The Director and any director, officers, shareholder or employee thereof (together referred to as the 'Indemnified Persons'), shall not be liable for any loss, costs, expenses or damage whatsoever which the Company may sustain or suffer as a result of or in the course of the discharge of their respective duties, other than loss or damage arising by reason of the fraud, wilful default or dishonesty of such Indemnified Persons.]³⁰

30. An exoneration of this type is void and of no effect in certain jurisdictions, for example the Crown Dependencies of Jersey, Guernsey and Isle of Man. See Module 8 section 5.2.

- 9.2 The Company shall indemnify and hold harmless the Indemnified Persons, to the fullest extent permitted by the laws of [jurisdiction], for all losses, costs and expenses or any award of damages arising from or associated with: actions, suits, proceedings, claims, demands which may be made against the Indemnified Persons; the Indemnified Persons' participation or involvement in any Investigation; the Indemnified Persons' participation or involvement in any legal proceedings of any nature, including as a witness at a trial, or through participation in a deposition or like procedure, whether or not the Indemnified Person is a party to that proceeding.

10. Representations and Warranties

- 10.1. The Company represents and warrants to the Directors and FFP that during the term of the Director's appointment:
- 10.1.1 the Company is a company in good standing in any jurisdiction in which it carries on business and is fully empowered to enter into and conform to the terms and conditions contained herein;
 - 10.1.2 the Company is not involved in any civil, criminal, or administrative actions or proceedings and has not been involved in any such actions or proceedings for five years prior to the date hereof, as applicable;
 - 10.1.3 all final and executed versions of the Company Documents and any other material documents, including but not limited to, marketing materials, performance tables, regulatory filings and licences, and administration, custody, prime brokerage or other service provider agreements (each as may be revised or amended from time to time and collectively referred to herein as the "Material Documents"), provided to the Director by the Company, its sponsors or professional advisers, are true, complete and correct copies of the Material Documents to the best extent of the Company's knowledge;
 - 10.1.4 it has supplied to the Director all relevant information which might reasonably be expected to materially affect the decision of the Director to act as such and the Company shall immediately make available to the Director any further relevant material information that may either become available or be reasonably requested hereafter by the Director.
- 10.2 The Company acknowledges that no provision of this Agreement shall require the Director to:
- 10.2.1 do anything which may be illegal or contrary to any applicable law or regulation;
 - 10.2.2 expend or risk their own funds or otherwise incur any expense or other financial liability in the performance of any of their duties and obligations.
 - 10.2.3 the Director may, at any time, do or refrain from doing, any act if, in his or its absolute discretion, considers it proper to do so in accordance with the duties to the Company and any applicable law.
 - 10.2.4 The Director represents and warrants to the Company that during the term of the Directors' appointment, in acting as sole director of the Company, the Director will comply with the statutory, regulatory and common law duties and obligations applicable under the laws of [jurisdiction]

11. Notices

- 11.1 Any notice to be delivered under this Agreement shall be in writing and may be delivered by courier service, personal delivery, facsimile or electronic mail to the following addresses: [insert addresses].
- 11.2 Notices shall be deemed to be delivered, when sent by courier or personal delivery, when delivered and when sent by fax or e-mail, on the date stated in the transmission report or email provided that a notice given in accordance with the above but received on a non-working day or after business hours in the place of receipt shall only be deemed to be given on the next working day in that place.

12. Insurance

- 12.1 The Company shall obtain and maintain adequate insurance for the Director, in terms and for amounts reasonably satisfactory to the Director, in respect of any liability the Director may incur as a result of acting as directors of the Company (the 'Insurance'). Notwithstanding the foregoing, the Company will not be required to obtain the Insurance where the Directors, in their discretion, determine the cost associated with obtaining and maintaining the Insurance is prohibitive, and as such not in the best interests of the Company.

13. Miscellaneous

- 13.1 In the event that the Director, in furtherance of the duties as director of the Company, require professional advice with respect to the affairs of the Company, the Director may consult the Company's legal, tax and other professional advisers at the Company's expense.
- 13.2 The obligations under this Agreement shall not be assignable by the parties.
- 13.3 No amendment, waiver or variation of this Agreement shall be effective unless it is made in writing and executed by each of the parties hereto.
- 13.4 This Agreement is governed by and shall be construed in accordance with the laws of [jurisdiction] and the parties submit to the exclusive jurisdiction of the courts of the said jurisdiction.

IN WITNESS WHEREOF THE PARTIES HAVE EXECUTED THIS AGREEMENT IN THE FOLLOWING MANNER:

DATED

SIGNED

SIGNED

Appendix 21D:

Minutes of meeting of shareholders to appoint new director

AB LIMITED

MINUTES OF AN [EXTRAORDINARY] MEETING OF THE MEMBERS OF AB LIMITED

Held on: [date]

At: [place]

Chairperson: [name] (the 'Chairman')

Quorate: The Chairman confirmed that the meeting was convened correctly, notices duly served and was quorate.

Present: [names of members present, apologies, proxies]

IT WAS NOTED

- (A) THAT a letter from [name] dated [date] resigning as director of the Company with effect from [date].
- (B) THAT [name] has given his/its written consent to be appointed as a director.

IT WAS RESOLVED

- 1. THAT the Company accept the resignation of [name]
- 2. THAT, having his written consent to be appointed, [name] be appointed as director of the Company with effect from the date of this resolution.
- 3. THAT the secretary/registered agent/service provider be and is hereby instructed to notify the registrar of companies and update the register of directors of the Company.

THERE being no further business, the Chairman brought the meeting to a close.

DATED

SIGNED

Appendix 21E:

Director's resolution appointing new director then resigning

AB Limited (Company [number])

WRITTEN RESOLUTIONS OF THE SOLE DIRECTOR OF AB LIMITED (the 'Company')

Pursuant to art.[x] of the Company's Articles of Association, the undersigned sole director of the Company for the time being:

HEREBY NOTES:

- (A) THAT a letter from [name of outgoing director] dated [date] resigning as director of the Company with effect from [date].
- (B) THAT [name of incoming director] has given his/its written consent to be appointed as a director.

HEREBY RESOLVES

- 1. THAT, having his written consent to be appointed, [name incoming director] be appointed as director of the Company with effect from the date of this resolution.
- 2. THAT by letter addressed to the Company and attached to these resolutions marked 'AB1' the [outgoing sole director] resigns from the board and such resignation be and is hereby accepted.
- 3. THAT the secretary/registered agent/service provider be and is hereby instructed to notify the registrar of companies and update the register of directors of the Company accordingly.

DATED

SIGNED

Appendix 21F:

Letter of resignation from the board

To AB Limited
[Registered office]

FAO: the board, registered agent [secretary]

Resignation from the board of AB Limited

I hereby resign as a director of AB Limited with effect from [date].

I confirm that I have no claim whatsoever of any kind relating to my directorship or its termination.

Faithfully yours

DATE

SIGNED

Appendix 21G:

Member's resolution instructing board to enter specific transaction

AB Limited (Company [number])

SPECIAL RESOLUTION OF THE MEMBERS OF AB LIMITED (the 'Company')

Pursuant to art.[x] of the Company's Articles of Association, we the undersigned sole member of the Company for the time being:

NOTE THAT art.[the alternative art.19.1 of Appendix 1B, or art.4.1 of Appendix 1C, as the case may be] of the Company's articles of association confers upon the shareholders by special resolution a power to direct the directors to take, or refrain from taking, specified action.

HEREBY RESOLVE AS A SPECIAL RESOLUTION THAT, pursuant to the said article, the directors are hereby instructed to purchase in the name of the Company [the property known as 'Blackacre' located at [address] for \$[consideration] in accordance with and subject to the terms and conditions of the draft contract attached hereto].

DATE

SIGNED _____ ([For and on behalf of] the Shareholders)

Appendix 22:

Company management agreement between Client and Administrator

COMPANY MANAGEMENT [AND REGISTERED OFFICE] AGREEMENT

THIS AGREEMENT

DATED

BETWEEN

[Name and address of client] (the 'Client') of the first part, and

[Name and address of the service provider] (the 'Administrators') of the second part.

RECITALS

The Client has engaged the Administrator and the Administrator has agreed to incorporate a new company ('the Company') on behalf of the Client and to manage the same in accordance with the provisions of this Agreement.

IT IS HEREBY AGREED

1. Appointment of corporate administrators

The Client hereby appoints the Administrators, and the Administrators agree to act as service provider and corporate administrator of the Company upon the terms and subject to the provisions of this Agreement.

2. Duties

The Administrator shall incorporate the Company and, during the period of their appointment as administrator thereof under this Agreement, the Administrators shall, subject to the overall direction of the directors of the Company, conduct on behalf of the directors, all the routine day-to-day administration of the Company [and act as Secretary to/Registered Agent of the Company] and, in particular, the Administrators shall:

- 2.1 provide such office accommodation, secretarial staff and other facilities as may be required for the purpose of fulfilling their duties under this Agreement and also provide an address in [jurisdiction] to be used as the registered office of the Company and for service of process;
- 2.2 provide the company secretary [registered agent] for the Company;

- 2.3 keep and maintain the statutory registers and such records as are required by law for the proper conduct of the Company's business affairs;
- 2.4 make all necessary filings to ensure the Company is and remains in good standing;
- 2.5 provide nominees, as required, in whose names the shares in the company shall be registered;
- 2.6 dispatch to the Client (and to the auditors, if any) such notices, reports, financial statements and other written material as may be reasonably requested by them from time to time;
- 2.7 at any time during business hours, permit any duly appointed agent or representative of the Company, at the expense of the Company, to inspect any documents or records kept by the Administrators, and give such agent or representative all information and assistance they may reasonably require;
- 2.8 keep and control the use of the seal of the Company, when applicable;
- 2.9 maintain accounting records for, and produce annual financial statements of, the Company;
- 2.10 provide such other facilities and perform such other services as may be agreed from time to time between the Administrators and the Company.

3. Delegation

In performing their obligations under this Agreement, the Administrator may delegate such of their duties and functions to agents as they in their discretion think fit, and may consult with independent counsel, accountants and any other persons to be selected and employed by them.

4. Fees and expenses

[Provision for payment of the professional fees of the Administrators], including reimbursement of:

- 4.1 the out-of-pocket expenses of the Administrators (including travel and associated expenses) incurred in convening or attending meetings of the directors, calling or attending any extraordinary general meetings of the company, preparing and forwarding any notice or statement (other than notice of the annual general meeting) and all other like expenses
- 4.2 the costs of telex, facsimile, telephone calls and Email properly incurred in the course of carrying out their duties
- 4.3 fees and expenses of accountants (including auditors), lawyers and other professional advisers of the Company
- 4.4 all governmental charges, fees or expenses expressly authorised by this agreement or necessarily incurred by the Administrators in the provision of services under this agreement.

5. Termination

- 5.1 The Client may terminate this agreement on giving not less than six months written notice to the Administrators.

- 5.2 The Administrators may terminate this agreement on giving not less than six months written notice to the Client except:
- i. where the Client is in breach of this Agreement or
 - ii. where circumstances occur that, in the sole opinion of the Administrators, render the continued provision or performance of services, facilities and/or duties impracticable or undesirable (and in this context 'undesirable' includes the breach by the Company of any penal, criminal or fiscal legislation or the doing of any unlawful act); in any such case the Administrators may terminate the agreement on giving immediate written notice to the Client.
- 5.3 Upon termination, the Administrators shall be entitled to their fees *pro rated* to the date of termination, and all moneys due from the Client to the Administrators and all other liabilities of the Client under this agreement shall be paid or discharged immediately.
- 5.4 The Administrators shall, on the termination of their appointment, deliver to any succeeding corporate service providers all books of account, registers, correspondence and records relating to the affairs of the Company that are in their possession, but the Administrators may retain such copies as they may think fit.

6. Lien

The Administrators shall be indemnified by the Client in respect of fees properly charged and expenses incurred in accordance with the provisions of this Agreement and while any such fees and expenses remain unpaid, the Administrators shall have a lien over any papers books or records belonging to the Company in the possession of the Administrators.

7. Exclusion and indemnity

7.1 Exclusion of liability

The Administrators shall not be liable for any loss or damage suffered by the Client arising directly or indirectly out of any error of judgement, oversight or mistake made by the Administrators in good faith in the performance of their duties under this agreement. The Administrators shall not, in the absence of fraud, wilful default [or gross negligence], be responsible for any loss or damage that the Client may suffer as the result of the performance of this Agreement.

7.2 Indemnity

The Client shall [jointly and severally] indemnify the Administrators against all claims and demands, including claims, judgments, costs and expenses, arising in relation to the performance of this Agreement in respect of any loss or damage sustained by any third party, otherwise than by reason of the fraud, wilful default [or gross negligence] of the Administrators.

8. Control

The Administrators may, at any time, do or refrain from doing any act, without reference to the Company or the Client, if in their absolute discretion, they deem it necessary or desirable to do so. The Administrators shall be entitled to refuse to carry out or participate in any act or omission that is unlawful (and it shall be in the sole determination of the Administrators whether any act or omission is or is not, unlawful). For this purpose, the Administrators may, at the expense of the Company or the Client, seek and obtain the opinion of lawyers or others. No liability shall attach to the Administrators for refusing to do or participate in any unlawful act or omission. Any expenses incurred by the Administrators in obtaining any opinion shall be recoverable from the Company or the Client on demand.

9. Jurisdiction

This agreement is governed by and is to be construed according to the law of [jurisdiction] and the parties submit to the jurisdiction of the courts of [jurisdiction].

IN WITNESS WHEREOF the parties hereto have executed this agreement, intending it to be effective on the following date.

DATED

SIGNED

Appendix 23A:

Minutes of meeting of board at which interested director does not vote or count in quorum

AB LIMITED (Company [number])

MINUTES OF A MEETING OF THE BOARD OF DIRECTORS OF AB LIMITED

Held on: [date]

At: [place]

Chairperson: [name] (the 'Chairman')

Quorate: The Chairman confirmed that the meeting was convened correctly and was quorate.

IT WAS NOTED

- (A) THAT a motion was proposed that the Company do buy the real estate known and described as [Blackacre] located at [address] (the 'Property') for \$[consideration] from [name of director] (the 'Director') [or from the executors of the estate of [name of deceased] in which [name of director] (the 'Director') has an interest as a beneficiary thereof].
- (B) THAT the Director has declared his interest in the Property.
- (C) The Director has abstained from voting on the motion to buy the Property and the remaining directors constituted a sufficient quorum according to the articles of association of the Company.

IT WAS RESOLVED

- 1. THAT the Company do buy the Property according to the terms set out in the documentation referred to below.
- 2. THAT the attached contract to buy the Property be and is hereby approved and that [name of one of the other directors] be authorised to sign it on behalf of the Company.
- 3. THAT the attached deed of conveyance of the Property be approved and that and that [name of one of the other directors] be authorised to execute it as a deed on behalf of the Company.
- 4. [THAT the registered agent of the Company be and is hereby authorised to attest and counter-sign the execution of each said document as witness.]

THERE being no further business, the meeting terminated.

DATED

SIGNED

Appendix 23B:

Member's resolution to approve transaction in which director is interested

AB LIMITED (Company [number])

WRITTEN RESOLUTIONS OF THE SOLE MEMBER OF AB LIMITED

Pursuant to art.[x] of the Company's Articles of Association, we the undersigned sole member of the Company for the time being:

NOTE:

- (A) THAT it is proposed that the Company do buy the real estate known and described as [Blackacre] located at [address] (the 'Property') for \$[consideration] from [name of director] (the 'Director') [or from the executors of the estate of [name of deceased] in which [name of director] (the 'Director') has an interest as a beneficiary thereof].
- (B) THAT the Director has declared his interest in the Property.

RESOLVED:

THAT the purchase by the Company of the Property from [vendor] for \$[consideration], in which proposed purchase the Director has an interest, is hereby approved.

DATED

SIGNED

Appendix 23C:

Member's resolution to approve transaction generally

AB LIMITED (Company [number])

WRITTEN RESOLUTIONS OF THE SOLE MEMBER OF AB LIMITED

Pursuant to art.[x] of the Company's Articles of Association, we the undersigned sole member of the Company for the time being:

NOTE:

- (A) THAT the undersigned sole shareholder of the Company has recommended to the board of directors of the Company that the Company do buy the real estate known and described as [Blackacre] located at [address] (the 'Property') for \$[consideration] (the 'Transaction').
- (B) THAT the board of directors have identified the following risks associated with the Transaction: [identify risks].
- (C) Notwithstanding the reservations of the board, the sole shareholder wishes to approve the Transaction in order that the board may proceed without liability for breach of their duty to the Company.

RESOLVED:

THAT the Transaction be and is hereby approved.

DATED

SIGNED

Appendix 24A:

Director's resolution appointing a secretary

AB LIMITED (Company [number])

WRITTEN RESOLUTIONS OF THE SOLE DIRECTOR OF AB LIMITED

Pursuant to art.[x] of the Company's Articles of Association, we the undersigned sole director of the Company for the time being:

NOTE:

- (A) THAT [name] has consented in writing to be appointed as company secretary.
- (B) THAT in order to ensure the conduct and administration of the Company complies with the requirements of applicable company law, the board wishes to delegate the responsibilities set out in the attached role and description document [Appendix 24C] upon the secretary (the 'Role Description').

RESOLVE:

- 1. THAT [Name], having consented to act, is hereby appointed as secretary of the Company.
- 2. THAT the Role Description be and is hereby approved and the responsibilities set out therein be assigned and delegated to the secretary.

DATED

SIGNED

Appendix 24B:

Director's resolution removing secretary (and variation recording resignation)

AB LIMITED (Company [number])

WRITTEN RESOLUTIONS OF THE SOLE DIRECTOR OF AB LIMITED

Pursuant to art.[x] of the Company's Articles of Association, we the undersigned sole director of the Company for the time being:

RESOLVE

1. THAT [Name] be removed as company secretary.
2. THAT [Name], having consented to act, is hereby appointed as secretary of the Company in his place.

DATED

SIGNED

[Alternatively,

1. THAT the resignation of [name] as secretary of the Company be accepted.
2. THAT [Name], having consented to act, is hereby appointed as secretary of the Company in his place.]

Appendix 24C:

Role and responsibilities of secretary

AB LIMITED (Company [number])

ROLE AND DESCRIPTION OF RESPONSIBILITIES OF THE SECRETARY GENERAL ROLE

The secretary shall ensure that the conduct of the business of the company and its administration complies with [companies legislation], the provisions of the articles of association and other legal requirements, including in relation to public filings and record obligations; and to support the board in ensuring that the assets and business of the company are managed in a proper, efficient and appropriate manner.

RESPONSIBILITIES

The general responsibilities of the secretary are:

1. to ensure that statutory registers are kept and maintained
2. to convene general meetings when instructed by the board or members, prepare and serve notices
3. to prepare agendas and other documents for general meetings, and ensure they are circulated
4. to ensure necessary arrangements are made for general meetings
5. to take minutes of general meetings of members, to prepare and circulate draft minutes, ensuring approved minutes are signed by the chairman and filed
6. to make necessary public filings of special resolutions
7. to convene directors' meetings when instructed by the board and ensure that proper notice is given
8. to ensure that agendas for board meetings are prepared and circulated
9. to take minutes of board meetings, to prepare and circulate draft minutes, ensuring approved minutes are signed by the chairman and filed
10. to deal with allotments and transfers of shares as instructed by the board
11. to ensure all necessary filings are made as instructed by the board in respect of directorships and beneficial owners
12. to make required filings as instructed to comply with FATCA and CRS
13. to administer generally the company as secretary
14. to ensure that relevant legal requirements are drawn to the attention of the board and complied with
15. to comply with the reasonable instructions given by the board provided compliance is in accordance with the general law and best practice.

DATED

SIGNED

Appendix 25A:

Director's resolution to convene AGM (or general meeting of shareholders)

AB LIMITED (Company [number])

WRITTEN RESOLUTIONS OF THE SOLE DIRECTOR OF AB LIMITED TO CONVENE AGM

Pursuant to art.[x] of the Company's Articles of Association, we the undersigned sole director of the Company for the time being:

RESOLVE:

1. THAT the annual general meeting of the Company be held at [place] on [date] at [time].
2. THAT the secretary [corporate services provider] be and is hereby instructed to prepare and serve the requisite notices on all members entitled to attend.
3. [THAT the attached draft financial statements of the Company and draft director's report be and are hereby approved.]
4. [That a dividend of \$[amount] be and is hereby recommended to the shareholders of the Company.]
5. [THAT the sole director will retire by rotation in accordance with the Company's articles and, being eligible, shall offer himself for re-election at the forthcoming AGM.]

DATED

SIGNED

Alternatively, to convene a general meeting:

AB LIMITED (Company [number])

**WRITTEN RESOLUTIONS OF THE SOLE DIRECTOR
OF AB LIMITED TO GENERAL MEETING**

Pursuant to art.[x] of the Company's Articles of Association, we the undersigned sole director of the Company for the time being:

RESOLVE:

1. THAT a general meeting of the Company be convened to be held at [place] on [date] at [time], at which the following resolution(s) shall be proposed:

[proposed resolutions].
2. THAT the secretary [corporate services provider] be and is hereby instructed to prepare and serve the requisite notices on all members entitled to attend.

DATED

SIGNED

Appendix 25B:

Request by member(s) to convene general meeting

AB LIMITED (Company [number])

REQUEST BY MEMBERS TO CONVENE A GENERAL MEETING

To the Directors of AB LIMITED (the 'Company')

We, the undersigned shareholders who, at the date of the deposit of this request at the registered office of the Company, hold not less than 15% of the paid up share capital which has voting rights, HEREBY REQUEST in accordance with art.[number] of the articles of the Company, that you hold a general meeting of the Company to consider and, if thought fit, passing the resolution(s) set out below.

[proposed resolution(s)]

DATED

SIGNED

Appendix 25C:

Consent by members to short notice

AB LIMITED (Company [number])

CONSENT OF MEMBERS TO SHORT NOTICE OF GENERAL MEETING

We, the undersigned shareholders, being [a majority in number of] the members entitled to attend and vote at the general meeting of the Company at the time and place and for the purposes set out in the attached notice HEREBY CONSENT to the meeting being called by shorter notice than that required by art.[x] of the Company's articles.

DATED

SIGNED

Appendix 25D:

Notice of AGM

AB LIMITED (Company [number])

NOTICE OF ANNUAL GENERAL MEETING

To: The members of the Company

The directors of the Company

[The auditors of the Company]

NOTICE IS HEREBY GIVEN THAT the Annual General Meeting of the Company will take place at [venue] on [date] at [time] for the following purposes:

1. To consider and, if thought fit, approving the financial statements of the Company for the year ending [date].
2. To receive the report of the directors and consider their recommendation for a declaration of a dividend.
3. To re-appoint the following director [who retires by rotation].
4. To re-appoint the auditors and authorise the directors to fix their remuneration.

DATE

SIGNED

Note: A member of the Company who is entitled to attend and vote is also entitled to appoint a proxy, who need not be a member of the Company, to attend, speak and vote instead of him.

Appendix 25E:

Notice of general meeting to pass a specific resolution

AB LIMITED (Company [number])

NOTICE OF [EXTRAORDINARY] GENERAL MEETING TO CONSIDER SPECIFIC RESOLUTION

To: The members of the Company

The directors of the Company

[The auditors of the Company]

NOTICE IS HEREBY GIVEN THAT a general meeting of the Company will take place at [venue] on [date] at [time] for the purposes of considering and, if thought fit, passing the following resolution(s):

DATE

SIGNED

Note: A member of the Company who is entitled to attend and vote is also entitled to appoint a proxy, who need not be a member of the Company, to attend, speak and vote instead of him.

Appendix 25F:

Open proxy

AB LIMITED (Company [number])

OPEN PROXY

To: AB LIMITED at [registered office]

NOTICE IS HEREBY GIVEN THAT I, [name and address of shareholder] being a member of the above-named company entitled to attend and vote at the [annual] general meeting of the Company at [venue] on [date] at [time], HEREBY APPOINT the following person as my proxy:

Name and address of proxy: [name and address]

DATE

SIGNED

Appendix 25G:

Specific proxy

AB LIMITED (Company [number])

SPECIFIC PROXY: INSTRUCTING PROXY HOW TO VOTE

To: AB LIMITED at [registered office]

NOTICE IS HEREBY GIVEN THAT I, [name and address of shareholder] being a member of the above-named company entitled to attend and vote at the [annual] general meeting of the Company at [venue] on [date] at [time], HEREBY APPOINT the following person as my proxy:

Name and address of proxy: [name and address]

THE PROXY is to be used to vote in the following manner:

Motion [Proposed Resolution] No.1 in favour [or against, as the case may be].

Motion [Proposed Resolution] No.2 in favour [or against, as the case may be]

DATE

SIGNED

Appendix 25H:

Director's resolution to appoint corporate representative for AGM (and generally)

CORPORATE [NOMINEE] SHAREHOLDER LTD

WRITTEN RESOLUTIONS OF THE SOLE DIRECTOR OF CORPORATE [NOMINEE] SHAREHOLDER

Pursuant to art.[x] of the Articles of Association, we the undersigned sole director of the Corporate [Nominee] Shareholder Ltd (the 'Company'):

NOTE:

- (A) THAT the Company is a member of AB LIMITED.
- (B) THAT AB LIMITED intends to hold a general meeting on [date] at [venue].
- (C) THAT the sole corporate director of the Company wishes to appoint [name] as representative of the Company to attend the general meeting of AB Limited.

RESOLVE:

THAT [name] be and is hereby appointed as representative of the Company to attend, speak and vote at the said general meeting of AB Limited.

DATED

SIGNED

Appendix 25J:

Notice to company of appointment of corporate representative

CORPORATE [NOMINEE] SHAREHOLDER LTD

NOTICE OF APPOINTMENT OF CORPORATE REPRESENTATIVE

To: AB LIMITED, [address]

We, Corporate [Nominee] Shareholder Ltd., being a member of AB Limited, HEREBY NOTIFY you that [name of representative] has been appointed to act as our representative at the general meeting of AB Limited on [date] or any adjournment thereof [at any and all general meetings of AB Limited until further notice].

DATE

SIGNED

Appendix 25K:

Minutes of AGM

AB LIMITED (Company [number])

MINUTES OF ANNUAL GENERAL MEETING OF THE MEMBERS OF AB LIMITED

Held on: [date]

At: [place]

Present: [names of shareholders present at meeting]

In attendance: [names of directors, secretary, auditor]

Chairperson: [name] (the 'Chairman')

Quorate: The Chairman confirmed that the meeting was convened correctly, notices duly served and was quorate.

RESOLUTIONS

1. Financial statements

The Chairman presented to the members the attached [audited] financial statements of the Company for the year ending [date], which were received and reviewed and IT WAS RESOLVED to approve the said financial statements.

2. Director's report

The Chairman presented to the members the attached director's report for the year ending [date], which was received and reviewed and IT WAS RESOLVED to accept and approve the said report.

3. Dividend

The Chairman proposed that a final dividend of \$[amount] recommended by the board be declared and IT WAS RESOLVED to declare a dividend of \$[amount] to the holders of ordinary shares registered at close of business today payable on [date].

4. Directors

IT IS RESOLVED that the director retiring by rotation be and is hereby re-elected as director of the Company.

5. Auditor

IT IS RESOLVED that [name] be re-appointed as auditors to hold office until the conclusion of the next annual general meeting at which financial statements are presented and the directors be authorised to fix their remuneration.

6. AOB

THERE being no further business, the Chairman brought the meeting to a close.

DATED

SIGNED

Appendix 25L:

Certified copy of special resolution for filing with registrar

AB LIMITED COMPANY NUMBER [123456]

CERTIFIED COPY [SPECIAL] RESOLUTION

To: The Registrar of Companies

The following is a certified copy of a [special] resolution passed at a general meeting of the Company on [date]:

[Insert text of resolution]

DATE

SIGNED

Appendix 25M:

Director's resolution to approve borrowing

AB LIMITED (Company [number])

WRITTEN RESOLUTIONS OF THE SOLE DIRECTOR

Pursuant to art.[x] of the Articles of Association, we the undersigned sole director of the AB Limited (the 'Company'):

NOTE:

- (A) The Company proposes to borrow from [name] Bank (the 'Lender') by overdraft facility to be secured against the assets of the Company by way of all monies debenture [fixed and floating charge] in the Lender's standard form, a copy of which is attached (the 'Debenture').
- (B) The Debenture creates a fixed and floating charge over the assets of the Company.
- (C) The charges may be enforced by the Lender upon the happening of certain defined Acts of Default, namely [set out in full].
- (D) After careful consideration it was decided that the borrowing would promote the interests and success of the Company for the benefit of its shareholders.

RESOLVE:

- 1. That the terms and conditions set out in the Debenture be and are hereby approved.
- 2. That the Debenture be entered into and executed as a deed.
- 3. [THAT the secretary/service provider be and is hereby instructed to enter particulars of the charges in the Company's register of charges.]

DATED

SIGNED

Appendix 25N:

Director's resolution to approve complex borrowing transaction

AB LIMITED (Company No. [number])

WRITTEN RESOLUTIONS OF SOLE DIRECTOR OF AB LIMITED

Pursuant to art.[x] of the Company's Articles of Association, we the undersigned sole director of the Company for the time being:

DEFINE:

"Facility Letter A" means a copy of a letter dated [date] from Lender A to the Company offering overdraft and other facilities totalling \$10 million.

"Facility Letter B" means a copy of a letter dated [date] from Lender B to the Company offering a loan facility of \$5 million and other facilities to the Company.

"Floating Charge A" means a floating charge [Debenture] intended to be made between the Company and Lender A to give to Lender A a floating charge over all the Company's undertaking and movable assets including goodwill and uncalled capital as security for all moneys and liabilities from time to time owing or incurred by the Company to Lender A.

"Fixed Legal Charge B" means a first legal charge [mortgage] intended to be made between the Company and Lender B to give to Lender B a first fixed legal charge over its freehold property located and known as [description] as security for all moneys and liabilities from time to time owing or incurred by the Company to Lender B.

"Priority Deed" means a deed of priorities between Lender A, Lender B and the Company.

"Security Documents" means the above defined Facility Letter A, Facility Letter B, Floating Charge A, Fixed Legal Charge B and Priority Deed.

NOTE:

- (A) THAT Lender A had agreed to make available and continue overdraft and other facilities to the Company as set out or referred to in the Facility Letter A and Lender B had agreed to make available to the Company the facilities as set out or referred to in the Facility Letter B.
- (B) THAT the legal effect of Floating Charge A will be to charge the whole of the Company's undertaking and movable assets with the liabilities to the Lender A.
- (C) THAT the legal effect of Fixed Legal Charge B will be to charge by way of fixed mortgage the Company's freehold property located and known as [description] to Lender B.

- (D) THAT the director has fully and carefully considered the terms of the Security Documents, the nature and scale of the liabilities undertaken pursuant to them and the commercial and financial consequences of executing them so far as they affect the Company, its financial position and its future trading and financial requirements.
- (E) THAT there are no limits on the power of the Company or its director to borrow money or create security and the execution of the Security Documents are within the powers conferred upon the board of the Company.
- (F) THAT the transactions effected by the Security Documents are in the best interests of the Company and entered into in good faith and for the purpose of carrying on the business of the Company and there are reasonable grounds for believing that the transactions will be for the benefit of the Company.

RESOLVE:

- 1. That the Security Documents be and are hereby approved.
- 2. That the duplicate of each of the Facility Letters be signed by the director on behalf of the Company and delivered to Lender A and Lender B with certified copies of these resolutions and the Company's service provider be and is hereby authorised to pay the respective arrangement fees.
- 3. That each of the Floating Charge A, the Fixed Legal Charge B, and the Priority Deed be executed as a deed by the director, but with the intention that they will not be delivered until they are dated. [...] by the director and registered agent affixing the Company's common seal and that the affixing of the seal be witnessed by the director and registered agent of the Company.
- 4. That the director be and is hereby authorised to agree amendments to the Security Document and to agree, negotiate and execute whether under hand or as a deed and deliver any other documents which are required in connection with the proposed transactions.

DATED

SIGNED

Appendix 26:

Irrevocable instruction to transfer beneficial ownership

IRREVOCABLE INSTRUCTION TO TRANSFER BENEFICIAL OWNERSHIP

To: [Nominee shareholder]

From: [Beneficial owner]

Re: [Company under management] (the 'Company')

Please be advised that I, [beneficial owner name and address] have agreed to transfer to [transferee, name and address] my beneficial ownership of the shares in the Company, which shares you currently hold as nominee on my behalf.

You are hereby irrevocably instructed to cancel the existing Shareholder Nominee Declaration. By endorsing this memorandum with his consent, [name of transferee] instructs you to execute a new Shareholder Nominee Declaration in his favour and make all consequential amendments to the corporate documentation, including, but not limited to, the register of beneficial ownership, and FATCA and CRS disclosure forms.

DATE

SIGNED

ENDORSEMENT

DATE

SIGNED

Appendix 27A:

Nominee shareholder agreement

DATED

BETWEEN

- (1) [Name and address of registered shareholder] (the 'Nominee Shareholder')
- (2) [Name and address of beneficial owner] (the 'Beneficial Owner')

REICITALS

- (A) The entire issued share capital (the 'Shares') of AB Limited (the 'Managed Company') have been issued to, and are held in registered form by, the Nominee Shareholder.
- (B) The Nominee shareholders acknowledges hereby that he holds such shares according to the terms and conditions herein stated.

WHEREBY IT IS AGREED

In consideration of the Beneficial Owner conferring rights and other valuable consideration upon the Nominee Shareholder, the Nominee Shareholder hereby Irrevocably declares and agrees that it shall:

- 1. Hold the Shares of the Managed Company registered in its name as nominee for the Beneficial Owner.
- 2. Shall not transfer, deal with or dispose of the Shares save as the Beneficial Owner may from time to time direct.
- 3. Hereby assign to the Beneficial Owner the right to receive any dividends which may be declared and become payable on the Shares to the Nominee Shareholder together with all profits and other moneys that may be paid or payable from time to time upon the Shares.
- 4. Shall exercise the voting rights and powers as holder of the Shares in such manner and for such purposes as the Beneficial Owner may from time to time direct or determine.

DATED

SIGNED

Appendix 27B: Nominee shareholder declaration

[Name of registered shareholder] HEREBY IRREVOCABLY DECLARES THAT we shall:

1. Hold the Shares of the Company...etc., as above.

EXECUTED as a deed by)
[name] for and on behalf)
of the Company in the)
presence of,)

WITNESS

Appendix 28:

Investment management agreement, extracts

DISCRETIONARY INVESTMENT MANAGEMENT AGREEMENT

DATED

BETWEEN

[Name and address of managed company] (the 'Company'), and
[Name and address of beneficial owner] (the 'Investment Manager')

RECITAL

The directors of the Company have asked the Investment Manager to provide discretionary investment and other services to the Company and the Investment Manager has agreed to do so on the terms of this Agreement.

OPERATIVE PROVISIONS

IT IS AGREED as follows:

1. Definitions

- 1.1 'Directors' means the board of directors, or sole director, of the Company
- 1.2 'Portfolio' means the portfolio of securities and other investments, including cash owned by the Company which are entrusted to the management of the Investment Manager under the terms of this Agreement.
- 1.3 'Broker' means the entity appointed as broker and custodian of the Portfolio.

2. Commencement of Mandate

The terms and provisions of this Agreement shall take effect at the date of its execution and there shall be no time limit within which the assets of the Company must be fully invested.

3. Discretionary powers of investment

- 3.1 Subject to the provisions of para.4.1, the Investment Manager may, without reference to or approval from the Directors, invest the assets of the Company in or upon any investments of whatever nature, may buy, sell, retain, deal or trade in any securities wherever situated and in any markets, take day-to-day decisions affecting the Portfolio and otherwise act as the Investment Manager thinks fit and considers appropriate.

- 3.2 The Investment Manager may settle or close-out any transactions without reference to or approval from the Directors, and may debit the Portfolio with any sums required to pay or supplement any deposit or margin in support of such transactions and deposit such security as may be required as collateral.

4. Investment objectives [restrictions and limitations]

[Subject to the limitations as determined by the Directors from time to time]

There shall be no restrictions upon:

- 4.1 the type of securities or investments that may be acquired;
- 4.2 the amount of any one or type of security or investment that may be acquired;
- 4.3 the maximum or minimum proportion of the Portfolio as a whole that any one type of security or investment may constitute, or
- 4.4 the markets or exchanges on which transactions may be executed.

5. Provision of additional services

The Investment Manager shall, in addition to providing investment management in accordance with para 3 hereof, also provide the following services:

- 5.1 act as agent of the Company in its relations with the Broker and other service providers;
- 5.2 analysis of the performance of the investments and monitoring of risk;
- 5.3 provision of periodic statements to the Company relating to the Portfolio at intervals agreed with the Directors, which statements shall contain details of the composition and value of the Portfolio and measures of performance agreed with the Directors;
- 5.4 maintain such books and records as shall be necessary to record all transactions carried out for the account of the Company.

[Note to delegates: further clauses are usually included dealing with the following matters:

- 6. Delegation and use of agents**
- 7. Execution of trades**
- 8. Fees and charges**
- 9. Conflicts of interests and disclosures**
- 10. Exoneration**
- 11. Warranties**
- 12. Communication**
- 13. Termination**

14. Confidentiality

15. Governing law]

DATED

SIGNED

Appendix 29A:

Special power of attorney in favour of beneficial owner

DATED

BETWEEN

[Name and address of managed company] (the 'Company'), and

[Name and address of beneficial owner] (the 'Attorney')

OPERATIVE PROVISIONS

1. The Company hereby appoints the Attorney to be its attorney.
2. The Attorney may, during the six months from the date hereof, negotiate, make offers and bid on behalf of the Company, enter into, and execute in the name of the Company all contracts, deeds and other documents for the purchase of real estate located in [Wan Chai, Hong Kong] limited in value to a maximum price of HK\$[maximum].

IN WITNESS the parties have executed and delivered this Power of Attorney as a deed.

Executed as a deed for and)
on behalf of the Company by)
[director] in the presence of,)

WITNESS

Appendix 29B:

General power of attorney in favour of beneficial owner

DATED

BETWEEN

[Name and address of managed company] (the 'Company'), and

[Name and address of beneficial owner] (the 'Attorney')

OPERATIVE PROVISIONS

1. The Company hereby appoints the Attorney to be its attorney.
2. The Attorney may exercise and execute in the name, and on behalf, of the Company all powers and discretions conferred upon its board to generally manage the affairs and business of the Company, including but not limited to the power to negotiate, make offers and bid on behalf of the Company, enter into, and execute in the name of the Company all contracts deeds and other documents.

IN WITNESS the parties have executed and delivered this Power of Attorney as a deed.

Appendix 30A:

Director's declaration of solvency

AB LIMITED (Company No. [number])

DIRECTOR'S DECLARATION OF SOLVENCY

WE, [name and address] being the [authorised person to act for and on behalf of the] sole [corporate] director of AB Limited (the 'Company') DO SOLEMNLY AND SINCERELY DECLARE as follows:

1. THAT we have made a full enquiry into the affairs of this Company and that, having done so, we have formed the opinion that the Company will be able to pay its debts in full within a period of 12 months from the commencement of the winding-up.
2. THAT attach hereto a statement of the Company's assets and liabilities as at [date], being the latest practicable date before the making of this declaration.

Declared at [place])
This [date]) _____
Before me [name])

STATEMENT OF ASSETS AND LIABILITIES

ASSETS

[details and values]

LIABILITIES

[details of creditors, amounts and when payable]

BALANCE

Appendix 30B:

Members' resolution to voluntarily wind up the company

AB Limited (Company [number])

SPECIAL RESOLUTON OF THE MEMBERS OF AB LIMITED (the 'Company')

Pursuant to art.[x] of the Company's Articles of Association, we the undersigned sole member of the Company for the time being:

NOTE:

- (A) THAT the directors have proposed that the company be wound up voluntarily
- (B) THAT the directors have declared that the Company is solvent and able to pay its debts in full.

RESOLVE AS SPECIAL RESOLUTIONS:

1. THAT the Company be wound up voluntarily.
2. THAT [name and address] and [name and address] (the 'Liquidators') be and are hereby appointed as liquidators of the Company to act jointly and severally for the purposes of such winding up.
3. That the Liquidators are authorised to charge for their professional services rendered during the course of the winding up of the Company at their published scale rate of charges.
4. THAT the Liquidators be and are hereby authorised to exercise all of the implied powers of a liquidator and that they be conferred with the power to divide any part of the assets of the Company as they shall think fit among the members of the Company in specie or in kind.
5. THAT the Liquidators' accounts of receipts and payments need not be audited.

DATE

SIGNED

Appendix 30C:

Notice of winding up for publication in press and Gazette

AB LIMITED (IN MEMBERS' VOLUNTARY WINDING UP)

NOTICE IS HEREBY GIVEN pursuant to the provisions of [s._ Companies Legislation] THAT:

1. The creditors of the above company, which is being wound up voluntarily, are requested to send their names, addresses and descriptions, together with full particulars of their debts or claims to [names and address of liquidators] who are acting as the liquidators of the company, on or before [date].
2. If so required by written notice from the Liquidators, such creditors shall attend and prove their debts or claims at such time and place as shall be communicated to them by notice.
3. If creditors or claimants do not comply with these requests to send particulars or to attend and to prove their debts, then the Liquidators may exclude such creditors from the benefit of any distribution of the assets of the Company.

DATED

SIGNED

Appendix 30D:

Notice to registrar of winding up

AB LIMITED (IN MEMBERS' VOLUNTARY WINDING UP)

To: The Registrar of Companies

NOTICE IS HEREBY GIVEN THAT we [name and address] and [name and address] have been appointed as liquidators of AB LIMITED, Company No. [number], to act jointly and severally for the purposes of such winding up such Company, by special resolution of the members of the company passed on [date].

DATE

SIGNED

Appendix 30E:

Notice of final general meeting of the company

AB LIMITED (IN MEMBERS' VOLUNTARY WINDING UP)

NOTICE IS HEREBY GIVEN pursuant to [s._ Companies Legislation] THAT:

The final General Meeting of the Company will take place on [date] at [venue] at [time] for the purposes of having an account laid before the members showing the manner in which the manner of the winding up has been conducted and the property of the Company disposed of, hearing any explanation that may be given by the Liquidators and directing by [special] resolution the manner in which the books, accounts and papers of the Company and the Liquidators shall be disposed.

A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and [on a poll] vote instead of him. A proxy need not be a member. The instrument appointing a proxy should be deposited at the registered office of the Company not less than 48 hours before the time fixed for the meeting.

DATED

SIGNED _____

Liquidators of AB LIMITED (in voluntary winding up)

Appendix 30F:

Members' resolutions approving liquidator's statement of account

AB LIMITED (IN MEMBERS' VOLUNTARY WINDING UP)

RESOLUTION OF THE MEMBERS OF AB LIMITED (the 'Company')

Pursuant to Article [x] of the Company's Articles of Association, we the undersigned sole member of the Company for the time being:

NOTE:

- (A) THAT there is produced and attached hereto the Liquidator's unaudited Statement of Account for the period [date] to [date], showing the manner in which the winding up of the Company has been conducted and the property of the Company disposed of.

RESOLVE:

1. THAT the Liquidator's Statement of Account be and is hereby received and approved.
2. THAT the amount of \$[amount], remaining after payment in full of the debts and liabilities and the costs of the liquidation be applied firstly to repay the members the amounts paid up on the shares held by them, and that the balance be then distributed among the members in proportion to the number of shares held by them respectively.
3. THAT the books, accounts and papers of the Company and the Liquidators be retained by the Liquidators for a period of six years from the date of dissolution of the Company, and thereafter destroyed by them.

DATE

SIGNED

Appendix 30G:

Liquidators' statement of account

AB LIMITED (IN MEMBERS' VOLUNTARY WINDING UP)

LIQUIDATORS' STATEMENT OF ACCOUNT

Name of Company: AB Limited

Nature of proceedings: member's voluntary winding up

Date of commencement of winding up: [date]

Period of accounts: from commencement date to [date], the close of the liquidation

Name and address of liquidator(s): [name and address]

LIQUIDATORS' STATEMENT OF ACCOUNT (pursuant to [s._ Companies Legislation])

RECEIPTS AND REALISATIONS

Date	Of whom received	Nature of asset realised	Amount
[date]	[debtor]	[real estate]	\$ vv

PAYMENTS

Date	Of whom paid	Nature of sum paid	Amount
[date]	[creditor]	[debt owing]	\$ww

BALANCE \$xx

Capital returned to members \$1.00 per share on [1,000] shares \$yy

Surplus returned to members, \$x per share on [1,000] shares \$zz

ANALYSIS OF BALANCE

The balance is made up as follows:

Cash in hands of Liquidator:

Appendix 31 A:

Director's resolution to apply for voluntary striking off

AB LIMITED

RESOLUTION OF THE SOLE DIRECTOR OF AB LIMITED (the 'Company')

Pursuant to art.[x] of the Company's Articles of Association, we the undersigned sole director of the Company for the time being:

NOTE:

- (A) THAT having made appropriate investigations, the director confirms the company has no assets or liabilities.
- (B) THAT the company meets the statutory conditions set out in [companies legislation] to apply for voluntary striking off.

RESOLVE:

1. THAT the Company shall apply to the registrar for its voluntary striking off from the register.
2. THAT the sole director shall complete and sign the appropriate application form [statutory declaration of compliance] and file it with the registrar to make the said application.

DATE

SIGNED

Appendix 31 B:

Application for voluntary striking off: example of prescribed form

AB LIMITED (Company No. [number])

I, the undersigned director(s):

- (a) APPLY for this company to be struck off the Register; and
- (b) DECLARE that the conditions set out in section [x, Companies legislation] have been met. [None of the circumstances set out in section [x, Companies legislation] which would otherwise prohibit this application exist.]

DATE

SIGNED

Appendix 31C:

Statutory declaration of compliance in support of voluntary striking off

AB LIMITED (Company No. [number])

STATUTORY DECLARATION OF COMPLIANCE IN SUPPORT OF APPLICATION FOR STRIKE OFF
I, [Name and address of director] do SOLEMNLY AND SINCERELY DECLARE THAT:

1. I am the sole director of AB Limited whose registered office is situated at [address] (the 'Company').
2. The Company has not conducted any business since [date], and is unlikely to recommence operations in the future.
3. The Company has no assets, in particular no real estate located in [jurisdiction of incorporation].
4. The Company has no debts and no outstanding liabilities.
5. There are no claimants with any outstanding claim against the Company and it is not involved in any legal proceedings in any jurisdiction, including insolvency matters.
6. In these circumstances [I am advised and believe that] the Company is eligible to apply for its name to be struck off the register.

Declared at [place])
by [name]) _____
this [date], before me,)

Appendix 31D:

Application for administrative reinstatement to register

AB LIMITED (Company No. [number])

APPLICATION FOR ADMINISTRATIVE REINSTATEMENT TO THE REGISTER

I, the undersigned former director [member] of the above dissolved company (the 'Company') apply for the Company to be administratively reinstated to the Register of Companies in accordance with [section x, companies legislation].

The following conditions required for reinstatement have been met:

- (1) The application is being made by a former director [member] of the Company;
- (2) The application is being made within [x] years of the striking off;
- (3) The Company was struck from the Register on a compulsory basis under [s.x, companies legislation];
- (4) Documents relating to the Company to bring up to date the company's records, if applicable, have been filed with the Registrar;
- (5) All outstanding fees and penalties have been paid.

STATEMENT OF COMPLIANCE

I confirm that I am a former director of the Company and that the requirements for administrative reinstatement set out in section [companies legislation] have been met.

DATE

SIGNED